

Kajaria Ceramics Ltd. (KAJARIACER)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

May 22, 2023

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Investor and Analyst Meet

In continuation of our letter dated May 17, 2023, informing about the uploading of the audio recording of the Investor and Analyst Meet held on May 17, 2023, we enclose herewith transcript of the said Investor and Analyst Meet, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your records.

Thanking you,

For Kajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

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Kajaria Ceramics Limited
Investor and Analyst Meet Transcript
May 17, 2023

MANAGEMENT: Ashok Kajaria - Chairman & Managing Director
Chetan Kajaria - Joint Managing Director
Sanjeev Agarwal - Chief Financial Officer
Pallavi Bhalla - GM, Investor Relations

CDR India : Good evening everyone. Welcome to Kajaria Ceramics Investor and Analyst Meet. On the dais, we have Mr. Ashok Kajaria, the Chairman & Managing Director; Mr. Chetan Kajaria, the Jt. Managing Director; Mr. Sanjeev Agarwal, CFO; and Ms. Pallavi Bhalla, GM Investor Relations. We will commence this forum with the opening comments from Mr. Ashok Kajaria, after which we will open the floor for questions and answers.

Please note that certain statements made by the management may be forward-looking within the meaning of applicable laws and regulations. Actual results might differ substantially from those expressed or implied. Kajaria Ceramics Limited will not be in any way responsible

for any actions taken based on such statements.

Over to you, Kajaria ji.

Ashok Kajaria: Very good evening everybody. I am delighted to welcome you to the Q4 & FY23 analyst meet of Kajaria Ceramics Limited. Today, I have with me my son, Chetan; our CFO Sanjeev and Pallavi Bhalla from Investor Relations. Good to be back for a physical meeting.

The year 2022-23 was full of challenges, mainly due to high inflation and Gas supply disturbance - Gas prices went up, Gas was cut in our northern plants and the spot prices more than doubled of the normal prices. However, things have come back to normal.

This is important for you to note, the tile market in 2022-23 is around Rs. 42,000 crores for domestic and Rs. 17,500 crore of exports. So the total size of the tile industry now is Rs. 59,500 crores. I am happy to inform you that in spite of difficult year, your company has sold 101 million square meters of tiles in the financial year 2022-23 a milestone

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for Kajaria and it has taken almost 34 years to do it. We are going to double it in the next 5 to 6 years.

On Exports front, the Indian tile industry has demonstrated impressive performance in the international market. In the fiscal year 2022-23, the industry recorded a significant export value of Rs. 17,500 crores, a notable increase from Rs. 12,700 crores in as compared to previous year. It's been a quantum jump, because India per se is a very competitive producer.

The largest export market for India has been USA as number one, followed by GCC countries such as Saudi Arabia and the UAE. The achievement highlights, the industry's strong presence in the international market.

One of the most important Kajaria's strength is a dealer network across India, and you will be happy to know that we had dealers get together at Pattaya, Thailand from 4th to 6th of May and Ranveer Singh was there with us along with Akshay Kumar, he is also the new brand ambassador for tiles.

As of now we have 1,840 Dealers dealing dire

ctly with the company

and we are planning to add approximately 150 dealers every year for the next three years. These dealers will be mainly in semi-urban areas. Earlier what used to happen is - they used to buy from Morbi, before GST - paying in cash and buying. But today with GST coming in, all of them want to have good showrooms and make their presence felt in the market.

Your company spent Rs. 108 crores in the brand promotion for the fiscal year 2022-23 and this year our vision is to spend about Rs. 135 crores to Rs. 140 crores for brand promotion.

Our effort is to reach to any market as possible in smaller towns, make dealers and make their showrooms. In our industry "jo dikhta hai vo bikta hai" And as I said many times that we want to cover every single Lok Sabha constituency, I am happy to tell you that by September this year we will be covering 522 Lok Sabha constituencies out of 542. The other 20 can't be done, because of various reasons.

I would like to share some stories in smaller towns/states such as Bihar, Andhra and part of Kerala. People have witnessed phenomenal growth due to making state-of-art showrooms and the person behind the show.

This data is comprising of four people. The first one is Anand Marble

from Jhanj harpur, Bihar. If anybody is from Bihar he would know where Jhanj harpur is, but most of the people won't know.

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This person met me at our dealers get together on 9th of May. He said "I want to make a showroom of 15,000 sq ft. I knew he was from Bihar. I didn't know where he was. I told him I will come for the inauguration of your showroom for sure. He met me again in August and he said my showroom is almost ready.

I went to open the showroom along with some of my colleagues from Calcutta and Delhi. On 9th of December, he opened 15,000 square feet of showroom in a place called Jhanj harpur, having population of approx. 70,000. You must have not heard of this name, it is one hour from Darbhanga on a highway and it was a four-storey showroom. Ground floor and first floor was exclusive Kajaria showroom. Second floor he made two bedrooms. I said why have you made bedrooms? He replied "its for your people, where will your people stay. This is a village they don't have any place to stay." then he put 12 desktop computers and I said why you have put computers? He replied "will make designs for the villagers." And third floor is empty. So this is the kind of progress. If you see the numbers I think it is on the screen from Rs. 573 lakhs in 2020 -21 it has grown to Rs. 793 lakhs in 2021 -22 and Rs. 1359 lakhs in 2022 -23. And this year he will do a sale of Rs. 20 00 lakhs that's what he has committed.

From there he went to a place called Madhubani in Bihar where some of you might have heard, because it is famous for paintings. There this guy, if you see again a small town of Bihar, did business of Rs. 485 lakhs in 2020 -21, Rs. 999 lakhs in 2021 -22 and Rs. 18.84 crore in 2022 -23. And this year he will do about Rs. 24 crore business.

Third is George Kaitharan, this is in Kerala. If you see the numbers in 2020 -21 he was at Rs. 248 lakhs, in 2021 -22 he did Rs. 14.66 crore and Rs. 36.58 crores in 2022 -23. He is now number five in Kajaria. He just received an award recently.

And the last one Sri Dinesh Associates, this is because of our south plant at Kalahasti, it is between Tirupati and Kala hasti and he has about a 4,000 square feet showroom. In 2020-21 he was at Rs. 10.73 crore, in 2021 -22 he did Rs. 13.56 crore and then he has doubled to Rs. 25.61 crore in 2022 -23.

So this is where the action is happening in smaller towns. This is where we are going to reach. This is our target, because earlier most of these people used to buy tiles from Morbi paying cash. And that scenario has changed. They want to join a brand be it Kajaria, be it Soman

y, be it

Johnson, they want to join a brand and deal directly with the brand, because the concept of wholesale is finished, it's the concept of retail now.

Our target for 2023-2024 – volume growth of 13% to 15%, revenue growth of 14% to 16%, EBITDA of 14% to 16%.

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Introduction of GST and effective implementation of e-Bill help in curbing tax evasion. And this applies to all branded players in the country. The recent GST collection of Rs. 1.87 lakh crore for March, the data came out on 30th of April, is a proof of this. This will benefit the organized sector.

As we all know, General elections are in 2024. That it's time for Central and State Governments to infuse more funds for infrastructure development like airports, hospitals, education institutions, upgradation renovation of various government properties. These factors will further

drive business for tile industry and probably it should start from October this year. With untiring efforts of our channel partners and employees today, Kajaria is placed at No. 1 in India and 7th largest in the world.

We are committed to our growth strategy, which includes expanding the market share, increasing the number of dealers across India, especially in areas where we are currently not represented.

Once again, thank you all for attention and support. We look forward to an exciting and successful year ahead. Thank you , Jai Hind.

Question -and-Answer Session

CDR India : Thank you, Kajaria ji. We will now be happy to take questions. There are ushers on both the sides with mics. We request you to commence asking questions when you have the mic and also please mention your name and organization's name prior to you ask your queries.

Chetan Shah: This is Chetan Shah from Jeet Capital. Thank you for a very brief and a wonderful presentation. Just two quick questions. You mentioned that you want to double your sales from 101 million square feet to about 200 plus in about five to six years . So can you just guide us in terms of your capital expenditure and how do you want to increase your capacity in that?

And sir, second question - you very briefly answered about domestic market and domestic opportunity. Can you tell us how big can be the global or export opportunity for India in terms of the tile industry? And also Kajaria in specific?

Ashok Kajaria: As far as doubling of the capacity is concerned in five to six years, as I just said, our vision is to grow at 13% to 15% in volume every year. It's a simple arithmetic. The capacity has to expand. And depending on which market we are feeding, if it is a Northern and East we put up a greenfield plant, because all our existing plants are utilized at optimum capacity . If it's south then south we will expand, because both the current plants in south at Srikalahasti and Southeast Asia we have a room to grow. And if it is west, we will do some outsourcing, something like that.

Every year I think the Capex will be of the order of Rs. 250 crores plus, because you have to add additional capacity of anywhere between 14, 15, 16 million square feet , and some by way of outsourcing . As far as export markets are concerned, let me tell you that India is a most competitive producer along with China in the world today. Our export last year, if you recall, I had said that it will be between Rs. 17,000 crores to Rs. 18,000 crores . In the very beginning, it has touched Rs. 17,500 crores . I am sure my personal perception is that this year it will be more than Rs. 20,000 crores . because we are very competitive. We are taking market share from some of the developed countries like Italy and Spain. Spain, for your information is exporting 82% of its production. Their domestic consumption is only 18%. Italy is exporting 72% of its production, which means that domestic consumption is hardly 28%. A tile, which Europe

sells at €20 per square meter , India is selling anywhere around \$10 to \$11 per square meter. So you as a country will be taking that market share.

Saurabh Jain: Hi. Saurabh Jain from HSBC. Sir, one clarification first. You said your EBITDA growth will be 14% to 16% or EBITDA margins, right?

Ashok Kajaria: I said volume growth 13% to 15%. Revenue growth 14% to 16%, because of value addition. Price will not go up this year, because the gas prices have come down and we get our margin of 14% to 16%.

Saurabh Jain: Sir my question is that you said 13% to 15% volume growth. That implies addition of 13 to 15 MSM this year. So can you split it out for us how much of that will be coming from own manufacturing plant and JVs and outsourcing.

Ashok Kajaria: Details I can't give you, but partly it will come from our existing plants, partly from outsourcing. We are doing three CapEx's, One is at Gailpur where we are replacing two old kilns of 25 years old with a new kiln, which would be commissioned by 31st of July. Secondly, in Sikandrabad we are expanding value-added tiles, big tiles just like what we are doing in Srikalahasti about 2.4 million square meters at a Capex of Rs. 80 crores. So I think these two plants plus our existing plants will give or some outsourcing will be there.

Saurabh Jain: No. So why I'm asking this is because, Sikandrabad, I think net addition is only 1.8 MSM. Is that right?

Ashok Kajaria: It's 2.4 million now.

Saurabh Jain: 2.4. Okay. And then, Gailpur, will it also see some shutdown in this quarter for this modernization?

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Ashok Kajaria: No, not shut down. They are sold. They are cleared and sold. Don't worry about that part. Kajaria will do a 13% to 15% volume growth which will be mix of own plus outsourcing. Any further details we'll share later.

Saurabh Jain: Thank you. That's helpful. Why I'm asking this is because...

Ashok Kajaria: See, please understand, in spite of a difficult year, which I've been saying for the entire last year, we grew at 11% in volume terms. And now, as I have said, the markets are positive, cost of fuel has come down. The last year was a very difficult year from July to December. We didn't know whether we will get gas or not. The gas supply was cut in our Gailpur and Sikandrabad plant, gas prices hit the roof. The spot prices were double. Still we could do 11%. So don't worry about that where it will come from. It will be 13% to 15% volume growth.

Saurabh Jain: I appreciate your response. Probably I'll take more details later. Third question is that, can you also talk about how are you planning your digital spends for one year or two-year timeframe? Because a lot of focus by other companies has seen on social media?

I'm asking is can you talk a little about what are your plans on the digital spent for this year or next year? Because a lot of focus has been put by many companies on this front like social media, like any influencers you're planning to hire or...?

Chetan Kajaria: So roughly our digital spent this year was be Rs. 7 crores to Rs. 8 crores, which is the OTT platforms, online media and social media as you said. Rest we are spending money on cricket, airports, and other media like holdings and all basically.

Saurabh Jain: Okay, I was asking more from the social media point of view like...

Chetan Kajaria: Rs. 7 crores to Rs. 8 crores the digital media.

Saurabh Jain: And is it going to increase for the next two years? Any thoughts on that?

Chetan Kajaria: Yes, every year it will increase gradually.

Saurabh Jain: Yes. Okay. Thank you so much.

Sneha Talreja: Good evening sir. Sneha here from Nuvama. Just a couple of questions.

In the start you actually mentioned that industry size has become Rs. 40,000 odd crores, Rs. 42,000 crores. So just wanted to understand on that front, till last year we have heard

a different number. How did that change so substantially? Some clarity over that?

Ashok Kajaria: Indian market?

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Sneha Talreja: Right, sir. The domestic market.

Ashok Kajaria: Indian Market March '22 was Rs. 40,000 crores domestic and Rs. 12,700 crore of exports. And in March '23 the domestic industry has grown by 6%. Exports have grown of course at much higher pace from Rs. 12,700 crores to Rs. 17,500 crores.

Sneha Talreja: Right sir, but till few years back, we were speaking about Rs. 30,000 odd crore numbers. So just wanted to see the substantial difference there?

Ashok Kajaria: Yes, you see the Ceramic World Review which is an authenticated magazine coming out of Italy. They change the numbers. Earlier the numbers shown was much less for India. As we all know, Gujarat has a big capacity. So they did an independent survey at Gujarat and found the capacity is much higher. And last year in the magazine they said the Indian production is 2,550 million square meter. We have accepted that which is actually a fact. We thought it will go gradually. But if they have put it, it's like that. And that's the number, which we are talking about today.

You see, if I take you five years back, China was 7x bigger than India. If I take you today, March '23, China is 2.5x bigger than India. So that much India has progressed and China has come down slightly.

Sneha Talreja: Understood, sir. And secondly, on the margins front, we have seen substantial improvement on a Q-o-Q front. What has been the ad spend for this particular quarter? And also gas pricing, if at all you can give the breakup, you always give plant wise. How have we fared?

Ashok Kajaria: Gas prices. I will request Pallavi to talk about it. She has all the data.

Sneha Talreja: Sure.

Pallavi Bhalla: Hi, so ad spend for this quarter was around Rs. 32 crore and for the year is Rs. 108 crore. On gas prices, for the quarter it is around Rs. 46 per SCM and for April, this number should be around Rs. 40 per SCM.

Sneha Talreja: And plant wise data if at all you have Pallavi?

Pallavi Bhalla: If you talk about north side, north is around Rs. 40 SCM, south is around Rs. 44, and west is around Rs. 41 in April 2023.

Sneha Talreja: Sure. Sir, one last question from my end. You mentioned that you want to double the turnover in five to six years. You also gave exports growth potential like you're looking at 17,500 going to 20,000 next year. What's your outlook on the Indian tile industry domestic market? How do you see the growth faring out maybe three to five years' vision there?

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Ashok Kajaria: The Indian tile industry domestic should grow at 6%, 7%, 8% every year. Gas prices have come down as we all know in Morbi also; it's come down by almost 25% in the last two months. So it should also grow at 6%, 7%, 8%. But I am very confident that exports will grow more exponentially. It will definitely go at 25% plus in this financial year. Will exceed 20,000 crore, you are a very competitive player. And you are taking market share from lot of the organized players in Europe,

because we are competitive.

Sneha Talreja: Got that, sir. Thanks a lot and all the best to you.

Ashok Kajaria: Thank you.

Unidentified Analyst: Hello. Sir just to extend the last question, so your comment about the Rs. 60,000 crores of industry and you said get exported will be growing faster than domestic. So this number from a current level to the next five to six years, the industry size, where do you see sir, the Rs. 60,000 crore number?

Ashok Kajaria: Industry size should be more than Rs. 1 lakh crore. It's a rough estimate to be honest. Just a quick calculation since you asked. It should be Rs. 1 lakh crore plus where export should be almost to the extent of Rs. 35,000 to 40,000 crores. It's doable.

Unidentified Analyst: And second question sir.

For the full-year, how much price hike we have taken against the gas price increase?

Ashok Kajaria: Last year?

Unidentified Analyst: Yes, sir. FY '23?

Ashok Kajaria: Last year some price hike was there. But this year there will be no price hike. Last year the price hike should be about 4%, 5% only. Because earlier year 21-22 the overall price hike was almost 11% to 12%.

Unidentified Analyst: Okay. Against the RM inflation sir? Raw material inflation?

Ashok Kajaria: Raw material inflation has come down.

Unidentified Analyst: For the full-year, how much raw material inflation?

Ashok Kajaria: Last year, close to about Rs. 20 crore. On two fronts, some raw material and some packing boxes, packing material. And that has come down now.

Unidentified Analyst: So that is for the full-year impact.

Ashok Kajaria: Full-year. Full-year.

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Unidentified Analyst: Okay sir. Thank you.

Rahul Agarwal: Hi, sir. Good evening. Rahul Agarwal from InCred. Sir, you guided for revenue growth being higher than volume growth. We are also saying that prices won't go up. It's purely mixed improvement is what we expect?

Ashok Kajaria: Due to some value-added materials like in Sikandrabad, we are adding 2.4 million square meters. That's all value-added. The plant is being converted to value-added. Gailpur again when we are putting a new kiln removing the two earlier kilns, that's all value-added bigger tiles of floor in ceramic, that was making more tiles. Now it will be making value-added floor tiles bigger size. So something will come out only out of value-added. Prices per se will not go up this year.

Rahul Agarwal: Got it, sir. Sir margin guidance of 14% to 16%. We are almost 14.6% last quarter. I think it's a bit conservative. Are you buying in like conservatism here?

Ashok Kajaria: I am conservative. I have seen a very tough last year. So I am conservative.

Rahul Agarwal: So there is a potential to beat that?

Ashok Kajaria: I am taking on the safer side. Because we have seen a very tough year last year. So I want to be little conservative on that front. I can tell you only one thing that the mood is positive. At the ground level on the sales, on the gas sector, all is positive. But that angle, I'm taking a conservative approach.

Rahul Agarwal: And apart from the price, the supplies are normal now?

Ashok Kajaria: Yes, absolutely, absolutely.

Rahul Agarwal: Okay. And sir lastly on competition, our interactions with some other brands, they tell us they will grow 20%, 25%, they've got some private equity money. Do you agree that organized market share will actually be more fragmented and divided between more organized players?

Ashok Kajaria: No, no. You see, organized players per se are doing well and will do well, because of GST. Now, when you talk about the two players who have taken money, they are also part of organized. You see, once you have come to that level where you have taken money and you have sizable market cap, although it is not listed, but the market cap is around Rs. 2,500 crore, Rs. 2,400 crores, they have to behave like organized and they will like to come to organize.

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You see, some people in the organized sector will go away and some will come in. So it's a positive thing, because if the industry grows in a positive manner, it's good for everybody.

Rahul Agarwal: But compared to last five years versus next five years. Next five years, we'll see more organized competition also, right?

Ashok Kajaria: See, let me take you before GST. I think all of you are aware what was happening before GST. If you had a 5000 sq ft showroom and I had a 1000 sq ft showroom, I would say go get the product you want and I will give you the same item at a discounted rate. why? Because I was totally awaiting taxes. And the taxes were in the

range of 28% to 32%, depending on the state where you in. If you are in Delhi, it is 28%. If you are in UP, it is 32%. Do we all agree? Today after GST, GST started with 28%, then after four months it was reduced to 18%. 18% is a GST on all style sanitaryware. We get a MODVAT of 5%. So the net impact of GST is 13%, right?

We have seen, whether it's Kajaria or Somany, Johnson, we have seen where people have zero tax, no tax. Today you are talking about instead of 13%, somebody will be 11%, 12% here and how does it make a difference? And GST, as we all aware in the room that they have tightened the belt in last two years. Today if you are caught in GST, you are finished. Your career is finished.

They are saying forget about what you have done in the past. If you are here doing in GST and you're caught, you're gone. So believe me, the organized sector will grow. And not only the manufacturers.

I'm talking about dealers, the big dealers are opening more and more shows. Our number one dealer comes still from Coimbatore. He did a turnover of Rs. 88 crore with Kajaria. He is number one. He is number one in Somany. He is number one in Kohler. And you will be surprised his own turnover, which he said is Rs. 400 crore for ending March '23. He has 13 showrooms of his own in Tamil Nadu only. And he has 400 salesmen selling that. In the North, the customer likes to deal with the owner and not the salesman, in south there is no such thing. Everything is there. The customer deals with sales man directly. So that's how it is. The industry is progressing.

And believe me, GST I have said and I am saying again, GST has been the biggest game changer for the entire organization. And in our trade where there are 600 plants in Morbi, you can imagine our situation, what we have seen and still we have grown over a period of time. So I would say the growth is going to be faster and faster. There's no looking back.

Rahul Agarwal: Thank you sir for answering my questions. All the best.

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Unidentified Analyst: Ashok ji, you've been talking about the export front Rs. 17,500 crore now and moving up to Rs. 30,000 crore probably in the next three, four years. Could you give a flavour of what kind of value these tiles are selling at? Is this the mid-segment, is this the higher segment or what?

Ashok Kajaria: Most of the exports today are glazed vitrified tiles. That is a hard segment. You can say, because glazed vitrified tiles what is coming from Europe. Also, as I said they are basically exporting only glazed vitrified tiles, whether Italy or Spain or any other European manufacturers. You are basically taking away their market share gradually.

You will take their market share more and more. The price difference is too high. The product is same or better than what we are getting. And the most export out of Rs. 17,500 you can say is from Morbi. Out of that I would say Rs. 16,000 crore plus is from Morbi and partly by Somany, partly by Kajaria and partly by Johnson. But most of the exports are from Morbi. There are almost to my knowledge, I may be wrong or right. There are at least 65 units in Morbi out of 600 who are only doing exports.

Unidentified Analyst: So this growth will continue to be in this segment as far as export is concerned.

Ashok Kajaria: Yes, sir. We are very competitive as a country.

Unidentified Analyst: And give or take post GST and now, what would be the differential that Morbi enjoys say over larger players like you?

Ashok Kajaria: I will answer for Kajaria. Kajaria before GST, the difference was as high as 40% to 50% in pricing. Today it has come down to 20% - 25%. So that gap has narrowed quite a bit. And that's where we will grow faster. If you take Somany, it should be 15% to 20% between Morbi and Somany.

Unidentified Analyst: Thanks.

Mohit Agrawal: Hi sir, this is Mohit Agrawal

from IIFL. Sir my question is on the Sanitaryware and Faucet business and the Plywood business. What is the outlook for FY 24? And if you could share, how do you see this over a medium term. What is the kind of targets or opportunities that you see in this business? What is the kind of market share that you want to have and any challenges that you have faced in the last few years in growing this business?

Ashok Kajaria: Faucet, sanitaryware.

Mohit Agrawal: Yes. And plywood yes.

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Ashok Kajaria: We did Rs. 320 crore last year. This year's target is Rs. 440 crores to Rs. 450 crores. Challenges we have faced many, because first few years for any business is very difficult. But today that brand is in place. Kerovit brand is in place. We had a dealers get together a few days back 4 to 6th

of May in Pattaya. Lot many dealers are now coming to join that brand wagon. And vision is to grow at least 30% every year from here on.

This year we'll grow faster, because last year our base was lower in that division .. But from here on after this it should be 30% every year.

Mohit Agrawal: Sure sir. Thanks.

Unidentified Analyst: Hi sir. Just continue the previous question. So right now, our non -tile business is roughly less than 10% of the total revenue. The way you explain about our five, six-year plan for the tile business, where do you see this business growing in next five to seven years on the three segment, non -tile segment. And what will be the revenue mix? If I see five years from...?

Ashok Kajaria: Instead of 10..it may increase to 12 or 13 .

Unidentified Analyst: But it will also grow at a...

Ashok Kajaria: It will grow at a faster pace. Non -tile will grow at a faster pace than tiles.

Unidentified Analyst: But do you see that market also expanding going forward? The way tile business has happened in last 10 -15 years from India?

Ashok Kajaria: No, that market we are very young. So it has to grow faster . Tile market we are saying we will double it in next five to six years and 30% to 50% growth in Bathware, sanitaryware as you know we are a very young player . We are small, we have to grow to catch up with the bigger players. But it has to be a gradual process. Similarly, in ply, I think they are also looking at that vision.

Unidentified Analyst: Sir, is there a different distribution structure or a sales structure? If you can give some sense on that?

Ashok Kajaria: Yes, all are different.

Unidentified Analyst: How that part of the distribution network, which we are expanding?

Ashok Kajaria : Tile we have 1,840 dealers as of 31st March. In tile, there are only dealers. There are no distributors in faucets and sanitaryware, there are distributors who sell to smaller people and there are premium dealers who sell from their showrooms. In ply, it 's a similar thing. They have distributors and dealers.

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Unidentified Analyst: And sir, if you can share, is the gross margin different between them and the tile or it's more or less same?

Pallavi Bhalla: So gross margin is better in Bathware segment .

Unidentified Analyst: Chetan a couple of years back, we had this issue with MDF in the country. People who had set up MDF plants were struggling, I believe things seem to have sorted out on that front. How has that impacted the Plywood business in general, if you could explain?

Chetan Kajaria: So the MDF guys made a lot of money in the last two years, because the demand for MDF is short up. Now, there are a lot of imports in MDF coming, especially in South India. And there's a lot of overcapacity also happening in this industry. So it is a cheaper substitute for plywood. Currently MDF is around Rs. 7,000 crore and plywood is Rs. 30,000 crore. There's a huge gap between both the segments and verticals. So MDF has truly increased, but there's a huge gap between both the verticals

as of now in the country.

Unidentified Analyst: So a sense of pricing of say MDF and plywood?

Chetan Kajaria: MDF is slightly cheaper than plywood and it's more mechanized.

Unidentified Analyst: So slightly cheaper means what 10%, 15 %?

Chetan Kajaria: Roughly 17% to 18%.

Unidentified Analyst: Thanks.

Unidentified Analyst: So, in last few quarters, your competitor had made a statement about the tiles industry that it is going through a difficult phase, that there is overcapacity, lack of pricing power. And how do you respond to these statements? I mean, do you agree with this?

Ashok Kajaria: Industry is positive as I said. Last year was very tough mainly because of two things inflation and gas prices, where you do not know what the gas cost will be, what the pricing. There was a lot of uncertainty. All that uncertainty is over. I am repeatedly saying the mood is positive on the ground level. Demand has always been good, except for a period of July, August, September, because the interest rates went up very high. So things are very positive in the ground. You can be rest assured on that front.

Unidentified Analyst: He was coming from more from the perspective of the overcapacity in the industry and the lack of pricing power and not necessarily the gas prices or the struggle that the industry went through specifically in the last year?

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Ashok Kajaria: You don't have a pricing power. Then you are saying I want to have a 13% to 15% volume growth. You have 600 players with the Morbi. So you have to strike the right balance. As I said, there will be no price increase in this financial year. The additional revenue will only come from value-added products.

Rahul Agarwal: Rahul, again. Sir, one question on the industry. You're saying 6% to 8% growth like largely CAGR. Obviously, we all know it's oversupplied right now. So at that pace, when does this equilibrium actually reach, right? I mean demand supply has to equal so that we all can be more, we can execute pricing power. So at this 6% to 8% rate, it will take like at least five years for supply to meet demand.

Ashok Kajaria: See you are forgetting the past, when you put this question. It's not a standard answer. GST has changed everything. If you look back before 2020, every year 30, 40 plants used to come. Am I right? In 2020, 2021, 2022 (they do bhumi pooja on Janmashtami for the plant). I am giving you all the data so that, if I'm wrong, you can correct me. In 2020, 2021, 2022 there were hardly any poojas. So why? Because GST has changed everything and as of 6 of March 2019, they were not allowed to use coal in that gasifier. So today it's a level playing field. Please understand what I just said.

The difference before GST between Kajaria and those Morbi players was 40% to 50%. So it was a push sale for Kajaria, right Today the difference has narrowed down for Kajaria to 20% to 25%. Automatically it is a pull sale now. So this is the change, basic change, if you don't understand this you will go wrong and ask these questions. But you understand these questions. You will have the right answer. You will have the right. And not only Kajaria, I am very confident that people like Somany and Johnson will also grow faster. They are all doing and trying to do a good job. Even one company for a Morbi is a good friend of mine Simpolo. They will also grow faster because he is doing a good job. See somebody is doing a good job. He has to grow faster.

Rahul Agarwal: Got it sir. Thank you.

Ashok Kajaria: Thank you.

Keshav Lahoti: Hello, this is Keshav Lahoti from HDFC Securities. I know it is already discussed. You said volume growth of 13% to 15%. But what I want to understand if I see the past growth of industry have been 6% where you have just outperformed the industry by 1% or 2%, but you are pretty confident to grow at toward

s of the industry. So I'm not able to understand what I am missing. Why you are so confident?

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Ashok Kajaria: You don't have to understand that. It's my job to do. Can't tell you everything. It's my job to do. I don't have to explain everything to everybody. It's my job to do.

Keshav Lahoti: Got it. Got it. Okay. So what's the idea about changing the capacity like moving to five MSM from eight MSM in Nepal? Is it something related to demand or something?

Ashok Kajaria: We are putting up a capacity in Nepal. Earlier we thought to put up 8 billion square meters of two kilns. Looking at the scenario, we reduce it to one kiln. And we are going to put up a plant, 5.1 billion square meter, one kiln, which will make both ceramic and GVT. And the current market size of Nepal is about Rs. 2,000 crore. All imports from India, except one small plant which is operating. Two more plants are expected to come and the third one is Kajaria. So that's a current scenario now. And all everything has been tied up as far as Kajaria is concerned. We hope to commission it by March 24.

Keshav Lahoti: Okay. Thank you.

Ashok Kajaria: Thank you.

Shubham Agarwal: Hi, sir. This is Shubham Agarwal from Axis Capital. This question is on the export front. Could you comment what makes you confident that the exports from India are sustainable even over the next five, seven years? Because we've seen in the past that once exports decline, unbranded players start pushing material in the domestic market. So what makes you confident that that is not expected to happen going forward?

Ashok Kajaria: In the beginning of this year April, I told some of my fellow colleagues here who have met me that this year exports will be 17,000 to 18,000 crore. I don't think people believed me because from 12,700 to 16,000 crore is difficult. By the time the data came and one of my colleagues told me who was keeping track told me that the exports reached 17,500 crore, which was even surprising to me, because in the month of March the exports was almost Rs. 1,800 crore to Rs. 1,900 crore. Number one.

Number two, again, I am repeating India is a very competitive player. India cost of production is very competitive. And just for information, gas prices have also come down at Morbi by almost 20% to 25% in the last few days. We are even more competitive now. And please understand one thing. I repeat that for the benefit of everybody. We are taking market share from some of the other countries. Export market is very huge in the world. Lot of countries have put anti-dumping duty on China, because they were dumping - one.

Two, lot of countries refers to China till March. I don't know what will happen tomorrow, but you are taking our market share from lot of players like Italy, Spain and other players who are much more

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expensive. Even Turkey for that matter. Turkey was a big exporter. You know what is the inflation out there? 80% plus. We in India are taking market share from these countries. That's why exports will go up.

And the current scenario, I don't say what will happen after five, six years, but I can tell you next three years our exports will grow by 25% plus.

Shubham Agarwal: That is a function of us staying competitive in the global market as a lower cost producer. So we are in line with China right now. Are there any antidumping duties that are expected on India because of any of the reasons from any of the places we export to USA is our big client or GCC?

Ashok Kajaria: I answer that. Last year there was little exports to Europe. You will ask me why? There was a possibility that anti-dumping duty is going to be put on India, China, and Turkey. You know what was the duty put? They put a 7% duty on India. This year so much of exports will go to Europe, because people are expecting very huge duty. Now 7% is nothing. When

I said they are selling at €20 per square meter you are selling at \$10. What does 7% mean? So a lot of exports will go to Europe also. There is a dumping duty in other countries. There is 41% anti-dumping duty in Gulf, Saudi Arabia. It is the second highest export market of India, after USA. Third is UAE where no anti-dumping duty because of bilateral trade.

Shubham Agarwal: Sir, my second question is since there's so high growth expected in export, are you seeing any more unbranded players putting up additional capacities to service that demand in the export market?

Ashok Kajaria: In export market.

Shubham Agarwal: Yes.

Ashok Kajaria: I said you didn't listen. I said there are almost 65 players in Morbi are exclusively working for exports besides other players.

Shubham Agarwal: Are they adding capacities is my question?

Ashok Kajaria: They you have to find out. One plant has come, which I know Comet, which was a big exporter to Saudi Arabia. They have put up an investment of Rs. 400 plus crores to put to continue a plus line for export only, so export will go up.

Shubham Agarwal: So would you have an idea like what is the capacity utilization at the Morbi level from the unbranded players?

Ashok Kajaria: No idea. You have to find out.

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Shubham Agarwal: Sure. Sir the second is given your margin guidance of 14% to 16%, what kind of a gas cost are you pricing in for the next one year so that you are able to deliver 14% to 16%? I know we are already at 14.6% and there is a 25% drop.

Ashok Kajaria: I give you a rough data. I shouldn't give, but I still give you. This year compared to last year 2022-23 we at Kajaria will save about Rs. 150 crores on gas, fuel, gas fuel means gasoline, gas taking all the plants into consideration. Out of that, Rs. 50 crore will be passed on to the trade in terms of discount. We don't reduce the price as I mentioned earlier, but we incentivize the dealers so that they can sell more. Our JB's did not perform that well, some of them. I hope that this year we will give you another Rs. 30 crore to Rs. 40 crore out of JB's extra whatever we have done last year roughly.

Shubham Agarwal: Thank you. That's all for me.

Ashok Kajaria: Yes.

Unidentified Analyst: My question is very simple. If you are putting factories in Nepal, what precautions you have taken?

Ashok Kajaria: Precaution for?

Unidentified Analyst: For government instability over there.

Ashok Kajaria: Let me tell you there is no political instability. For business it's no political there -- it's like what happens in Italy. Every six months, the government changes, the business continues. It's like that. There is no political instability as such. We have to manufacture our product and sell to dealers. To tell you honestly, me and Sanjeev were there three days back. We met all the senior people. All is positive.

CDR India : Thank you, everyone. You're now invited to join us for an informal interaction with the management. And also join us for dinner and cocktail.

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

February 05, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated January 31, 2024, informing about the uploading of the audio recording of the Conference Call held on January 31, 2024, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your records .
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q3 FY24 Earnings Conference Call"
January 31, 2024

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING
DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR
– KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY24 Earnings Conference Call of Kajaria Ceramics Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference to Mr. Arun Baid. Thank you, and over to you, sir.

Arun Baid: Good evening, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q3 FY24 post-con call result of Kajaria Ceramics. From the management side, we have Mr. Ashok Kajaria, CMD; Mr. Chetan Kajaria, JMD; Mr. Rishi Kajaria, JMD; and Mr. Sanjeev, CFO. Now I hand over the call to Ashok ji for his opening remarks, post which we'll have the Q&A. Over to you, Ashok ji.

Ashok Kajaria: Thank you, Arun. Very good evening to everyone. It gives me great pleasure to welcome you to the quarter three '24 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call are my sons Chetan and Rishi; my grandson Kartik Kajaria; our CFO, Sanjeev; Nehal Shah, DVP, Strategy; and Pallavi Bhalla, GM, Investor Relations.

Considering the privilege and sustained demand changes in the tile industry, the tile volumes continue to remain muted in quarter three '24 as well. Our volumes executed a modest year-to-year growth of 6%, reaching 27.09 million square meters. Even though Gujarat gas price increased by 17% since August '23, the Morbi manufacturers have not taken any price hike. Despite the existing challenges, we maintained a positive outlook for the tile industries' demand in FY25. Considering the likely rub-off of strong real estate demand to drive improvement in offtake for tiles in financial year '25, we are confident of achieving better than industry growth going forward, driven by our extensive and relentless branding and distribution efforts.

The consolidated revenue for the quarter amounted to INR1,152 crores, indicating a 6% increase compared to the corresponding period last year. The EBITDA margin for quarter three stood at 15.52%, representing an increase of 332 basis points from the same quarter previous year.

The progress of our previously announced Nepal project is slightly delayed due to heavy rainfall in the last quarter. We n

ow anticipate commissioning of 5.1 million square meters of glazed vitrified in ceramic capacity by June '24.

On the export front, India's tile exports have experienced a remarkable 49% growth, reaching more than INR12,300 crores from April '23 to October '23 compared to INR8,278 crores in the same period in the previous year. Our exports have slowed down post October '23, with the issues prevalent in the Suez Canal, leading to uncertainty in the region and sudden spurt in an

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ocean freight. Once the situation eases in the Suez Canal, we hope the growth momentum and pickup.

Now for this quarter's financial performance.

In quarter three '24, the company achieved a 6% year-to-year increase in consolidated revenue from operations, reaching INR1,152 crores compared to INR1,091 crores in quarter three, '23.

Tile segment grew by 3% year-to-year growth in revenue, reaching INR1,013 crores compared to INR984 crores in quarter three '23.

Bathware segment registered a 16% growth in revenue, reaching INR92 crores compared to INR79 crores in quarter three '23. The plywood revenue increased by 81% during quarter three '24 to INR34 crores as compared to INR19 crores in quarter three '23. Revenue from adhesive grew by 42% to INR13 crores in quarter three '24 as compared to INR9 crores in quarter three '23.

PAT for the quarter grew by 40% to INR104 crores in quarter three '24 as compared to INR74 crores in quarter three '23. As of 31st December '23, the working capital days increased to 60 days from 53 days as of 30th of September.

With this, I take this opportunity of thanking you for joining us today. Over to you, Arun, for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pranav Mehta from Equirus Capital.

Pranav Mehta: Sir, I wanted to understand your strategy on the tile adhesive business. So basically, what I

understand is that even Pidilite is seeing a very fast growth coming in from the tile adhesive business up there. So just wanted to understand how you are going forward into this business?

Ashok Kajaria: See, Pidilite is a very large company we can't compare Kajaria with Pidilite on that front as far as adhesives are concerned. Adhesives, we have just started about a year back. And now with Kartik coming in, we have handed over this division to him, so we are trying to increase the business. This year, we should be ending up with about INR50 crores. Next year, we are targeting anywhere between INR75 crores to INR80 crores. And we hope this business should grow to INR200 crores in the next two, three years, that's what we are looking at because with the increasing users of tiles and the bigger size of tiles, adhesive market is growing bigger and bigger over a period of time.

Pranav Mehta: Sure, sir. And sir, my next question was related to your acquisition in plywood. So basically, now we are looking for an acquisition somewhere in North India. So, if you can throw some light on how you are going to move ahead in this business now that we have been doing kind of a trading business for three to -- or last two, five years. And what is the strategy here going forward?

Chetan Kajaria: Hi Pranav, it's Chetan here, can you hear me?

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Pranav Mehta: Yes, sir.

Chetan Kajaria: Okay, sir. Last year with turnover of INR77 crores in the plywood business. This year, it should end at INR100 crores, and the next year target is INR150 crores. The main reason for the acquisition of the plywood plant in North India, we were facing lot of issues in supplies and quality because we were outsourcing a lot of small -small units in North and Central India. But now with the acquisition happening, there's a lot of stability in terms of quality and supply and we're very confident of hitting INR150 crores mark in this coming financial year '24 -'25.

Pranav Mehta: Okay, sir. And sir, anything you're looking at, let's say, in laminates as well? Or as of now, you'll be respecting this acquisition towards plywood only?

Chetan Kajaria: This acquisition is only towards plywood and blockboards and doors. Laminates, we'll continue to trade and outsource only as of now.

Moderator: And the next question is from the line of Rahul Agarwal from InCred Equities.

Rahul Agarwal: Ashok ji, just first question on the capex. I think you announced a couple of plants into Morbi. I just wanted to understand this a bit more clearly. The 6 -MSM we're talking about in K TPL is a functional plant. And typically, for a similar size, are we getting any benefits in terms of we doing it versus buying it?

Rishi Kajaria: Hi, Rahul, this is Rishi Kajaria. So yes, this plant is operational. We saw it both in the closed state and then we got it opened and lines were running. And it's producing a very good cost. And going forward into expanding our own plant in Morbi, we thought better to acquire this plant. We were getting a better volume, a more higher square meter at a very good cost.

Rahul Agarwal: So, this should add to our production starting immediately, is it?

Rishi Kajaria: Starting, April. It will take two months. There's some work to be done, some machinery to be upgraded. A very small cost. It will take about two months. And April, we're just trying to start sales from this plant.

Rahul Agarwal: Okay. Perfect. And secondly, on the KUPL, the INR30 crores land buying, can you give some more details? This is for a large format tiles, right?

Rishi Kajaria: Sure. So going forward, some -- looking export market and domestic market, we want to make some big tiles, which we're not able to make in the existing plants. So, for that, we bought this piece of land and in a target of 15 to 18 months, we plan to put up a factory for the slabs here. Both for exports and Domestic market which is going to come up in India. So, for that, we are making this. We are buying the land because we're very bullish on the Indian market going forward. So, unless we have the land, you can't put a factory. So, we're buying the land right now for future expansion.

Rahul Agarwal: So, any number here in terms of capacity you're looking for, any capex numbers?

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Rishi Kajaria: No, nothing right now. Let us get the land first. In the next three, four months, we'll make a paper and then we'll probably in the next meeting, we'll present all the details.

Rahul Agarwal: Okay. Got it. So, because it was about INR370 crores is what we were intending to spend this year, I think with the Morbi capex of INR80 crores, this number should go up. Could you give some kind of sense on capex for this year and next year, please?

Ashok Kajaria: See, this year capex, we have already said that's about INR370 crores. And next year, we will work out and share it at the next meeting after the fourth quarter.

Rahul Agarwal: Okay. So, this current investment of INR50 crores and INR30 crores for the new plant is not part of the 320, right?

Rishi Kajaria: No, no, no, not yet. It's not capex it's an acquisition. So, I think the INR50 crores in acquisition capex ...

Ashok Kajaria: It's not part of it. It's an additional thing.

Rahul Agarwal: Got it. And Ashok Ji, what was the average gas price for North, South, West, please, for the quarter? And any changes today?

Ashok Kajaria: No, no changes. It is INR39 on an average for quarter three. And hopefully, it should continue at the same level in quarter 4.

Rahul Agarwal: Could you give a breakup if possible, North, South, West?

Ashok Kajaria: Sure, I can. Yes. North was 41, South was 42, West was 34 and average is 39.

Rahul Agarwal:

Got it, sir. And last, just to close, just some outlook on how do you see the full year like in terms of growth and next year, in terms of volume, pricing or margins, whatever you want to share, please?

Ashok Kajaria: Since we have already shared in presentation, we will grow 5% to 6% more than the industry, which we have been doing also for all these years if you look at it. And as far the margin is concerned, this year, we talked about 14% to 16%. We are at the -- more or less at the upper end. We are about 15.5% plus for the nine months as usually maintained. And I think next year, if we do well, if things are okay, it should be anywhere between 15% to 17% because that 14% thing is out.

Rahul Agarwal: Okay. Got it.

Moderator: And our next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: First on the North Sea thing that you indicated. So, does it have any impact on the gas that you procure? I think we have very attractive long-term pricing. So on a landed basis, is it likely to impact the cost curve? Or are we already have; how should we understand that?

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Ashok Kajaria: No. Long-term gas is still expensive because it is based on 3 months average of Brent/ and it's still expensive. When I'm giving you all these numbers, these are fuel cost: average cost of gas, biofuel or all other components. It's not a gas cost.

Ritesh Shah: Yes, fuel cost. So basically, the Red Sea would not impact. Basically, you indicated blended INR39, it is likely to remain at similar levels, this takes into account the potential risk on back of the ongoing disruption?

Ashok Kajaria: No, no, nothing has changed. Ongoing disruption if you see this year for the last two months -- 2.5 months now, this problem at the Red Sea. So, nothing has changed. Gas price is more or less on the same level.

Ritesh Shah: Perfect. And sir, you indicated since October, industry exports have actually reduced. So, in this scenario, are the Morbi guys putting material locally? Or have you opted to operate at lower utilization levels?

Ashok Kajaria: Question for me to answer because Morbi will know better, but some material has to come locally and some from production. The exact information will come from them. I'm not the right guy, but that's what market intelligence says ...

Ritesh Shah: Sure. And sir, lastly, on ply, how much is the amount that we paid for acquiring 51% stake? And if you could please, detail on the capacity as well?

Ashok Kajaria: The total amount invested is about INR42 crores to acquire 51% stake.

Ritesh Shah: And sir, capacity?

Chetan Kajaria: 2.14 million square meters, which is 80 trucks a month, the capacity is roughly 2.14 million square meters, which is roughly 80 to 85 trucks a month. And then full optimization -- optimum utilization up to INR90 crores to INR100 crores of revenue.

Ritesh Shah: Sir, sorry, I could not hear the capacity, I heard INR90 crores to INR100 crores?

Chetan Kajaria: The capacity is 2.14 million square meters, which is 80 to 90 trucks per month. And on full optimum utilization, the plant will generate a revenue of INR90 crores to INR100 crores per annum.

Moderator: And the next question is from the line of Sonia Kohli from Shri Money Matters.

Sonia Kohli: So, first of all, many congratulations for another splendid quarter. So, first question from my side is about, from where are they getting the majority of our business? Is it from the renovation activities or the properties that have been newly constructed?

Chetan Kajaria: See it's mixed. The demand is mixed. It's a combination of both renovation and some new projects. But looking forward, we foresee that in future, we can get new projects much more.

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Sonia Kohli: Okay, okay. Because of the infrastructure development

, right. And sir, second question is that -

- I want to know the approximate respective contribution of Tier 1 and Tier 2 cities. Both in the current performance and the future expectations?

Ashok Kajaria: In metro, it is close to about 20%. In Tier 1, it's close to about 30%. In Tier 2, it's about under 30%. In Tier 3, it should be close to about 15%, and Tier 4 should be about 5%.

Sonia Kohli: Okay. And we expect to continue this trend in future also?

Ashok Kajaria: No. The Tier 3, Tier 4 over a period of next three years should slightly go up because that's where a lot of new construction is happening. So, I would say that Tier 3, Tier 4 should slightly do better.

Sonia Kohli: Understood. As my final...

Ashok Kajaria: Yes, please, please.

Sonia Kohli: My final question is about the industry as a whole. So currently, this industry is experiencing a boom. But what do we see in the coming time for this?

Ashok Kajaria: See, industry is passing through a tough time. Two reasons. you see, real estate has been good for the last two years, as you all have been saying. First year, what they did sold the inventory, which was locked.

Second year, new construction started, whereby they made these structure where cement, steel, cables and all that got used. Now is the time for our kind of industry like paint, tiles, sanitary ware, ply, all these will come in from now on. So, we hope that next three years should be good for the industry.

Sonia Kohli: Understood. Thank you so much and all the best.

Moderator: Thank you. And the next question is from the line of Achal Lohade from JM Financial.

Achal Lohade : My first question was with respect to the demand scenario. I know you've already partially answered, but have you seen some improvement in January or January also looks pretty much the same what it was in October, November, December months?

Ashok Kajaria: January has been equally tough. As we all know, North has been very cold with so much of fog in last 20 days. So, North market has been affected. West, South is more or less okay. East is okay, but North has suffered very badly due to weather, entire North, as you all know. So, January has been very tough. And I would say the quarter will also be tough. If we are looking at a scenario where Kajaria should grow at about 6%, 7% in volume terms for the quarter. But going forward, we are very positive that things should improve.

Achal Lohade : And how do we look at the lead indicators? I mean, yes, you did mention about the real estate, but is there any green shoots, any particular indicator you're seeing that things are improving?

Or how do we see...

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Ashok Kajaria: It's too early to tell. I just told you that January has been tough. February and March will be more or less like this, where Kajaria should grow at about 6%, 7% in volume terms, maybe 7% in volume terms. But looking at that lead indicators, we will only know after the post budget, post-election where things should start looking up. So, I think we have to wait for another two months.

Achal Lohade : Got it. Sir, a related question. You did mention that you have outgrown the industry by five, six percentage points even in the past, and the same is expected to continue. So given the numbers, what we have reported for last few quarters, is it that the industry is kind of flat or seen a slight decline? How do we look at this?

Ashok Kajaria: Absolutely. You are absolutely correct. The industry is flat. Two things I told in my opening remarks also, gas prices have gone up much more by almost 17% from August onwards. Morbi has not even touched the prices. So, why? Because exports are down, the local market is down. So, looking at that, we have to see where to find the right balance, and more indications will come only around end of March.

Achal Lohade: Understood. Sir, the

second question I had was with respect to the pricing. Now if you look at the realizations for each of our three buckets, whether it is owned or subsidiaries or outsourced, we see a realization kind of being down Q-o-Q as well. So, is it purely the discount? Or is it purely the mix? How do we read this?

Ashok Kajaria: No. Prices, you are absolutely correct, prices have come down by 2% to 3%. And I would say we are lucky that the prices have only come down by 2% to 3%, looking at the overall scenario. Because as I just said, Morbi in spite of 17% increase in gas prices, normally they would have increased tile realisation. They have not touched the prices at all.

The prices per se has not come down. We have given more benefits to the traders to sell, which I've always said. Prices per se don't come down. We give benefit to the dealers so that they can sell more by some sort of scheme or something.

Achal Lohade: Got it. Sir, if I may ask one more. I'm sorry. If you look at what Morbi was, let's say, five years back and what it is today, you see that Morbi is far more competitive now given the players have become bigger, the Tier 2, Tier 3 players have become bigger and hence, I mean it may not really hurt Kajaria, but in the industry, do you see that Morbi is far more organized and hence, the possibility of any significant margins or significant growth is kind of getting reduced year after year?

Ashok Kajaria: See, two things you asked, and I will answer one by one. First, what has happened in Morbi? Morbi has improved partially due to GST. You know what was the situation six years back. Because GST just completed 6.5 years now, after first of July, that 6.5 years have been completed. They have partially corrected themselves. And today, what is happening is more or less, people have come in GST.

There are some things going here and there, I'll not go into the deep side of it. But that process will further be corrected maybe in a year or two years or so. But once it is corrected, definitely, Kajaria Ceramics Limited

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their share will come down. The organized sector, per se, will take some market share. That's number one. Number two, as far as their organization concerned, yes, they are getting better. They are putting better plants, and they are trying to do. But see, they are all local players, all based in Morbi. When you go all over India, like we are, or Soma is, or Johnson is, then you have to do a lot of advertising and all that to build the brand, which is still far away. Couple of people are trying to emerge like Simpolo and Varmora, we all know.

But it's still far away because to make a national brand, you have to spend a lot of money on advertisement and placement of plants at other areas also, right now they are restricted to Morbi.

Sanjeev Agarwal: May I add some things, Achal. Achal, I think your question was whether the market is more advanced and competitive, the answer is yes. The product is concerned, their product quality, they are coming in big sizes, that is correct. But in India, India is a very vast market. There is a brand-conscious customer, there is a cost-conscious customer.

So, despite they are making the same type of tile, the same quality of tile, there is a segment in the country which will go for the brand even the products are similar. So -- so both will grow. I mean, they will continue to cater to the cost-conscious customers and branded players will continue to contact to the brand-conscious customer.

And going forward, there will be a situation where the gap between the branded and unbranded will shrink. And a lot of -- because of Indian people inspiration, a lot of people will turn towards the branded players. So, we are very confident the industry will move towards the branded player.

Achal Lohade: Got it. Sir, this is very helpful. Just one more question,

if I may. With respect to the fuel mix,

the RasGas, Gujarat Gas, biofuel and propane, et cetera, coal for the quarter, sir?

Ashok Kajaria: I just shared our prices of INR39 blended for the fuel.

Achal Lohade: So, I mean, fuel mix in terms of the total fuel consumption, how much is propane -- sorry, how much is biofuel, how much is RasGas, how much is Gujarat Gas, because...

Ashok Kajaria: See, for North plants i.e. Sikandrabad, Gailpur, we are using 30% as a biofuel. And overall scenario, you see the combination of biofuel, coal and this -- what you call propane is around 25% overall. Propane, right now, it's zero.

Achal Lohade: And the balance, 75% is gas and Gujarat Gas?

Ashok Kajaria: 75% is gas, yes. Gas consists of Ras Gas, other gases and Gujarat gas.

Moderator: And the next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, you highlighted the margin guidance for next year, what sort of volume you are targeting? Kajaria Ceramics Limited

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Ashok Kajaria: Volume, we've already said that, and I think you must have listened while you are at the -- this listening that we will do 5% to 6% more than our competitors. And that's -- and that industry, I'm sorry, than the industry, and we have been doing this for years. And we are confident that industry will improve. Industry will improve, our growth will go.

We cannot quantify at the moment, but we are confident that we will be growing 5% to 6% higher than the industry. If industry will grow by 5%, 6% next year, we will be growing 12%, 13% like that.

Keshav Lahoti: But any sense like what sort of growth you are expecting for the industry, when is the demand revival, what sort of number...

Ashok Kajaria: It's too early to tell today, as I said, let's wait until March.

Keshav Lahoti: Got it. What is the capex for the first nine months? And what sort of capex you expect in

FY25?

Ashok Kajaria: FY25, I already said that we will share with you in the next quarter results. And this year, it's about INR370 crores for FY24.

Ashok Kajaria: March '24 should be INR352 crores capex .

Keshav Lahoti: This is excluding Nepal.

Ashok Kajaria: Yes, Excluding Nepal.

Keshav Lahoti: So last two questions from my side. One is on the slab plant. So, it's a normally less competitive market and the margins are higher. So once the plant ramps up, what sort of EBITDA margin you expect in this? And lastly, on the brands side, which is right now around 3% of revenue. Is it going to stay at the similar level? Or is it going to inch up going forward?

Ashok Kajaria: Starting with the first question, you asked on the slab plant. It's too early. Right now, as you said, that we're going to give this -- I think, in the next half of next quarter, we'll give you details as to what we plan to put and what is -- how it's going to be. And as far as the advertisement is concerned, yes, 3% is there, and it's only going to be more. I mean, we're going to be around that level, we're going to be spending on advertisement from our company.

Moderator: And the next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Good evening, and thanks a lot for opportunity. A couple of questions from my end. Firstly, on the demand front, I know you've already answered a lot. But just one clarity here, this kind of scenario that you're seeing right now, is the demand stood on completely broad-based, like region-specific or Tier 1, Tier 2 cities or whether it be a replacement or new demand? Any sense on any of these parameters would help.

Ashok Kajaria: Going forward, we are more positive than what we are today, number one. Metro is more of a renovation, Tier 1, Tier 2, Tier 3 is more of a new construction. So, if you take it like that, it

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will be new construction

will be close to about 75% and replacement, renovation will be about 25%.

But I also like to add for the benefit of the people that a lot of work is also coming from the government side. A lot of things are happening on education, and health sectors, a lot of work is coming from the states on that front. They are now with this new push towards new railway stations, push towards new airports, all this is going to add more to the demand because of the infrastructure spend being spent by the government.

Sneha Talreja: Understood, sir. Sir, secondly, on your new division, could you specify what are you exactly -- like what is the -- how is the distribution with respect to adhesives on plywood front? How is the distribution reached? What we understand is your Bathware was something which were -- you were targeting our existing tile dealers. But what's happening with the plywood panel space? As well as adhesive's part would be helpful.

Chetan Kajaria: First, I'll answer the adhesives part. Currently, our existing dealers are selling our adhesives, plus we're also hiring a new team from the market from the adhesive industry. In terms of plywood, the distribution network is totally separate. And the existing tile dealers do not sell plywood and laminate, they have separate distribution networks for that.

Sneha Talreja: Sir, lastly, while you mentioned a lot on the Morbi-based player, any comments on large brands looking at entering into tile industry, whether it be somebody like an L&T or somebody like -- we have been hearing even a couple of other players are in this industry. Any view there? What's the right to win or any such feedback would be helpful from your end.

Ashok Kajaria: We haven't heard anything like that. Number one. Number two, the key thing, as you all know, you see number of dealers, the kind of dealers you have. See, to manufacture in the industry is much easy. To have the network of dealers is the most difficult part, which has been generated over a period of 35 years. So, I think any new guy coming in, I'm not talking about L&T.

There are some sanitaryware people who also wants to come in, they come in, they get out, they come in and get out. So, I leave you to judge that, how it will shape up.

Moderator: And the next question is from the line of Mahek Talati from Yellow Jersey Investment Advisors.

Mahek Talati: So, a couple of questions, especially on the export side. So how has the Red Sea prices impacted the overall export market?

Ashok Kajaria: Exports have slowed down. November, December, January, the exports which are on an average of about INR18 crores, which is the data we gave you for the first seven months have come down to about INR1,300 crores. November, December, January, the exports have been to the order of INR1,300 crores each month. See the rates have really increased. I give you an example, container to UK was costing \$600 in December. And today, it's costing \$4,000. So, because of the high fee rates and the transit time, exports are down 40 days of year. The export -- transit time has increased in that part of area from 20 days to 40 days also. So, availability of shipping will be less, this will further be high if this problem continues.

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Mahek Talati: So then -- can we expect this export demand to transfer that to domestic, which can result in oversupply and further decrease of prices going ahead?

Ashok Kajaria: I just answered this in earlier this thing, two things will happen. Part of it will come to domestic, I don't say. Whereas, secondly, they will cut down in production because they can't sell everything to domestic. And third, the moment the situation exists in that part of the world, they will again go back to export because exports is a priority to them for various reasons. And also, it's not easy for any brand to just

dump in the Indian market without any network since they've been exporting. So, there are no leverage, they are not...

Rishi Kajaria: And they have no brand. So, it is not a switch on and off button that you suddenly export, you suddenly dump in the domestic market, you're starting to export again. So, if your exports are going down, then you most probably reduce your production and you stop the plant.

Mahek Talati: Okay. And last, in terms of the two acquisitions. So, what are the capacities which we are expecting to come from KUPL and KTPL...

Rishi Kajaria: KTPL already mentioned, it's going to be 6 million square meters at our acquisition costs about INR50 crores. And for KUPL, it's still very early. We're just buying land right now. And in the next three to four months or in the next quarter review, we will give you an outline as to what we are planning.

Moderator: And the next question is from the line of Anmol Grover from Albatross Capital.

Anmol Grover: I just wanted to know what is the profitability for the bathware segment?

Ashok Kajaria: Bathware segment EBITDA is roughly about 8% for the first nine months. And I think by the time year-end, it would be between 9% and 10%.

Anmol Grover: Sorry, 9% and 10% for nine months?

Ashok Kajaria: No. So far for nine months, it has been close to 8% plus. And by the year-end, it will be close to between 9% to 10%.

Anmol Grover: Okay. Okay. All right. Is there any way you can bifurcate this between faucet and sanitaryware products?

Ashok Kajaria: More or less the same. It's more or less the same.

Moderator: And the next question is from the line of Arun Baid from ICICI Securities.

Arun Baid: We have seen you diversify from tiles to bathware, now getting to plywood, adhesives. Do you think our broad range is not done, or we still have more addition to think about?

Ashok Kajaria: We are diversified. We have only diversified to plywood. These are all related fields where the dealers said, you are already a big supplier of tiles to us. Why can't you give your bathware and sanitaryware, which we started. And as I said in my various earlier meetings, 50% joined, Kajaria Ceramics Limited

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50% didn't joined because some of them were married to other brand like Jaquar or HSI or Cera.

And now in the last year, the dealer themselves said, we are using adhesives also. Why can't you supply adhesives to us? So, we have launched the brand name of Gres Bond by Kajaria. So, adhesives have been launched on those lines. The only diversification which we did was in the field of ply and laminates.

Arun Baid: Sir, do you think the portfolio is complete from that sense? Or there are more to come?

Ashok Kajaria: See the kind of growth we are talking about, unfortunately, it has not happened from the volume side or revenue side this year. I think the hands are full for both my sons, they are looking after the day-to-day things. And next three years, actually, we hope that we should grow much faster than what we have done. And we should focus on what we are already doing.

Arun Baid: On the wood front, particularly, we have gone into plywood, MDF is fast-growing segment there. Do we have plans for that segment too?

Ashok Kajaria: No. You see as far as ply is concerned, you all know that we have not made any money so far, we have lost money. So, first idea is to make money. And as Chetan said earlier, that we had to have this JV because of the quality problems because of the supply problems because they were small units who were supplied to this division. Now once this plant comes, then we should have stability. Next year, we are talking about INR150 crores. And still, we'll lose some money. Let me tell you in advance to the order of about INR6 crores to INR7 crores. And next year after that, we should be able to breakeven. So that's what we are talking about.

ut. So as of

today, what we have to do is to do our job well as far as ply is concerned so that we will be

breakeven at the earliest.

Arun Baid: Just one clarification here. My question was with regards to MDF because most of the guys who sell ply are looking at MDF also. So, I'm just trying to understand whether we have plans for MDF in the near future?

Ashok Kajaria: No, I already answered, you didn't listen, we are not looking at anything. The only growth is what we are doing, ply we will do by partly manufacturing, partly outsourcing. Laminates, as Chetan said, we will do by outsourcing.

Moderator: And the next question is from the line of Shubham Agarwal: from Axis Capital.

Shubham Agarwal: Just one small clarification. You said the realization. So, we saw the realizations have dropped for you, 1% Q-o-Q. This is because though Morbi has not taken any price increases you said and we wouldn't have either, is this because of the product mix change? Or have we taken some price cuts? Or as you said, that we passed on additional benefits to the dealers which has led to lower realization?

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Ashok Kajaria: No, I said two things. One, Morbi has not taken any price hike, yes, they have not taken. And our prices have fallen by 2% to 3% over a period of time. And they have not fallen as far as price is concerned, we have given that additional benefit to the dealers to sell more. So it could be in the quarter, we have given a discount of about 2% to 3%. And partly you see a 1% fall could be due to product mix.

Shubham Agarwal: Right. Sir, and given that you've said that the exports have also seen a downtrend, if I got the numbers right, you said INR1,700 crores was the run rate -- monthly run rate earlier until October, which has decreased to INR1,300 crores since November. And since...

Ashok Kajaria: Yes, November, December, January is INR1,300 crores average per month.

Shubham Agarwal: Yes. So, since that has happened in some tile is being diverted to domestic markets, are you seeing an increase in competition?

Ashok Kajaria: Sir I have already answered this question twice. Anyways since you are asking again. And as we said, partly they have taken shut down which is much easier than what we can do, number one. And partly, as Rishi said just now, a few minutes back, that it's not easy that unbranded player comes and says you buy my products today and tomorrow, I'll not be there because I have to export. It doesn't happen in the trade, you know. The dealer has to run a shop, he is an entrepreneur. He has to take his wise decisions, whether I should have a onetime thing or I should continue doing my business. So, it doesn't happen like that.

Shubham Agarwal: Right. What I was asking was, have you seen a month-on-month increase in competition in January over December? Like would you be able to give some...

Ashok Kajaria: Nothing like this, nothing like this. You see, you are asking this question, you have seen the results of other building material companies, like Asian Paints, everybody is feeling still the market has been tough. So, we are not out of that. We are putting our best efforts. I can tell you. But what the market scenario is, as you all understand.

Moderator: The next question is from the line of Aasim from DAM Capital.

Aasim: One question on the Tiles realization. I think just taking your 9-month volume and tiles revenue, the average number is just about 380 per square meter. Now given that pushing price hikes is hard unless everyone in the industry does it. I just want to know that how will mix improvement help this realization figure in the future? Can your upcoming capacities in GVT and large format tile basically mix improvement? Is there a case for the 380 figure to go to say, 395, 400 in the next couple of years?

Ashok Kajaria: See, the question which you as

ked is very valid and very important. Let me tell you about

GVT then I'll tell you about ceramics also. Once value-added tiles increases, your realization per square meter will definitely come up, for example, it will take some market share of the existing players. And you think the price is much higher.

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Similarly, ceramic also sell value-added products bigger sizes tile, the realization will go up. Price increase per se will not happen at least for some time that we are looking at. But value realization, the market is slightly improved.

Aasim: But I think product innovation has not really helped keep prices rather blended realization, higher for a longer time, but given that the competition has also been -- have been able to provide similar products in the past. So just that the 380 number going to 390 by 400, I just wanted to understand the degree of confidence behind.

I understand that theoretically it should go up. But the probability of that happening, is that like a decently high number as per you? Or would this still be like overall a volume game?

Tiles volume growth will come in, blended realization may be flattish given the way the competition is?

Ashok Kajaria: You didn't understand what I said. The market is moving gradually towards bigger tiles in the last three to four years. When these bigger tiles come in, they are priced higher as compared to these smaller tiles. So, the realization will, is not a resultant of how better I'm producing a good tile or the other guy is producing a slightly lower tile. Realization will come from more use of bigger tiles where the prices are higher. And at the end of the day, you will get a better per square meter realization for that particular commodity, whether it's ceramic or GVT.

In PVT, also we have brought a lot of value-added products, bigger sizes, which some of them we are outsourcing and the value addition will also be looked upon accordingly.

Rishi Kajaria: So yes, to answer your question, the company is moving towards value addition as we go ahead. And that's the reason of putting the continual plus lines also. That's the reason of buying the land also in future. So yes, it will take time because the market is flat, we have really not got any results this year, but maybe in future, definitely, we are looking at a very positive scenario.

We are also working on our distribution network and seeing how we can display more and more of value-added tiles. So yes, the future looks good. We can't comment on the exact numbers what the realization will increase to, but yes, company is moving in that direction.

Aasim: Sure. And just one follow-up. I think to an earlier question, you did say that Tier 3 and 4, Tier four markets will grow faster. Will that have a negative bearing or would that not be material enough on the realization -- blended realization?

Ashok Kajaria: We are selling best of the tiles. People have a lot of money out there; they are showing interest to the tiles. I gave you an example, the showroom opened in Jhanjharpur and Darbhanga, they are state-of-the-art showrooms. Jhanjharpur is a population of 70,000. It's a Tier 4. Darbhanga, you can say Tier 3.

And the guy over there has opened 15,000 square feet in Jhanjharpur exclusive Kajaria. In Darbhanga, he has opened 11,000 square feet exclusive Kajaria and all kinds of products are Kajaria Ceramics Limited

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displayed, all value-added products. People have money but they didn't know where to buy their product. They used to go to Patna to buy the products.

Moderator: The next question is from the line of Rahul Agarwal from InCred Equities.

Rahul Agarwal: Ashok ji, one question I had in my mind was on real estate. What we understand is premium luxury real estate is actually doing better across the country,

both if we track Delhi, Bombay,

Bangalore, that's what it looks like, larger metro cities. Larger houses, people want more square footage, higher floors, in-built amenities, stuff like that.

Most of the discretionary companies, I know, you also mentioned Asian Paints and Havells they are looking at some kind of slowdown and everybody is hoping for a recovery to retail demand. Just wanted to get a sense, obviously, it has to tie up with this Tier 3, Tier 4 story of that mix actually getting better. And your exposure to metros, as you said, is over 20%. So, I'm not really sure whether this premium luxury kind of changes our business.

And coupled with this also is you mentioned infra demand from government airports, ports, railway stations and stuff like that. Would you -- since you sell everything through your dealers, how would you track that? What is Kajaria's penetration into, let's say, project side?

And then on the retail side, does this premium luxury demand also help you? I'm just trying to get a sense of whether this real estate demand actually will play out into our favour or not?

Ashok Kajaria: See, there are two things. You said metro. For metro, they require better tiles, good tiles, even larger tiles for which we are talking about putting up the plant of glazed vitrified and we already have products in glazed vitrified in bigger sizes, but even more bigger sizes.

As far as general construction is concerned, they're using all kinds of tiles. Be it ceramic, be it polished vitrified, be it glazed vitrified it doesn't make any difference.

It all depends on where you're making that property, number one. Number two, metro is a different story. Tier 1 is a different story. Tier 2 is a different story, Tier 3 is a different story, Tier 4 is a different story. India being a large country, all kinds of products are being used not from today, it will last for many years and will continue to do. See, when you talk about specifically that luxury is in demand. It's basically limited to cities.

When you go to Tier 1, Tier 2, Tier 3, Tier 4, it's again a normal scenario.

Rahul Agarwal: So, Tier 1 to tier...

Rishi Kajaria: Just to add in that, like Delhi, Bombay, Bangalore and all we supply directly to projects. Lot of these especially we supply directly to projects and can't track what is happening. Even government projects, a lot of it is supplied directly so that we can track and they also want to buy directly from the company. Some of them are very large-scale projects, so, they are through contractor. So, all our sales are not through dealers.

Rahul Agarwal: So, what my understanding was about maximum 10% is what you build directly to government or projects, right? Is that correct?

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Ashok Kajaria: It's close to about 30% is the institutional sales. Yes, we always been saying 70% is through retail outlets that is a dealer outlet. And 30% is institutional sales. When you talk about the institutional sales, it is a two to three types. One, government projects where they want the billing directly or through a contractor, but company markets itself for that account. The smaller builders where they want direct billing, but payment is not an issue. So, these are the two key kinds of things which we are targeting as far as institutional sales are concerned.

Rahul Agarwal: I mean your experience over the last 12, 15 months, where we're seeing a tough time, has this proportion changed in favor of institutional sales? I think that should have happened?

Ashok Kajaria: Institutional sales have improved. But in Kajaria, the overall percentage is still low.

Institutional sales, when you say government institutional sales have improved, and it will be more and more with the kind of government putting infrastructure. As I said earlier, two areas we are spending a lot of money is health

and education. And also, now a lot of business will come from airports, which they are trying to modernize.

From railway stations, which we are talking about. Like for Bombay and Lucknow, they are talking about modernizing the airport. So, these are the demands which will come over the period of next six months to one year. The projects are already on. And if you all recall, Modi ji has already sanctioned 500 railway stations across India to be modernized in the next three to four years.

So ultimately, tiles have to be used in all these places.

Chetan Kajaria: And our mix will remain about 75%, and 25% is projects because we're working in both the plants. So that proportion is more or less the same even going forward, we feel it's going to be the same.

Moderator: And the next question comes from the line of Utkarsh Nopany from BOBCAPS.

Utkarsh Nopany: Sir, like if we see in December quarter, we operated at 101% capacity utilization. I'm talking about our old and subsidiary facility. And our capacity would increase by only 7% in FY25 with the help of the recent acquisition of 6 -MSM GVT facility in Morbi. So, I wanted to know, do we have scope to increase our own and JV sales volume in the current March quarter on a sequential basis as we operated at full level in December quarter?

And do we plan to add more capacity in the domestic market in FY25 as we are quite positive about the demand scenario from next year onwards?

Chetan Kajaria: See, it will be a mix of both outsourcing and increasing our own capacities. And we take the call, there we go ahead and see how the market conditions improve. We already announced two projects in GVT. When as the market condition improves, we can update you more in the next couple of quarters how we are planning to increase our own production or outsource the remaining capacity.

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Utkarsh Nopany: Okay. So, for this March quarter, whether our owned and JV sales volume would be limited to what we have done in December quarter, there would not be any sequential growth in the volume?

Chetan Kajaria: Correct.

Ashok Kajaria: I already said that.

Moderator: And the next question is from the line of Amit Purohit from Elara.

Amit Purohit: Just -- sir, on the initiative that the company is taking up more on the sales for automation from April 2024. And on dealer management system, if you could give some more insights into what is this change will happen due to this operational...

Chetan Kajaria: The sales force automation is more to improve the efficiency of our existing sales force. And we don't plan to increase more manpower. As we go along and increase our production and capacities, the same team will do the sales. This is more for more efficient working, mapping their routes, making them more efficient and you managing your time more efficiently.

The dealer management system is more for making the dealers more efficient. They can see the stocks online. They can see the outstanding online. They can place the orders to the factory. So, to get this is more automated and make it more efficient for everybody on holding the good supply chain.

Amit Purohit: Yes. But would that result in some reduction in the inventory at the dealer level? Or would this could have an impact on a -- whenever it gets launched, some inventory correction in the system?

Ashok Kajaria: It will reduce inventory level also, plus it increases efficiency of our people, increase the efficiency of the organization.

Amit Purohit: Okay. So, I mean would this be more of an online ordering system by sales force guys?

Ashok Kajaria: No, no, no online ordering. Online ordering, we see, the dealers still do online orders, but we can see live stocks and order directly to the plant through dealer management system, just like an airline ticket. It will increase his efficiency also.

Amit Purohit: Sure. And sir, sorry, I'm new to this sector, but I just wanted to know that what is the sales force automation, which is the sales team does is basically to take orders and give it to the dealers in terms of -- for execution of the orders? Is that...

Chetan Kajaria: It is more of automating the whole system. As they make new dealers, it will map that new dealers whole profile that all comes in the system. Everything is stored digitally to reduce the paperwork, map their routes, increase efficiency, and know what they're doing. The whole chain gets more digitized and automated.

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And all the seniors to the juniors do know exactly what is happening in the system where the people are traveling, what is in the whole day, are they efficient or not. That is the whole purpose of introducing a sales force automation system in the organization.

Ashok Kajaria: Many good companies have done it. Just like we were told that Asian Paints, Havells, they're already doing it. We are slightly late, but we are implementing from 1st of April. And also going forward, if -- this should also make sure that we don't increase our manpower and the same team will take care of the future growth as we do.

So, all these systems -- so two or three years down the line, as the company grows, but no of employees will not grow, and it will be more systematized.

Amit Purohit: So, we are the first in our sector to do this?

Management: I can't say that. We can't say that. We are the first of -- yes.

Ashok Kajaria: No, no, we are not the first -- we don't know -- in our trade, we don't know, but I just told you that Havells and Asian Paints are already doing it. And that's what we have learned, and we are trying to improve ourselves. That's all I can say at this stage.

Amit Purohit: Sure. And just one more thing on the investment that we are doing. One, I understand that there is an acquisition. And first is a subsidiary for the tile. So why is he setting up a subsidiary why can't we do it in the Kajaria itself?

Ashok Kajaria: We are going through subsidiary because we also want some stake of local partners from Gujarat from whom we are buying the company.

Amit Purohit: Okay.

Rishi Kajaria: Morbi is really peculiar market. We don't want to have any factory on our own, for all the local issues, you always need a partner. So, all our JVs and Morbi have a local partner. So, the similar model, we wanted this one to be as well. There's the other controlling stakes, anywhere between 80%, 90%, and the rest is with a local partner.

Moderator: And the next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: It's been a while now. Just in terms of the data, if you could help us with the GVT PVT ceramic mix for 3Q FY24 and nine months?

Chetan Kajaria: So roughly, the ceramics -- revenue is at 39% and volume is at 43%, PVT is 26% and 25% and GVT is 36% and 32%.

Achal Lohade: Got it. And Chetan, if you could help us understand in terms of the comment made was obviously not given the harsh winter. Obviously, it's impacted. Can you help us understand from a FY23 or nine months, how the mix is for North, West, South, East?

Chetan Kajaria: So roughly, North is 40%. South is roughly 30%, West is another 18% and East is 12%.

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Achal Lohade: Understood. Understood. I think that's very helpful, sir.

Moderator: And the next question is from the line of Saurabh Jain from HSBC.

Saurabh Jain: I'll make it quick in the interest of time, sorry. So, what I'm trying to understand is why there is so much variation in terms of your capex cost for setting up 1 MSM of capacity because it ranges from almost like INR10 crores per permission for the new plant acquisition that you have made just now.

And it goes up to more than INR

30 crores for the Nepal plant and some of the previous

brownfield expansions that you have done, I think it translates to somewhere about more than INR20 crores per MSM. So, I understand it could be different for different kind of products

that we do, but what explains so much the variation in your capex cost? I wanted some clarity here.

Ashok Kajaria: See, as far as Nepal is concerned, nothing is available there. Everything has to go from India. So like equipment and the machines have to be coming from China or Europe and has to be routed through India. So, putting up the costs are high. But at the same time, the realizations are much better because it is based on a basically an input-based country.

There are three plants already coming up and running. But at the end of the day, the realisations are much better than what we have it here. So, the cost of putting up the plant will be there, but the realizations, EBITDA margins will be better at the end of the year.

Saurabh Jain: But then comparing the, say, ROCEs for the new acquisitions that you have done, would the ROCEs be materially higher than what would you probably do at Nepal or some of your previous business? Or how do you see that?

Ashok Kajaria: See, that's what we are seeing, and that's why we are putting up the plant. Nepal ROCE should be better than what we are having it correctly.

Saurabh Jain: And compared to the new acquisition, Keronite?

Rishi Kajaria: Keronite it will be much, much better because we've got a very good deal on the entire project. So there, they're expecting ROCE almost 30% plus.

Saurabh Jain: Yes. So that is precisely my question is that why we rather -- if we have such attractive rates in the market, why not rather try to focus our capital allocation on striking such good deals, wherein we make very strong ROCE?

Rishi Kajaria: It's not necessary to get that deal every time. So, this is, I think, one of the good deals we got, and we grabbed it. And in the future, if we get anything like that, we are still open, right? If we have cash in the company, we are always open to good deals. So, this is a good deal. So, we got it, you're right, your calculation is pretty good that INR50 crores for 6 million square meter is a very good deal. And that's why we're looking at a much better ROCE and margin in this.

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January 31, 2024

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Saurabh Jain: Yes. And does it also then imply that probably the Ultima? Because I remember, I recall a couple of years back, we had plans to do 5 -MSM E at INR210 crores of cost in Ultima. So then again, that expansion could actually be kind of much lesser in terms of ROCEs compared to the Keronite acquisition?

Rishi Kajaria: You're absolutely right. This is the same Ultima plan which we have planned earlier, which we put on hold that time. We were not confident in the market, but now looking at this scenario, we are very bullish. And yes, going forward, the land we are buying is for something similar, which we are working on right now, which we want to buy the land first.

And last two, three months, we will announce in the next meeting as to what we want to do.

But yes, it is to put our slab plants. The exact working we will share in next quarter meeting.

Saurabh Jain: Okay. Thank you so much. Thanks for answering the questions.

Ashok Kajaria: Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Ashok Kajaria: Thank you very much for this meeting. I think good questions, and I hope we have answered it to the best of our ability, and thank you very much for organizing this. So, I thank all the people who have joined us today for this conference on behalf of Kajaria management and myself. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us.

And

you may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

July 26, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 23, 2024, informing about the uploading of the audio recording of the Conference Call held on July 23, 2024, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For Kajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited Q1 FY25 Results
Conference Call "

July 23, 2024

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING
DIRECTOR , KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING
DIRECTOR , KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR ,
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CFO, KAJARIA CERAMICS
LIMITED
MR. KARTIK KAJARIA – HEAD ADHESIVES DIVISION ,
KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH – DVP STRATEGY AND IR, KAJARIA

CERAMICS LIMITED

MODERATORS : MR. PRANAV MEHTA – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Results Conference Call of Kajaria Ceramics Limited hosted by Equirus Securities.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Mehta from Equirus Securities. Thank you, and over to you, Mr. Pranav.

Pranav Mehta: On behalf of Equirus Securities, I welcome you all to the 1Q '25 Post-Result Con call with the management of Kajaria Ceramics.

From the management side, we have Mr. Ashok Kajaria – Chairman and Managing Director, Mr. Chetan Kajaria – Joint Managing Director, Mr. Rishi Kajaria – Joint Managing Director, Mr. Sanjeev Agarwal – CFO, Mr. Kartik Kajaria – Head (Adhesives Division) and Mr. Nehal Shah – DVP (Strategy & IR).

Now I hand over the call to Ashok sir for his opening remarks, post which we will open up the floor for question and answer. Over to you, Ashok sir.

Ashok Kajaria: Thank you, Pranav. Good evening, everyone. It gives me great pleasure to welcome you to the quarter one FY 25 Earnings Conference Call of Kajaria Ceramics.

As already said by Pranav, joining me on this Conference Call are my sons, Chetan and Rishi, my grandson, Karthik; our CFO – Mr. Sanjeev Agarwal, and Nehal Shah – DVP (Strategy).

Despite the softness in domestic demand being an election-led quarter, our tile volumes in Quarter 1 F25 grew by 7.8% year-to-year to 26.98 million square meters. Going forward, we continue to maintain a positive demand outlook for the tile industry. As far as our company is concerned, we are confident of achieving low double-digit growth, volume growth for the current financial year driven by our extensive relentless branding and distribution efforts. Our consolidated revenue for the quarter stood at Rs. 1,114 crores, indicating a 5% increase compared to the corresponding period last year. The EBITDA margin for the quarter was 15.01%. Our recently acquired Keronite unit with a capacity of manufacturing 6 million square meters of GVT in Morbi, commenced production in Quarter 1 F25. We expect this unit to achieve optimum capacity utilization by Quarter 4, F25. The progress of Nepal project is on and we anticipate commissioning of 5.1 million square meters of GVT and ceramic capacity by September 24.

On the export front, India tile exports experience an impressive 26% growth in F24, crossing Rs. 20,000 crores (Rs. 20,175 crores to be very precise) for the first time. In the first 2 months of F25, Morbi exports however remained flatish at Rs. 3,350 crores. It is worthwhile to mention

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that despite the recent initiation of ADD by US on Indian tile imports, the Morbi exports to USA in April and May put together have still grown by 16% to Rs. 335 crores versus Rs. 289 crores achieved in the same period last year. With exports momentum likely to sustain and rub off of strong real estate demand, likely to drive improvement in offtake for tiles in F25, we expect the tiles industry to fare much better than it did in F24.

Now for this quarter segment-wise financial performance :

Tile segment grew by 3% year-to-year, reaching Rs. 990 crores compared to Rs. 957 crores in Quarter 1 F24. Bath ware segment registered 8% year-to-year growth in revenue, reaching Rs. 91 crores compared to Rs. 84 crores in Quarter 1 F24. The plywood revenue increased by 25% in Quarter 1 F25 to Rs. 18 crores as compared to Rs. 14 crores in Quarter 1 F24. Revenue from adhesive grew by 59% to Rs. 15 crores in Quarter 1 F25 as

compared to Rs. 9.6 crores in Q1

F24. PAT for the quarter de-grew by 16% to Rs. 90 crores in Q1 F25 as compared to Rs. 108 crores in Q1 F24. As of 30th of June 24, the working capital days increased by 1 day to 59 days from 58 days as of 31st of March 24.

With this, I take the opportunity of thanking you for joining us today. Over to Pranav for Q&A, please. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Rahul Agarwal from Ikigai Asset Manager. Please go ahead.

Rahul Agarwal: Sir, just wanted to start with the budget. Essentially, any take-away sir for our industry and any changes would you see over the next 12 months?

Ashok Kajaria: Budget has been positive on two, three fronts. One, lot of business will come from Bihar, lot of business will come from Andhra. And also the Finance Minister has announced a Rs. 10 lakh crore budget for urban housing for the next 5 years for one crore citizens. So, I think because when it's urban housing that means the demand of tiles will further go up.

Rahul Agarwal: I will jump to questions on the company. Sir, if I did for a low double digit volume growth fiscal 2025, any views on the revenue growth because 1st Quarter obviously, we have seen pricing compression. Do you see revenue growth to be lower than volume growth this year?

Ashok Kajaria: It will be slightly lower. The revenue growth should be around 8% -9% compared to 11% -12% of volume growth. And just to tell you that the prices are more or less stabilized. If you see the numbers of Quarter 4, last year, that means F24 Quarter 4 and F25 Quarter 1, there is no pricing change. Realization difference is half a percent only. So, prices are more or less stabilized.

Rahul Agarwal: Perfect, sir. And any comments on the gas pricing, sir? How was it in 1st Quarter for North South, West? And what is the expectation?

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Ashok Kajaria: Gas prices more or less same what it was in Quarter 4 and Quarter 3 of last year. There is no change per se.

Rahul Agarwal: Rs. 39 rupees on an average for the company?

Ashok Kajaria: 37 rupees for the Quarter 2 5.

Nehal Shah : For North, it is 37, for South it is 36, for West it is 36 and overall it is 37.

Ashok Kajaria: Yes, it's not gas, it's a combination of all fuel.

Rahul Agarwal: Any comments on gas pricing, sir?

Ashok Kajaria: Gas prices are more or less same, no change internationally as of now.

Rahul Agarwal: Yes, and the last question we hear propane seems like it's bit cheaper versus gas at Morbi. Are we seeing any price disadvantage or there is no material change?

Ashok Kajaria: No, more or less they are same. Rs. 1 – Rs. 2 difference doesn't make much difference because that's how they are pricing each other.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: I believe good set of numbers. What surprised me was the volume growth. I mean, as per my dipstick this quarter had not been great, yet an 8% growth. I believe 2nd Quarter would be a little dull because of the monsoon. So, do you think we will be somewhere around mid-teens in terms of volume growth? Second is, as per my understanding, the gas consumption of 75 mmcmd has not come down. Is there any change in this quarter where the gas consumption has come down? If not, then do we expect the production to be at same levels and therefore the third quarter and fourth quarter should see a pickup in demand?

Ashok Kajaria: See volume growth for the quarter which is now should be close to about 11% -12%, that's number one.

Jyoti Gupta: This quarter? Quarter 2 you are saying 11% -12%?

Ashok Kajaria: Yes, and secondly the question on gas which you asked, there is not much change in the price of gas.

Jyoti Gupta:

And third sir, on this container side, I understand that the material which is produced for exports cannot be actually sold in the Indian market typically because of the expectations in terms of, but do you think shortage of container will in any way impact the domestic market now that we are seeing pickup in demand and hopefully it's going to sustain in the next 3 quarters, 11% -12% 2nd Quarter is a very good number?

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Ashok Kajaria: Just to interrupt this question keeps on coming whether export material can come to the domestic market which I have always answered in the manner that a dealer suppose I am a dealer. I am keeping a material of Kajaria or Somani or someone else. I cannot keep on changing. In our industry, what is visible is sold. If I have displayed certain, if I am a dealer of X and I have displayed that material, somebody comes to me and offers 10% -15% less, even then I cannot sell because I cannot display, it will not sell. So, basically export material cannot go to the domestic market and some of the people who are making it for exports, they are basically making it for export market.

Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS. Please go ahead.

Shaleen Kumar: Good evening to everyone. Sir, I must say a good set of volume growth, that's a positive surprise for all of us. Sir, I noticed one thing that despite weaker realization, our gross margin has been improved and now you are looking forward for a better growth volume in 2Q. So, assumingly

the realization stays here, improved from here. So, is there a scope for margin to improve from here as well, gross margin? Can we think about that?

Ashok Kajaria: So, we are looking at a 15 % to 16 % EBITDA margin as we have said previously also, and we are maintaining that right now because our priority is to sell volumes in the market going ahead while keeping our projected margins.

Nehal Shah : Shaleen, as far as gross margins are concerned, I think it's at 38.5% this time which is 100 bps higher than a Y-o-Y quarter. So, I think you are alluding to this, right? So, with respect to raw material cost, I think the raw material cost is significantly lower compared to Y-o-Y and that keeps changing because of outsourcing mix keeps changing. So, one should not dwell much into this quarter, but as far as gross margin is concerned, I think it should be in this range plus minus 1%.

Shaleen Kumar: Even if, let's say, some realization improvement happens, we should get some benefit out of it, right? Is it fair assumption?

Ashok Kajaria: Yes. That will further add to the gross margin.

Shaleen Kumar: Right. The second thing, your manufacturing number was higher than the sales number. So, when you allocate the cost, is there some part of the cost which is already coming in in this quarter from those manufactured trial or you proportionate it? I mean, for example, I could see that your power and fuel cost was up like 10%, right. So, how should I think about that?

Nehal Shah : So, the growth what we see here is largely because of increase in production which has gone up by 13% during the quarter.

Shaleen Kumar: So, then which effectively means then we have taken part of the cost in this 1Q, right?

Ashok Kajaria: Right, because that's there in the stock today.

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Shaleen Kumar: Right, so I mean, correspondingly, then it will not be same for the next quarter because we already have a stock with us.

Ashok Kajaria: Yes, but if in the next quarter the stock again remains, the incremental stock comes into play, then again, we will have the same situation. So, again it varies depending on where the stock is.

Shaleen Kumar: Right, so basically, I was looking at the avenues where we could have, there's a case for a margin improvement.

I think coming back to the same points on the cost, on the employee headcount, can we understand how much is the increment phase and how much is the additional headcount phase because there is again a big jump over there and sustainability of that?

Sanjeev Agarwal : Actually Shaleen, what had happened that last year same quarter, there was a mistake that we did not take that increment in the quarter. So, there is some difference because of that and the Secunderabad plant we started, we capitalized the salary in the last quarter so this time additional Rs. 3.5 crores salary has come from Secunderabad and around Rs. 2 crores from the other Kerovit Global and all. So, this will be the run rate for all the quarter roughly.

Shaleen Kumar: Basically our costs are hitting us because we are kind of starting new plants and the benefit of them in terms of revenue will come with the lag.

Sanjeev Agarwal : That's correct. Yes.

Shaleen Kumar: And hence the depreciation is also a little higher.

Sanjeev Agarwal : Revenue will also go. So, in this quarter, the quarter has been penalized because of the costs and corresponding revenue has not come in this quarter.

Shaleen Kumar: So, basically, yes, understood. It is a great show. I think momentum has come back. We look forward to see the area delivering double digit volume growth.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: So, the first question is related to the product mix, PVT, GVT, ceramics. Is there any material change versus the last Q1 FY24 to this quarter?

Nehal Shah : It's more or less the same. No major change. The only change that has happened is GVT mix has gone up a bit while the other two segments the mix has been a bit down.

Praveen Sahay: Secondly, on the Nepal JV, why there is a delay in the commissioning from June to now September?

Ashok Kajaria: There were very heavy rains in Nepal. So, because of that we delayed the expansion, but now everything is in order. August, we plan to light up the kiln and by September the production will start.

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Praveen Sahay: And last question related to the non-tile segment. So, there is a good decline in the EBIT margin in this quarter. So, why is it so and when we will see improvement in this segment?

Ashok Kajaria: When the bathware segment the 1st Quarter margins were low because we just started the new

plant of Kerovit Global on March 30th. But sanitary ware plant takes 5 to 6 months to commence production properly. So, 1st Quarter was pretty poor on the production. From this quarter, the production will pick up and from the next 6 months, October to March, it will give you good results. So, this was the reason why even 2nd Quarter will be a little muted in terms of bathware because of the loss of the new plant, but from October that will be compensated.

Management: And in terms of plywood, the 1st Quarter the loss was higher due to increase in timber price in the market for which we have taken a price increase on 22nd July of 3% but in terms of adhesive, the profit was much higher versus Quarter 1 last year.

Moderator: Thank you. The next question is from the line of Dhananjai Bagrodia from AS K Investment Managers. Please go ahead.

Dhananjai Bagrodia: I just wanted to ask broadly for your breakup of revenue between metros and tier one and rural, do you have any broad-based breakups?

Chetan Kajaria: Basically we can give you a rough idea, North is 35% of our sales, South is roughly 30%, East and West are 17% each. If you go to metros like we can say Delhi is 3%, I can give you a state wise break up if you want but that's a rough number of our zones.

Dhananjai Bagrodia: So, what was that? Roughly, because we don't understand North and South both are 30: 30 each.

Ashok Kajaria: 35 and 30

Dhananjai Bagrodia: Just to understand, would you have a broad base in terms of metro and tier 1 because that is how we are speaking about how you will...

Ashok Kajaria: See, metro is close to about 15% overall. Tier -1 would be about 31% -32%. Tier-2 will be about 31%-32%. Tier-3 will be about 14% -15%. And Tier-4 and below will be the rest.

Dhananjai Bagrodia: 15, 30, 60, 75, 90. So, basically the remaining will be 10%?

Ashok Kajaria: Yes, about Tier -4 and below should be about 7% -8%.

Dhananjai Bagrodia: So, last three years, we have not had strong volume growth per se because Metro was the one which was leading in housing. Now with government again focusing back on Tier -2 and Tier-3 in terms of improving their market scenario, then we will be the biggest beneficiary of that, right?

Ashok Kajaria: That is where the action is. For the last 2 -3 years that is where the action is. Tier -1, Tier-2, Tier-3 that's where the action is.

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Dhananjai Bagrodia: So, then sir, why didn't we have strong volume growth if the action was out there predominantly?

Ashok Kajaria: That's why it started, no? With this quarter the volume growth has started with 8% and overall annually we will be looking at about 11% -12%, so there's a lot of growth will come from these areas.

Dhananjai Bagrodia: So, that's why sir, Tier -2, Tier-3 have just started picking up, is that right?

Ashok Kajaria: No, they are there for the last one year, 1.5 years. See, overall the demand in India was not there, right? Overall the industry, as we discussed even last year, the industry was flattish where we grew by 6 %-7%. This year we are forcing the industry to be at 5 %-6%. We will outpace the industry by 6%, so we will be plus the industry.

Dhananjai Bagrodia: And just to have an idea how would exports be then I like could there be any impact in our...

Ashok Kajaria: The industry grew from Rs. 16,000 to Rs. 20,000 crores. At Kajaria, we don't export much. Our main focus is the domestic market so our export has also been flatish.

Dhananjai Bagrodia: Industry, how industry growth be in exports because see if exports become weak then they will start dumping in India but as long as exports grows in a way where they don't need to dump in India, then we are through.

Ashok Kajaria: See firstly let me just clear that concept they don't dump in India if the exports decrease, they close their factories. Dumping in India is not easy. It's not a switch on and off button that you can just supply to people and then suddenly shut the supply, right? So, they don't dump in India. If the exports don't work, they shut down their plants.

Moderator: Thank you. The next question is from the line of Utkarsh Nopany from BOB Capitals. Please go ahead.

Utkarsh Nopany: Sir, my first question is on the tile capacity utilization. So, in the presentation, we have mentioned that we are going to dispose of two ceramic tile lines at Gailpur plant from July onwards. And if we adjust for this capacity, then we operated it around 96% rate in the June quarter. So, my question to you is, like, if we are quite optimistic about the demand scenario, then what is holding us back to come up with a large expansion program in the domestic market, as we are already operating at a pretty high rate, and we also have a strong balance sheet position?

Ashok Kajaria: That's what we're going to do because that's the need of the hour, and that's what we do every year. If you have to grow at 11% to 12%, 15%, every year we have to put up capacity or do some outsourcing. So, it's a question of a right balance which we are looking at. And once we dispose these two lines, which were very old, 26 -year -old, we will put up a new capacity there. But that capacity putting up takes 6 to 7 months before we can put up that capacity.

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Utkarsh Nopany: And some connecting question to this is like our outsourced tile for the share has gone up from say 18% in FY 19 to around 25% at present. So, where do you see the share to settle down over the next 2 to 3 years? And if you can also provide some clarification whether there is any difference in the product quality and margin profile of our own JV and outsourced types volume or all are same ?

Ashok Kajaria : It all depends on which market you are catering to. If we are catering to North and East, we would like to have our own capacity. If we are catering to West and South, we will partly use for West. West is outsourcing and South will expand our capacity. We have two plants there, Southeast Asia and this Kala hasti.

Ashok Kajaria: See margins are always better in our own manufacturing plants as compared to Morbi. Margins will always be better. It will be a mix of both manufacturing and outsourcing going forward. We cannot give you the numbers right now, what will be a 2 to 3 -year projection, but it will be a mix of both manufacturing and outsourcing.

Utkarsh Nopany: And sir, my last question is on the Nepal operation. So, whether we are going to consolidate Nepal operation going forward or it would be shown separately as share of profit from JV going ahead? And can you please provide some sense regarding how the ramp up of the plant is expected to happen in second half of FY25, FY26 and 27 ?

Nehal Shah : So, it will be shown as share of profit of associate which is below the line.

Utkarsh Nopany: And how the plant ramp up is expected to happen?

Ashok Kajaria: Let it start first and then we will review and say what will happen tomorrow.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HD FC Securities. Please go ahead.

Keshav Lahoti: Just want to understand on volume front, how has been it like, whether June has been quite healthy versus possibly April and May, how should we see the monthly trend and how is July going?

Ashok Kajaria: April was not good, May was better, June is slightly better and that's what we see that the trend moving better from here on.

Keshav Lahoti: Understood. Got it. So, there has been some price hike by Gujarat Gas in July month. So, will it have any impact on margin? How should we see that?

Ashok Kajaria : The price hike was just Rs. 2 per SCM and the impact is not there that much.

Keshav Lahoti: Understood. Got it. And one thing you said the average fuel price was 37 for this quarter. So, last quarter you mentioned it as 39 or was it flat or marginally down this quarter?

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Ashok Kajaria: Last quarter the fuel was 39 , average 39 and this quarter is 37.

Keshav Lahoti: Understood. Got it. It is quite clear now. Just one last question. How much is your Nepal sales right now in volume terms in FY24 or maybe for this quarter?

Ashok Kajaria: It's not a very major number. See, right now, since we are exporting from India, Nepal sales is not a very major number. We are selling about 70 -80,000 square meters a month. When the plant comes, we have to sell about 4 lakh square meters per month. The real game will start when the plant comes into production because the custom duty is also very high in the range of 50% to 55%. It will be much more competitive, and we can get more volumes. That's the whole purpose of the plant.

Keshav Lahoti: So, it can add a new layer of growth to the company , the Nepal market , understood.

Moderator: Thank you. The next question is from the line of Vinamra Hirawat from J M Financial Services. Please go ahead.

Vinamra Hirawat: So, I heard you say Morbi can't easily dump in India. So, regarding the US tariffs, we shouldn't estimate any change in volumes or realization guidance in tiles if the US expected tariffs of 400% to 800% go through?

Ashok Kaj

aria: See, first of all, where this number has come from about the additional duty. As far as the additional duty is concerned, even it comes, it will not be more than 10% to 25% . That's number one. Number two, India is very competitive per se. Number three, just to give you some statistics, in the month of June, Russia has overtaken America as number one market, USA is #2. So, lot of markets are opening up because India is a very competitive player in the international market. So, don't think that alone America will do anything great. It's a whole world which has opened up to India, and there are 178 countries which India is exporting tiles to.

Vinamra Hirawat: Nice to hear that. My next question is on GVT, PVT and ceramic. As I understand , GVT is

growing the fastest and commands a price premium. What is the expected volume growth for the next couple years in GVT? And do you expect GVT and a better more premium product mix to drive higher realizations going forward than what they were this quarter?

Ashok Kajaria : See, all the three verticals have to grow to get the consolidated number of 11% to 12%. GVT might grow a little faster than ceramic and PVT but they all will be growing and yes as a value as you know as the product mix changes as we sell more of the value-added high big tiles; your margins will be little better but that will be offset by the volumes. Our first priority would be to deliver our volumes.

Vinamra Hirawat: Got it. I just have one more question on your bathware . If I heard you correctly, I think we grew at 8% in bathware. Are we seeing higher volume growth here in line with tiles in the second half and in FY26?

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Rishi Kajaria: Yes, we definitely will. It will be a good double digit growth for sure, end of the year. And we will see the numbers increasing from here.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Couple of questions. One is if you could provide us an update on implementation of sales for automation and DM S. How far are we? That's one. Second is are we already opting for channel financing? If yes, to what extent of sales does it get covered? And if you have any plans over here?

Ashok Kajaria: So, in terms of Salesforce automation, it has already become live. It has been sent to all our sales team force in the last month. And we've already started tracking the movement of the people. In terms of DM S, we did an initial launch for the top 50 dealers across the country last week. And we're going to go live in the first week of August, where they can see the stocks online, place orders online. So, first week of August, it's going to go live to 900 dealers across the country. On channel financing, 50% dealers are already under 4%, 3%, and 170 dealers have already come under channel financing. And we hope to have at least another 300 dealers in channel financing by next 2 to 3 months.

Ritesh Shah: Sir, how do you see the velocity of sales actually change for us as we implement sales for automation and DMS is going forward. How is it likely to benefit us if we could just educate?

Chetan Kajaria : See, it is not directly to velocity of sales . It's about improving the quality of the time with the dealer spend and our people spend in the market . Today we can track how many architects are wasting, how many dealers are wasting, are they wasting time on the same dealer, how many times in a month. It improves the quality and efficiency of the team as well as the dealer community basically. Let's say a dealer phones a guy 4x for placing an order, he can now just punch it online to get the plan directly. It's all about improving the efficiency and the speed and the quality of time management basically.

Ritesh Shah: And on channel financing as we are open to more dealers , is it likely to impact sales or can it be

incremental leader?

Management: It will help in improving sales.

Ashok Kajaria: It is helping those dealers to grow faster.

Chetan Kajaria : See right now their orders get stopped if their payments are stuck right. Once you get into channel financing , then their orders are not going to be stuck. They are clearing their orders and the orders are being cleared and they are paying the financiers.

Ritesh Shah: Right, that's useful. And sir, is Salesforce Automation and Dealer Management System something unique to Kajaria or is that something the industry practice like are we the first movers for Ceramic?

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Ashok Kajaria : Industry is already doing it. There are a lot of industries in the building industry who is doing it.

Ritesh Shah: Sir, specific to Ceramic. So, are other Morbi players or other companies...

Ashok Kajaria : Ceramic we are not aware, but we learned it from meeting new people that a lot of building material people in the industry are doing it, Havells , Asian paints. So, we adopted for it being Kajaria being number one, we had to go for it, and we did it.

Ritesh Shah: Sure, that's helpful. Sir, second question is on government orders. I think this was one particular focus area to increase volumes. I think you had indicated setting up a dedicated team during the analyst day. Are there any numbers over here? What's the scale of improvement ? What can we expect over here?

Ashok Kajaria : You will see a positive trend in government orders from this year more. Right now the team was only in North, now we have an all India focus team.

Ashok Kajaria : We are treating it as a separate division to help us in increasing our government orders.

Ritesh Shah: Okay, sir, will it be possible for you to quantify what percentage of our total volume of

government orders right now? To what extent will it be comfortable with, say, year down rate?

Ashok Kajaria : The whole idea is to get more of the government share. It will all result in overall volumes.

Ashok Kajaria: We will quantify it at the end of this financial year.

Ritesh Shah: Sir, just last question, can you detail the fuel mix basically for North to what I understand we had biofuel, we had R- LNG and biofuel was nearly like 30% biofuel by energy. Same thing basically for Gujarat and South if you could please provide some color ?

Ashok Kajaria: In North, biofuel is about 30% plus. In Morbi , there is no such thing as biofuel, they are using coal for firing of spray there. And for South plant , they are using partly a mix of biofuel and coal.

Ritesh Shah: Sir, what will be the pricing for biofuel? Basically, when we say Rs. 36 – Rs. 37, biofuel is at what cost? Is it like variable?

Ashok Kajaria: Biofuel is costing about Rs. 22 to Rs. 23 rupees per SC M.

Moderator: Thank you. The next question is from the line of Shubham Agarwal from Axis Capital. Please go ahead.

Shubham Agarwal: First question, can you share the revenue or volume mix of PVT, GVT and ceramic tiles in Q1 25 and 24?

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Chetan Kajaria: So, the volume mix in ceramics is 43% , PVT is 23 and GVT is 34 and the revenue mix is ceramics is 38% , GVT is 37 and PVT is 25.

Shubham Agarwal: This is for Q1 25, right?

Ashok Kajaria: Correct.

Shubham Agarwal: And can you say for 24 as well?

Chetan Kajaria: In 24, it is 44% ceramics, 31 GVT, 25 PVT for volume mix. And revenue is 38 ceramics, 36 GVT and 26 PVT, more or less the same basically.

Shubham Agarwal: So, actually the reason for asking this was that I noticed that the gross margin has expanded Y-o-Y, and this has happened despite there being a realization decline and you having a largely similar revenue mix from in-house manufacturing. So, what has actually driven that will help you increase the gross margin significantly. Generally these are the things that help you increase gross margin.

generally these are the things that help you increase gross margin.

Nehal Shah : Yes sir, so as we just commented on it, raw material costs were lower but again you can't actually compare that with year-on-year because the outsourcing mix and everything keeps changing.

The gas prices were favorable but because of the increase in production that is not seen there in the gross margin , but that also helped improve our gross margin and on the EBITDA margin side, the employee cost is one cost which has led to shaving off the gross margin advantage which has not come into EBITDA margin.

Shubham Agarwal: Right. So, the outsourcing mix is also very similar. That's what I was thinking because everything is very similar Y-o-Y till this margin expansion. I will circle back on this. No worries.

I will take the second question that I had in mind. This is regarding the gas cost. Now I actually calculate gas cost as per SM of production. Now gas cost per MSM of production has actually increased QoQ for you by about 9% despite there because you mentioned that the average gas cost per SM has declined from 39 to 37 marginally , but power and fuel cost per MSM of own production has actually increased 9% Q-o-Q just trying to understand, am I seeing it right or how should I see it?

Ashok Kajaria : Q-o-Q, the gas prices are same. So, overall gas price was 37 and now it is 37 , fuel price which is combination of all the fuels. And Y-o-Y the fuel prices have come down from 39 to 37 on an average .

Shubham Agarwal: And if you could highlight what's giving us the confidence that if you can highlight, give us some more color on what's giving you the confidence of the 12% or volume growth over the rest of the year as well. Maybe I believe some of it would be coming from diversification into a new revenue segment, let's say one Nepal and the second being the government orders that you're now picking up which you weren't picking up earlier. Is that the right way to think? Like the

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new distribution channels that are opening up or the new geography that are opening up is helping you?

Ashok Kajaria : What is going on in all the areas, whether it is projects, whether it is government projects, whether it is a retail. So, everywhere we are putting all our efforts, so we are looking at a combination from all these , the combination of everything we are looking at a 11 %-12% volume growth as long as the industry also grows at about 5% -6%.

Shubham Agarwal: Which you are reasonably sure that you are seeing that growth having come back sustainably ?

Ashok Kajaria : We are optimistic and positive about it. And the 1st Quarter , with the 8% volume growth, at least we know that things are in the right direction.

Shubham Agarwal: I will just verify two numbers now. One, I missed your channel financing share. Like what percentage of your revenue is channel financed at the moment?

Ashok Kajaria: We have given you some data. Rest you can get later.

Shubham Agarwal: No, I actually missed it if you can repeat it, sir. That'll be helpful. You mentioned it in the same call, right?

Ashok Kajaria: You listen to this conference recording later; you will get the answer.

Shubham Agarwal: I will listen to it, okay got it. And your share from government orders you mentioned it will increase to 45% by the end of year. Did I hear that right?

Ashok Kajaria: No, I think we didn't say all that. You please listen, you will have all the answers. You missed out few portions.

Moderator: Thank you. The next question is from the line of Sneha from Nuvama. Please go ahead.

Sneha: Just a couple of questions from my end. If you had done around 8% growth, what would be a rough estimate for the industry? How would have industry fit in the same current quarter?

Ashok Kajaria: Industry should have also grown by 3% to 4%, I would say. But things are

looking positive on

the ground, that much I can tell you. The numbers, more numbers will clear later because 1st Quarter as we all know, was election quarter, June was very hot. Looking at everything, I think what we have done is okay. And industry should have done slightly better, but I think things will be more clear at the end of the 2nd Quarter .

Sneha: So, you mean the growth has come back for the entire industry not only in Kajaria?

Ashok Kajaria: Exactly.

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Sneha: Understood. And what about exports? Would exports also have grown because what we understand is exports have taken slight hit because of anti-dumping duty talks on US.

Ashok Kajaria: No. Anti -dumping is a very small thing. People are not understanding that part. The serious problem is the freight rates because of the Hamas Israel problem, which has gone up sky high.

They have slightly come down from what they were at the peak, but still it is very high. So, that's the thing which is causing exports to slightly come down. The moment this problem gets resolved or some solution is found, exports will pick up again. The freight charges have gone up very high. So, it's not America. America is a small issue.

Sneha: The real issue is the freight rates. Once it comes down, we will again start seeing growth coming back.

Ashok Kajaria: Exactly.

Moderator: Thank you. The next question is from the line of Rishab Bothra from Anand Rathi. Please go ahead.

Rishab Bothra: Two, three questions . To take from the last question, what is our lead distance in terms of transportation? We have three factories, two in Gujarat and one in Rajasthan and another two in the...

Ashok Kajaria : We have 8 factories right now .

Rishab Bothra: No, but 8 is in different states. So, I was mentioning of Rajasthan.

Ashok Kajaria : No, 8 is tile factories, not in different states. Eight are tile factories.

Rishab Bothra: So, what is the lead distance I wanted to understand?

Ashok Kajaria : Lead distance from where?

Rishab Bothra: I mean from the Eastern factories, one located in South and one in the East.

Ashok Kajaria : What is the question exactly? What are you asking?

Rishab Bothra: What is the maximum distance of travel and transportation?

Ashok Kajaria : Where do you need the transportation distance from? You are putting a very confused question.

Ashok Kajaria : South factories are catering to South India.

Rishab Bothra: The maximum distance of transportation from any of the locations. Let's say there is a plant which is 700 km away.

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Ashok Kajaria : What do you want to do with that? What is the distance?

Rishab Bothra: My question is how can we reduce that whether a new plant is to be set up in that particular state or other one?

Ashok Kajaria : You leave it to us. You can't take all those calls. We have 8 factories. Please get your data right. We have 8 factories, 2 in South, 3 in West and 3 in North. Those 8 factories are properly distributed to all over India.

Rishab Bothra: Second question is we have 90% of the revenue coming from tile and 10% from the remaining

segments. So, what is our growth plans for those segments?

Ashok Kajaria : It's basically a tile company. Next 5 years also you will see revenue should be between 85% to 86% of tiles and rest will be from other verticals like what we have today.

Rishab Bothra: But we want to grow those segment as well , you don't want to give it off .

Ashok Kajaria : Yes, of course.

Moderator: Thank you. The next question is from the line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: Sir, just on the growth, we've been growing ahead of the industry, and you would attribute it to what? I mean, would you attribute it to distribution expansion or existing markets also doing well? How do we think

about that? And you highlighted that the smaller towns are doing better but just wanted to get your insight?

Rishi Kajaria : So, as mentioned we are basically working on all fronts. We are strengthening all our fronts whether it is a retail channel, whether it is projects, whether it is government projects everywhere the action is on to make sure that we do our desired volumes. I will give an example like in the retail front, a dealer of us opened a 20,000 square feet showroom in Hyderabad, right, so everywhere the things have to be there, then only the volumes will come, right , on all the fronts whether it is distribution, whether it is projects in terms of branding to get the market share to increase our volumes.

Rishab Bothra: Sure. And sir, how does one think about over the next 2 to 3 years as the volumes comes back?

I mean, we have seen very high kind of margins earlier, as well in the range of FY16-17, we were flocking somewhere around 19% kind of EBITDA margin. How does one think about, given the context that there are many players which have entered and this category does see competition coming and realization do get impacted , so can we think about over the next 2-3 years somewhere when the volumes recovered to mid-teens or so, would a margin outlook of 17% to 18% is a possibility or you would probably look at high teens kind of a volume growth and keeping the margin same or do you think you would..

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Ashok Kajaria: We have already given a 3 -year vision at our annual meet in the month of May, where Kajaria would be after 3 years, number one. Number two, we have already given an EBITDA guidance of 15% to 17 % for this particular year. And as we go forward, we will see how things shape up.

Rishab Bothra: Sure. But you think there is a possibility, as the demand improves , the margin of liquid.

Ashok Kajaria : See we have to work on a combination of both volumes and margins as we want to do better than the industry , so we have to do our volume growth as well and the margins will result into fit, but as we discussed 15% to 17% looks quite doable and we also have to do our volume growth.

Moderator: Thank you so much. The next question is from the line of Saurabh Jain from HSBC. Please go ahead.

Saurabh Jain: My question is relating to your Nepal plant. Now that the plant is expected to get in commission in September, can you make some comments around how would your distribution strategy would be like? What kind of number of dealers are you looking to add? And some more color also on your marketing initiatives for that local market. That will be very helpful.

Ashok Kajaria : So, just to give you a background, our capacity will be 5 million square meters of ceramics and GVT. The total market in Nepal is roughly 2,500 crore. We are looking at a 10 % to 12 % market share once we get fully operational. In terms of dealer distribution, we were already exporting to Nepal as Rishi said, between 70,000- 80,000 square meters per month. So, we have a decent distribution network, but we've now strengthened a team in Nepal, and we are trying to increase our dealer network much more, do the branding, increase more dealers, and do some local advertising also to get the Kajaria brand more registered out there. So, as we keep on moving along, we will keep on strengthening our local network out there. That is our strategy.

Saurabh Jain: So, even now, do you have your exclusive dealer partners in Nepal or is it sold more to multi-brand?

Ashok Kajaria : No, we already have a Galaxy dealer in Nepal who are exclusive Kajaria dealers. And we are looking to increase that number to much more.

Saurabh Jain: Can you share those numbers what is today and what are your expectations in terms of number of dealers, please?

Rishi Kajaria So, we already had a dealer base when we talked about our plant in

Nepal. Currently , we have

about 50-60 dealers, which will increase to about 100 dealers in the next 3 months.

Saurabh Jain: 50 to 60 are almost like doubling to in the next 3 months.

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Ashok Kajaria : The moment the plant comes , everything changes right? Because your price will be much lower as to what you're giving right now. So, we will increase our dealer base and we will strengthen our branding. We are very sure that we will get our numbers.

Saurabh Jain: And 5.1 MSM, correct me if I'm wrong, almost 1 MSM would be like cannibalization . Is that right understanding? Because what we will be exporting from India that will be done away with and so incrementally net net about 4 MSM of net addition will be there. Is this the right understanding?

Ashok Kajaria : Yes, we have to quadruple or make our sales 5x of what we are doing right now. But that will all happen because of the price advantage. What we are selling right now is with all the duties and everything and when we produce the price to the dealer will be much lesser.

Saurabh Jain: And also can you also elaborate a bit what kind of marketing initiatives you are going to take in that market? What kind of interest you are evoking? And if there are any plans to open up local Nepalese based celebrities, any insight will be useful ?

Ashok Kajaria: Nothing on the card for a local Nepali celebrity. As we mentioned, once a plant comes in, price will become more competitive. We can get the dealer smaller lots, the rotation cycle will increase, the distribution base will expand, that 's how we will sell our capacity.

Rishi Kajaria : So, it's very similar to India. Nepal is very similar to India. Our strategy is whatever is working here, we will use a similar strategy there.

Saurabh Jain: And if one question, if I may ask, you are aspiring to do about 150 MSM of tile sales by end of FY27, which is like a 12% kind of an annual growth. Can you also tell us what kind of dealership expansion ambitions do you have to achieve this kind of volume growth as you take? What could be the number of dealers you would want to have in the next 3 years for the total company level, yes of course ?

Chetan Kajaria : So, it will be a combination of both. We are right now at about 1800 dealers as of March 31st, 2024. So, every year, I think with this, we will add about 10%, which is about 200 dealers every year.

Saurabh Jain: So, almost like 700 kind of a number in the next 3 years .

Chetan Kajaria : Also , a lot of our existing dealers also open more showrooms and increase volumes. So, it'll be a combination of both.

Chetan Kajaria : And we also have 415 exclusive dealers only sell Kajaria. The main thrust will be to open more exclusive stores also of Kajaria.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HD FC Securities. Please go ahead.

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Rajesh Kumar Ravi: My question pertains to this shot up in the container freight index. What are your thoughts on exports from Morbi becoming less attractive and that impacting again the supply in the domestic markets?

Ashok Kajaria : So, nothing like that will happen in this 1st Quarter , even despite the freight increase and the freight transit time, the Morbi exports have been flatish. So, whatever they did it last quarter FY23 -24, they did the same in '24- 25 and they are going to soften as we go along, this free trades and all. So, things will get better, they'll come back.

Rajesh Kumar Ravi: Because we are seeing reports which forecast that the freight index may further shoot up and that is why this concern that most of the freight rate which has gone up may not have reflected in the freight cost in Q1?

Ashok Kajaria: If it shoots up , it is not happening only for India, it shoots up all over the world. As I said

earlier ,

India is the most competitive player along with China in the international market. If exports have to take place which it has to, India will be a very large player along with China in the export market.

Rajesh Kumar Ravi: And any idea what sort of volume growth we did in month of June? Any ballpark , was it double digit volume growth?

Ashok Kajaria: June was double digit volume growth. As earlier Rishi said, April was tough, lower, May was better, and June was even better.

Rajesh Kumar Ravi: And that is why you are looking that this quarter the volume numbers should remain in double digits ?

Ashok Kajaria: Yes, that's what I have already said.

Moderator: Thank you. Due to time constraint, we will take that as last question. I would now like to hand the conference over to the management for closing comments.

Ashok Kajaria: Thank you very much for having this conference done on behalf of Kajaria and on my personal behalf. And thank you all for doing it. And thank you all the participants who have spared their time to be part of this conference. Thank you very much.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and

you may now disconnect your lines.

Call: Oct 2024

October 26, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated October 22, 2024, informing about the uploading of the audio recording of the Conference Call held on October 22, 2024, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For Kajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q2 FY '25 Earnings Conference Call "
October 22, 2024

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MR. KARTIK KAJARIA – HEAD ADHESIVES DIVISION – KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH – DVP STRATEGY AND INVESTOR RELATIONS – KAJARIA CERAMICS LIMITED

M

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL

Kajaria Ceramics Limited
October 22, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Q2 FY '25 Earnings Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aasim Bharde from DAM Capital. Thank you, and over to you, sir.

Aasim Bharde: Thank you, Siddhant, and good evening, everyone. Thanks for connecting to Kajaria Ceramics Q2 Results Call. From the company side, we have the senior leadership team of the company who will take us through the Q2 performance, after which we'll open the call for questions. Thank you. And I'll hand the floor to Mr. Ashok Kajaria for his opening comments.

Ashok Kajaria: Thank you, Aasim. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 2 FY '25 Earnings Conference Call of Kajaria Ceramics Limited. Joining me on this conference call -- my grandson Kartik; our CFO, Mr. Sanjeev Agarwal; and Mr. Nehal Shah, DVP Strategy and Investor Relations.

While we expected industry demand to revise post-election led quarter-on-quarter, the sustained weakness in domestic market and excessive rainfall in the months of August and September has led to a subdued quarter 2 for the tile industry. Nevertheless, our tile volumes in quarter 2 FY '25

grew by 8.5% year-to-year to 28.70 million square meters.

We, however, expect the demand outlook to improve for the tile industry in second half of this current fiscal. Our consolidated revenue for the quarter stood at INR 1,179 crores, indicating a 5% increase compared to the corresponding period last year.

Our EBITDA margins remained soft at 13.5% for the quarter, driven by muted margins reported by the bathware division, which was largely attributable to losses incurred in the recently commissioned Sanitaryware unit in Morbi.

Additional overheads incurred by Keronite unit in the tiles division, which commenced operations during the quarter. Our Nepal project commissioned in September '24, and we expect the plant to witness a gradual ramp-up in production in second half of FY '25. On the export front, India's tile exports experienced a 15% fall in the first 5 months of the current year, totalling to INR 7,400 crores versus INR 8,700 crores in the same period last year.

This was largely attributed to a significant jump in ocean freight rates due to ongoing Red Sea crisis and lack of container availability due to this. Now for this quarter segment-wise financial performance. Tile segment grew by 5% in revenue terms reaching INR 1,053 crores compared to INR 1,000 crores in quarter 2 FY '24.

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bathware segment registered a 6% year-to-year growth in revenue, reaching INR 90 crores compared to INR 85 crores in quarter 2 FY '24. The plywood revenue decreased by 26% in quarter 2 FY '25 to INR 17.5 crores as compared to INR 23.5 crores in quarter 2 FY '24.

Revenue from the adhesive grew by 40% to INR 18 crores in quarter 2 FY '25 as compared to INR 13 crores in quarter 2 FY '24. PAT for the quarter degrew by 22% to INR 84 crores in quarter 2 FY '25 as compared to INR 108 crores in quarter 2 FY '24. As of 30th of September '24, the working capital days remained flat at 59 days compared to 31st of March '24.

With this, I take this opportunity of thanking you for joining us today. Over to moderator for Q&A, please. Thank you.

Moderator: First question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal: Sir, firstly, just a view on gas pricing. Broadly, what we are

understanding is LNG is going to be oversupplied globally. It looks like long term; the gas pricing is going to be extremely low. This is a more longer-term view, I think '26, '27 we're going to see a big-time correction in gas pricing. Any thoughts internally you would have thought that -- how do you see tile business long term, if that really happens in India?

Ashok Kajaria: No. Gas prices as of now are not changing much. And as you know, we are buying in North gas from GAIL, in Morbi, we are buying from GSPC. Nothing much has changed in the first 6 months of this financial year. And looking at that scenario, we don't know right now what the

situation would be. But as you are aware, we are also using biofuel to the extent of about -- overall about 22%, 23% overall. And in North, it's close to about 30% plus. So first 6 months, there is no major change.

Rahul Agarwal: I understand that, sir. What I was asking was basically global studies are saying that LNG pricing could correct like 40% going into next 3 years. Any major change would you see, let's say, hypothetically, if that happens, what if that happens.

Ashok Kajaria: Global right now is not in our hands. We are not buying gas directly. We are buying through these companies. So unless there is a major change, we cannot comment on that. That's not our thing that we can do anything about it.

Rahul Agarwal: Sir, secondly, just on the industry performance, overall first half and outlook, what do you think like how will this really pan out? Obviously, we all know that real estate launches have been a bit slower, but ultimately outlook is okay. Any thoughts on what should be the first sign of recovery in demand?

Ashok Kajaria: No, it's already happening. Things are looking positive. What the dealer feedback is things are looking positive. And the demand is coming from real estate projects partially. So we feel that what we have done in the first half, second half should be much better than the first half.

Rahul Agarwal: And last question on the working capital, is 59 days. Sir, can we as a business do better than this as in, in terms of -- is it really possible to run the business at 30 days because what we're seeing is Somany is actually trying to run it at almost zero investment. Is it really sustainable?

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Ashok Kajaria: See, what we will do -- what we will try to do that it will not be 40 days, but I think by end of March, we'll bring it down to 50 days.

Rahul Agarwal: And how will that come through this.

Ashok Kajaria: We are trying to bring it down to 50 days by end of March.

Rahul Agarwal: Got it, sir. Will that come more from receivables or inventory management?

Ashok Kajaria: Both. Receivables and inventory management. It's a combination of both.

Moderator: The next question is from the line of Shaleen Kumar from UBS.

Shaleen Kumar: Sir, you said that second half is likely to be much better than the first half. Is there any signs or any discussions with your distributor indicating that, like.

Ashok Kajaria: In tile, as you know, there are no distributors. There are dealers across. We have almost 1,850 dealers across India. And the feedback is coming positive. You see, two things you all must understand that in the months of August and September, there has been excessive rainfall all in the country. And you have just seen the result of Ultratech other day. There is a fall of 35%. You see, why?

Because things can't move if there is so much of rain, things can't move. Things are much better in the country now, rains have stopped. And as you know that second half is always better than the first half, but this time first half, this first 2 months were election period, April and May, August and September were excessive rainfall. If you look at that, second half will definitely be better, Shaleen.

Shaleen Kumar: Sir, I just want

to understand if you have any sense, we have delivered like 8% growth -- volume growth. Any sense sir, we've grown ahead of the industry? Like, how much was the industry? I mean, just like in case you have any intel on that?

Ashok Kajaria: Shaleen, industry should have grown at about 2%, 3% domestically. Exports are down, as you know, because of the -- this problem in the Israel - Hamas war. And we at Kajaria have grown by 8.5% plus in the second quarter. I think we are definitely at least 5% more than the industry.

And going ahead, as you know, Kajaria has always been doing much better than the industry. I can assure you on behalf of Kajaria -- team Kajaria that we will definitely do 5%, 6% more than whatever industry grows.

Shaleen Kumar: Yes. Sir, our realization has been flat. I understand it's a tough environment. But how should we think about, like it's a volume versus value play. So going forward, is there a chance for our realization to improve and what will drive it if that could be a case?

Ashok Kajaria: Shaleen, realization will remain flat more or less. At least it is not coming down. As I said last year, the realizations have become normal than for the first 6 months. Number one. Number two, any realization growth will only come when more value-added tiles go to the market, the bigger tiles, the market increases, there'll be a slight improvement. But what you will get as a mileage will be increased volume. Increased volume will give you some lever to margin.

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Shaleen Kumar: But that's not something we are looking in near term, right? It's more of a little -- few quarters away.

Ashok Kajaria: Increased margin will be there in the second half -- increased volume will be there in the second half. So definitely, it will be much better than the first half, whatever you're seeing.

Sanjeev Agarwal : Shaleen, yes, Sanjeev this side. So you rightly said that, see, there are 2 part of business, one is a tile business, and another is a non- tile business. So what we have done is, as sir has said, that we have done much better than the industry. The volume -- in such a challenging industry, the volume has been good, and the most important part is this -- despite this bad scenario, the realization has not fallen.

Why the margin has fallen? Margin has fallen mainly because of 2 things. One is the tile unit we have put up Keronite that is under stabilization. So that has been somehow responsible for the falling margin. And another major factor is the bathware division, wherein we had put up a plant, which is still under stabilization, and there will be significant improvement in the second half.

So the blame should go to these things and this -- which are rectifiable in the next half year.

Shaleen Kumar: Actually, that's kind of answered my another question where I could see increase in other expense. So is that the reason for jump in other expense?

Sanjeev Agarwal : Yes. When the volume will go up, so other expenses will not go up in tandem. So we'll get some operating leverage there also.

Shaleen Kumar: And sir, last bit -- okay, other expense I understand now. How should we think about our gross margin? That's have also come down a bit, right? So is there any particular input costs that have gone up.

Nehal Shah: Yes, Shaleen. So if you look at year -on-year, the gross margins are down. That's largely because of realization drop by nearly 3%. And if you look at quarter -on-quarter, the gross margins are down almost 90 bps, and that's largely because of higher mix of outsourcing, which has gone up from 23% to 26%.

Shaleen Kumar: Yes, I was looking for the sequential . It's largely because of the outsourcing.

Moderator: The next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Just continuing on the margin part of it you've also mentioned that there were losses in the

bathware, which was a newly commissioned unit and also because of the Keronite unit, is it possible to quantify so that we can come to the normalized margins?

Sanjeev Agarwal : I think because the margin should be around 80, 90 bps because of the bathware thing, roughly.

Sneha Talreja: Because only of the bathware 80, 90 bps kind of an impact?

Sanjeev Agarwal : Yes, you can say roughly 100 bps, 90 to 100 bps because of the bathware. There is some softness in the faucet also because the prices have -- of metal has gone up, and we have not been able to

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pass it on in this quarter, maybe we generally pass it on with a lag. So maybe we'll make up next quarter in faucet also.

So majorly, you are right, you can put the blame falling margin to bathware. The tile business has been fortunately -- there is -- which is our core business, it's our main business that has not been affected, and we have performed better than the industry, both in volume terms and there is no fall in realization.

So we are quite satisfied, though we have not done the way we wanted, the way we guided for the volume the way we guided for the margin, but we are quite satisfied that given the circumstances we have done really fine.

Sneha Talreja: So these margins then definitely can normalize in the coming 2 quarters, which is -- I mean, H2.

Sanjeev Agarwal : Now, it should be so . This is the special circumstances we have attained this margin. So I've given you the reason. I'm not saying -- you are intelligent enough to calculate the margin. I've said the reason for fall in margin, first, the bathware unit did not stabilize, which is under stabilization. So it is stabilized. So it will not show the same margin, which it had shown in the first half or the Q2.

Second, the Keronite tile division, which has worked only at 38% will not work at 38%. When the percentage will improve, obviously, the margin will improve. So I think we will regain the lost margin in these 2 segments. And the tile business, we are not -- and we are not guiding you for a better improved margin in tiles sector also, as Kajaria ji had said that we are not expecting any price increase.

But at the same time, we are not expecting any fall in the price also. So fortunately, the things improve, you may -- we are not guiding, but we may see some price improvement also going forward, we don't know.

Sneha Talreja: Just last 2 questions, if I may. Can you give us the gas prices for North, South and West, sir.

Ashok Kajaria: Gas prices average is INR 37 right now.

Sneha Talreja: Which is exactly same as last quarter, and all the 3 units also remain -- I mean all the 3 regions

also remain the same gas price?

Ashok Kajaria: Yes. It is INR 38 for North, South is INR 37, West is INR 35, and average is INR 37.

Sneha Talreja: One last one from my end. While you mentioned about the volume, is there any industry growth estimate for H1?

Ashok Kajaria: Volume growth for H1 industry should be about 2%, 3% only. It's been a muted performance.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

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Keshav Lahoti: Sir, as your Nepal plant is commissioned now, give us some sense on how the Nepal market is doing, what sort of ramp up you are planning, what sort of margins you would make in this market?

Chetan Kajaria: So basically, we put a 5.1 million square meter capacity of ceramics and GVT in Nepal. We just commissioned September '24. The total market size is INR 2,500 crores. And in volume terms it's -- between 22 million and 25 million square meters. So if we're looking at ramping up our now sales in the next coming 3 to 6 months as the plant gets stabilized and the dealer showrooms get made basically.

Keshav Lahoti: So should we expect like what sort of ramp

up like 50% utilization in next 1 year? And how

would be the margin in this plant compared to your Indian business?

Chetan Kajaria: Yes, plant is okay, 100%, and our target is to sell 100% of the plant capacity going forward.

Keshav Lahoti: So this is a margin accretive, like Nepal is a margin -accretive business compared to tile business?

Chetan Kajaria: At the moment, it is difficult to make any comment on the margin because it's a new market. So it may be margin accretive, maybe similar -- it's too early. I think let's wait for another quarter to enable us to give any guidance about the Nepal market.

Keshav Lahoti: Sir, secondly, coming on the Sanitaryware business. So again, sort of a subpart performance of 6% only volume revenue growth in Sanitaryware and plywood business have declined by 26%.

So how should we see this business going forward?

Rishi Kajaria: So for Sanitaryware business, we had a very low growth. The only reason was again as -- because of the heavy rains, the market was really very difficult last quarter. And we are looking at a much better H2 going on from here. We are doing a lot of things also, a lot of showrooms are being made, a lot of work is happening at the ground level. So we are looking for a much better H2.

Keshav Lahoti: Last question from my side. The volume growth guidance what you have given last time, 11% to 12% for FY '25 with 15% to 17% EBITDA margin. Does it remain intact? Or would you like to lower it?

Rishi Kajaria: No, it will go down because the new plant has really got lowered down our margins, and it will still take another 2, 3 months to stabilize. And from the quarter 4 will be much better.

Sanjeev Agarwal: He is talking about the guidance part.

Rishi Kajaria: So I think we -- in bathware, we will not be able to maintain our guided margin.

Keshav Lahoti: Okay. So what is the new guidance for this year?

Rishi Kajaria: In this financial year.

Keshav Lahoti: So what's the new guidance for this year for volume growth and margin?

Sanjeev Agarwal: Volume growth, we can say -- as Rishi ji has said, that plant is still under stabilization. So.

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Ashok Kajaria: The overall volume growth this year, overall for the tiles will be anywhere between 9% to 10%.

We have already done 8% in the first quarter, 8.5% in the second quarter. And as I have already said, the second half will be better than quarter 1 and quarter 2. So we are looking at a 9% to 10% volume growth as far as the second half -- for the full year is concerned -- for the full year.

Rishi Kajaria: And margin guidance would be at the lower end of our stated earlier.

Ashok Kajaria: As you know, we have given a margin guidance of 15% to 17%. It will be -- by the end of the year, it will be at the lower end of this guidance in this year.

Keshav Lahoti: Okay. So by Q4, it could be 15%, right?

Ashok Kajaria: Yes.

Keshav Lahoti: For Q4, you're talking or as a year you're talking?

Ashok Kajaria: No, I'm talking for the whole year. I'm talking for the whole year.

Moderator: The next question is from the line of Jyoti Mishra from Nirmal Bang.

Jyoti Mishra: This is related to the same volume growth number that is given that full year, it will be in the range of high single digit, 9% to 10%. Could you give us any guidance in terms of the pipeline because we know that the project which would require tiles, the order for those tiles would have any which would have come. So pipeline -- so do you have your pipeline.

Ashok Kajaria: Let me correct you. It is not a project -based company, where there is a pipeline of pending orders, it's the dealer -based company. We have 1,850 dealers across, orders keep on coming and going. This has been going on for an umpteen number of years. So there is no such thing as pipeline. And since we have already done 8% in the first quarter, 8.5% in the second qua

ter. And with the markets looking positive, we will do whatever we are saying. There's no such thing in this industry.

Jyoti Mishra: I agree, sir. But you will have a breakup of your tile volumes in terms of IHB and the real estate or segment and real estate would typically have a pipeline. So maybe.

Ashok Kajaria: We will talk about it at the end of quarter 3.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is, in the last analyst meet, you had indicated that we will focus on government projects, and we'll have a pan India team. You had also indicated certain target numbers from this particular segment. Any specific update over here? And what will be the contribution of government projects, if you could please help on that?

Ashok Kajaria: You're absolutely correct. The project team is in place. Already a project team is in place, point number one. Point number 2, as far as government projects are concerned, it will definitely go by at least 25% more than what we did last year because earlier we had a project team only

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for North. Now the project team has come in place in East, West and South. So definitely, it will be more than 25% government work what we have done last year.

Rishi Kajaria: And just to add to that Ritesh, that this year will be mostly, more of approvals, which should be done. The real sales will have start coming from next year. But the team is in place, and they're full fledgedly going and meeting a lot of government's departments.

Ritesh Shah: That's useful. And sir, would it be possible for you to quantify what percentage of our total volumes are from government projects right now and where we aspire this number to be?

Ashok Kajaria: Yes. Last year, if you remember, we did 10% in government business. And this year, we are looking at least at about overall sales volume, 12.5% to 13% of the government business.

Ritesh Shah: This is very useful, sir. Sir, my second question is.

Ashok Kajaria: Just to complete my sentence, as Rishi said, this year more -- in government department, approvals require a lot of time. What approvals are done now, the business comes next year. So with the project team in place all India now, I am sure that next year, this number should go up to 15% as far as government share of the total sales are concerned.

Ritesh Shah: Sure. That's helpful. Sir, my second question is on capital allocation. Just keeping a check of what the company is doing. I see basically there was a JV that we did I think it's in -- for U.K.,

I think Kajaria UKP Limited. After that, we have made an acquisition of CTD stores wherein the quantum is quite significant. So is it like change in thought process? Are we investing into the retail network overseas? How should we look into this? And the total amount that we have actually spent on the overseas assets, if at all, we have acquired them, if what I read is correct?

Rishi Kajaria: No. So we're not going to spend a lot of money, and our focus has not changed. After opening the London store, we got this very good distressed deal of these 7 stores, which we thought would further strengthen our retail operations. So in terms of capital allocation, very less capital has been allocated, and we don't intend to allocate a lot of capital at all.

Ritesh Shah: So is my number right, GBP 400,000 to acquire 7 stores?

Sanjeev Agarwal : Correct.

Ritesh Shah: Okay. And from an incremental ROC E standpoint, if I have to look at this particular aspect in isolation, I think Kajaria ji has always been focused on incremental ROC and margins. So how does this particular bucket on overall scheme of things actually pertain? Because it's a bit different to traditionally how we have operated.

Sanjeev Agarwal : Ritesh, it is too small to -- which will make any impact o

n ROC. 400,000 -- how much is that

INR4 crores per investment . I mean, this is not even a question to be asked.

INR4 crores

investment, will it impact my overall ROC E? Even if it comes to 40 %, it will not have any impact. Even if it comes to 2 %, it will not have any impact.

Ritesh Shah: Fair thing. But we don't intend to progress this -- on this path going forward, right? Or is it like if we have some distressed assets, we'll continue to buy?

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Sanjeev Agarwal : That portion here Rishi ji had answered. I'm just answering the ROC E point of view.

Rishi Kajaria: Ritesh, as you said that we are not acquiring any more assets, and this is just to stabilize the London operations, and we are not getting into it much any further.

Ritesh Shah: Sure. That's helpful. Sir, my third question is, I was moving around the channel. And I found basically 2 brands, one was Primera and other was Technica. The price points over here in the same Kajaria shop were significantly lower. I'm just trying to understand, is there some change in thought process on our market positioning because Kajaria has always been a premium solid brand. That's how our pricing has been.

Chetan Kajaria : Ritesh, you must have seen it in the Kerala market. Basically, it's the same tile but to cater to a different set of dealers. Let us suppose in Kochi, there are 50 dealers, we can't make dealers in every shop. This is to give a higher distribution reach but in the Kajaria brand only, and prices are not much lower. It is hardly 5% to 7% lower than the actual Kajaria brand we are selling. So there is not a major difference in the pricing pressure in this.

Ritesh Shah: Okay. So is this something for a specific micro market in Kerala or is we intend to replicate on a pan India basis?

Chetan Kajaria : Currently, it's only the Kerala market as of now.

Ritesh Shah: Okay. This is quite helpful. And sir, last question. Yes. Yes. Sorry, sorry, please finish sorry.

Chetan Kajaria : That's 100% retail market with no projects. That's a different market altogether. This is only for the Kerala market as of now.

Ritesh Shah: Okay. And sir, would it be possible for you to quantify the quantum of volumes attached to this? Or is it very, very small?

Chetan Kajaria : It's too small. The volumes in the overall picture in this is very small.

Ritesh Shah: Okay. Last question, sir, channel inventory, is it low, high? How should we gauge?

Ashok Kajaria: Channel inventory overall has reduced after GST. You see earlier, the transit time was much higher than what it is now, GST has removed a lot of roadblocks. So today, the dealer keeps a maximum inventory of 45 to 60 days, and he rotates with that because the delivery time has reduced drastically. That's how -- because of the wide range of products, it keeps an inventory of 45 to 60 days.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: Sir, my first question related to the bathware. As 5.7% of the growth for this quarter, how is the guidance for a full year or the year ahead?

Rishi Kajaria: So full year, we're looking at a 15% -plus volume growth -- revenue -- revenue growth. Next 6 months should be much better. Because the plant is stabilizing, the markets will be better. I think

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we'll -- the next 6 months would be much, much better. We will compensate for the first 6 months in these 6 months.

Praveen Sahay: Good to hear, sir. Second question is related to the Nepal project. Earlier, you had said you have already business there, and you do around 80,000 square meter per month. And with the plant coming in, even you'll ramp up to the 400,000 square meter per month. So that holds true. So from September or when the plant is commissioned, so October, November, we will start seeing such number improvement?

Rishi Kajaria: No, the plant has already started. The plant started on sixth of September, and it will come into full production by November, and we intend to sell as much as we produce as we go forward.

Praveen Sahay: Okay. So currently, you are already doing 80,000 square meter per month from Nepal?

Rishi Kajaria: That is just started. That was in September. September, the plant has just started, September, we've sold about 60,000, 70,000 square meters. From October, it will improve. And every month hereon, we'll increase our sales. As the production is increasing, the sales will also increase.

The number you're talking about that we're doing when we are exporting from India. Now everything is locally made there. So obviously, there's a price -- big price advantage. And now with the plant coming, we'll get much bigger share in the Nepal market.

Praveen Sahay: Yes, sir. Secondly, on the last call also, you had given an indication of broadening the coverage of channel financing among dealers. Can you quantify in these numbers like how much of 1,800-odd dealers so far covered with the channel financing? And how is our future target?

Ashok Kajaria: I'll answer that point. There are 2 kinds of things. One is payment. We have two -- as I said last time, out of 1,850 dealers today, almost 950 dealers are under 4% to 3%. 4% means paying in advanced, 3% means paying in 10 days. And almost 175 dealers are already covered in the channel financing. Our target is that by end of March, we should cover at least another 300 dealers in channel financing.

Praveen Sahay: Sir, on this only, is that the Kajaria only doing in the market this kind of a channel financing to the dealers or the dealers?

Ashok Kajaria: No, others are also doing. Cera is doing, Somany is doing. They're already doing.

Praveen Sahay: And just to clarify, which you had answered earlier related to the government project. So for FY '24, you had said 12% to 13% of your volume came from the government project and 15% for this year.

Ashok Kajaria: Absolutely correct. Last year it was 10%. This year, it should be close to about 12.5 % to 13%.

Praveen Sahay: That is -- sorry sir, that is for the volume you are saying?
Ashok Kajaria: Volume. We only talk about volume.
Praveen Sahay: Okay. Last year, 10% volume this year, 12.5% of volume?
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Ashok Kajaria: Absolutely correct.

Moderator: The next question is from the line of Sonali Salgonkar from Jefferies.

Sonali Salgonkar: Sir, my first question is regarding the Morbi exports. You did mention that there is a 15% fall in H1. So I wanted to check on 2 aspects. Firstly, was there a planned shutdown in August, September by Morbi? And secondly, is the dip in exports impacting any domestic operations in terms of pricing because of the higher influx of their supply in the domestic market?

Ashok Kajaria: Now -- good questions. First, the freight impacted very much. I'll just give you a small example.

The freight, let's say to Europe was -- at one time was \$1,000. It went up to \$4,000. Now it has come down to about \$2,500. So the freight impacted. As a result, the exports came down because the buyer -- for a container, if the freight is almost 40%, 45% of the component, the buyer cannot afford to pay, and he cannot sell locally there. That's one.

Secondly, if you are aware in -- just before Janmashtami, about 250 plants got shut down, and they were almost close for 1.5 months, and they are gradually starting now. Yes, you are right.

Whenever the -- exports suffer, partly they close the plant, partly they try to deal in domestic. But as I've said, umpteen number of times in the past also, suppose you are a dealer, and you have a showroom. In our trade whatever is seen is sell.

So you have displayed a certain material of Somany, Johnson or Kajaria. Now somebody comes and says you

look, I'll give you 15% cheaper what you will do, because you cannot display and sell because next time that material will not be available. So it doesn't impact at all the local market at all. It used to earlier because the price difference was very much. With GST coming in, that difference has narrowed down to a great extent. So if -- honestly you ask, it is not affecting the local markets.

Sonali Salgonkar: Sir, very clear. Sir, my second question is regarding pricing. Between April '24 to September, what has been the overall pricing action in H1 FY '25, both for tiles and Sanitaryware?

Rishi Kajaria: Price has been completely stable, actually. There's been no price change at all between April to September.

Nehal Shah: As you can see in our realization.

Rishi Kajaria: And we continue to -- I think we will continue to see that in the next 6 months as well. We don't see either a price increase or a price decline.

Sanjeev Agarwal : We already answered this earlier.

Sonali Salgonkar: Sure. So that's good to hear because despite the.

Ashok Kajaria: Sonali, the only thing that has gone up is this brass prices in bath fittings, because brass prices went haywire and then again getting back to normal. So that was the only difference as well as the brass prices. In tiles, not much has changed.

Sonali Salgonkar: Sir, last question, capex guidance for FY '25.

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Nehal Shah: Yes. So for capex, if you look at the first half, we have done a capex of INR135 crores, which includes INR101 crores, excluding Nepal. Nepal was INR 34 crores. And for the full year, we expect capex of around INR200 crores, which includes Nepal INR 44 crores and balance INR 156 crores for domestic.

Sanjeev Agarwal : This is including the normal capex.

Nehal Shah: Yes, including the maintenance capex.

Ashok Kajaria: Maintenance capex and some capex for the office building. We are making a new office.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: I just wanted to check with this lower revenue growth than earlier projected. Is there any impact on your long-term goals which you had earlier stated 3-year goals?

Ashok Kajaria: Can you please repeat the question, please?

Onkar Ghugardare: Yes, I was asking whether -- with the lower growth in the revenue because of the industry performance in tiles industry, I just wanted to know whether there will be an impact on your guidance, which we had earlier given 3-year goal?

Ashok Kajaria: Three years is not changing much because every year cannot be the same, since year is not changing much. And this year also, as we have already said, the full year, we'll have a volume growth of 9% to 10%. Earlier, we expected to -- but a lower double digit. Now it's 9% to 10% we are talking about. And EBITDA of 15% to 17% we have guided; you are saying that will be

at the lower end of this guidance.

Onkar Ghugardare: So I guess for the 3-year goal you had stated around 13% to 15% kind of revenue growth, if I'm not mistaken.

Ashok Kajaria: Yes.

Onkar Ghugardare: And what was the margin guidance given for 3 years?

Sanjeev Agarwal : As I said that we had given a 3-year vision, we had given a guidance of 15% to 17%. So we cannot give any specific number. This year, it will remain at the lower end of the guidance. The next year, it maybe middle, maybe upper end of the margin. So overall guidance is what we have guided between 15% to 17%, it will remain the same. How much which year, we cannot tell you.

Onkar Ghugardare: And what about the revenue projections you have given?

Sanjeev Agarwal : Revenues, you're repeating, we have already answered that we are not changing the guidance of the year marginally because this year, the performance has been muted as against this year guidance. It may impact slightly our overall guidance,

but it is difficult to say this now, maybe

next year, we can grow better than what we expect. So overall, we are not changing our 3-year vision.

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Onkar Ghugardare: Okay. As far as the current quarter is concerned, have you seen any green shoots since you are saying the second quarter -- second half will be better than first half?

Ashok Kajaria: Already answered, already answered. This point has already been answered.

Moderator: The next question is from the line of Vinamra Hirawat from JM Financial.

Vinamra Hirawat: Sir, I wanted to compare the 10 days between the beginnings of Navratri to Dussehra. Is it possible to provide a rough estimate of growth for 10 days between Navratri and Dussehra for this year and last, even a rough, that's my look is ?

Ashok Kajaria: It's a normal sale. It is not something that -- we don't have an Amazon sale . It's a normal thing, normal sale.

Moderator: The next question is from the line of Nilesh Sharma from Anantnath Skycon Private Limited.

Nilesh Sharma: Sir, my question is regarding -- we are planning to increase our government revenue from 10% to 15% next year. So is there any negative impact on working capital, which we are planning from 59 days to 50 days because in the government projects payments are being little delayed. Please, clarify.

Ashok Kajaria: There is no impact at all. Let me tell you, for the last 3, 4 years, the government is paying much better than even the private sector vendors. So the government payment has been very, very good for the last 3 to 5 years.

Nilesh Sharma: Sir, next question, how we are encountering the inventory increase due to lower exports from Morbi local players? Is there any risk of dumping in local market?

Ashok Kajaria: I already answered that when Sonali ji asked this question, I already answered this. There are two things we do normally. First, they shut down their plants. There are almost 100-plus plants who are basically export-oriented, number one. If the exports are less, they triple down their capacity or they shut down their plants.

Secondly, if there is a showroom, suppose say about 5,000 square feet showroom, you have displayed Somany, Johnson or Kajaria, either of the branded players. And somebody comes to you and says, that you can buy 15% from us, take 10%, 15% discount, you will buy the goods, who will you sell to? Because what we see here in this trade, what we see is what you display sells. So as a result, if you just buy, where will you sell? Nobody will buy from you. Because a retail customer who comes, he sees the product and then decide what product I will use. So it doesn't work.

It used to work earlier because the price difference between the Morbi and the branded player and specially Kajaria was very high, this has now minimized to a great extent. The difference today is between 20% to 25% between Morbi and Kajaria. So that thing is no more valid. It used to be valid 6 years back when there was no GST.

Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Management.

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Rahul Agarwal: Sir, just one question on Keronite. How is the product rollout which happened starting May -- how is the acceptance from the dealer? Is it like the product is very different than what the range we used to supply in GVT, some colour on that, please.

Rishi Kajaria: You're right. The range is not very different. We were just adapting a different dealer market

dealer segment in different areas, but we are keeping it very, very slowly. I mean, we have hardly sold anything in the last couple of -- 2, 3 months. And we are growing very, very gradually in it. We'll take a call as we go along. If it doesn't suit in the market -- it's again a very, very small quantity right now. We're just testing the market.
Rahul

Agarwal: Sorry to interrupt, sir, your line got disconnected in between. Can you please repeat your answer?

Rishi Kajaria: I said, the quantity is very, very small. Without impacting Kajaria in any way, we are testing the waters. We'll take a call as we go along. If it works, it works if it doesn't work, we will change -

- we will remove it and change it to Kajaria, the plant.

Rahul Agarwal: Sir, could you just explain how is that different from Kajaria as of now?

Rishi Kajaria: We are tracking a different dealer network. This is more to attack the Morbi market. This brand has been launched to make sure that -- to counter the Morbi products. And -- like, I'll give you an example. In Tamil Nadu, there is a dealer in Dindigul. I went to the showroom. He had the 100,000 square feet showroom, where he has 25 brands of Morbi. So we are tracking people like these where we already have a relation and with the 25 brands of Morbi, we'll have another 26 brands of Morbi, which is Keronite. So we are tracking these kinds of people where our Kajaria brand is not impacted by anyway, which it is not. Insignificant volume going forward as well.

Rahul Agarwal: Yes. Well, I'm assuming that this 38% utilization will obviously increase. And it's a 6 million square meter plant. It's not small, right?

Rishi Kajaria: Right, right. We are also getting some material made for Kajaria from there. So we'll balance it out. We will not go very aggressive in it.

Rahul Agarwal: Okay. So the 6 million will have Kajaria, Keronite both separately. That's what you're saying?

Rishi Kajaria: Correct.

Nehal Shah: And even if we sell the entire quantity, it's going to be just 5% of our sales. So nothing more to read into it.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Ashok Kajaria: I think -- thank you very much for this session. I think a lot of good questions have come and we tried our best to reply to the best of our ability. I'm sure that anything else which can come later will be answered by our team of Sanjeev ji and Nehal. They are available at any point of time to take care of these questions. Thank you very much for organizing this conference call. Happy Diwali to everybody, on behalf of entire team of Kajaria.

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October 22, 2024

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Sanjeev Agarwal : Thank you. Happy Diwali. Thank you.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 10, 2025

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated February 04, 2025, informing about the uploading of the audio recording of the Conference Call held on February 04, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For Kajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q3 FY '25 Conference Call "
February 04, 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING
DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR
– KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH – DVP, STRATEGY AND INVESTOR
RELATIONS – KAJARIA CERAMICS LIMITED

MODERATOR : MR. PRANAV MEHTA – EQUIRUS SECURITIES

Kajaria Ceramics Limited
February 04, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Limited Q3 FY '25 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the

listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone.

I now hand the conference over to Mr. Pranav Shah. Thank you, and over to you.

Pranav Shah : Yes. Thanks, Mike. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you to the call of 3Q '25 post result management call of Kajaria Ceramics. From the management side, we have Mr. Ashok Kajaria, CMD; Mr. Chetan Kajaria, JMD; Mr. Rishi Kajaria, JMD; Mr. Sanjeev Agarwal , CFO; and Mr. Nehal Shah, DVP, Strategy and IR.

I'll now hand over the call to Ashok sir for his opening remarks, post which we'll have the Q&A session. Over to you, Ashok sir.

Ashok Kajaria: Thank you, Pranav. Good evening, everyone. It gives me great pleasure to welcome you to quarter 3 F '25 Earnings Conference Call of Kajaria Ceramics Limited. Joining me on this conference call are my sons, Chetan and Rishi; our CFO, Mr. Sanjeev Agarwal ; and Nehal Shah, DVP, Strategy and Investor Relations.

Contrary to our expectations, the sustained weakness in domestic market and sluggishness in exports has led to another subdued quarter for the tile industry. Nevertheless, our tile volumes

in quarter 3 '25 grew by 6.7% year -to-year to 28.90 million square meters. We, however, remain optimistic on the demand outlook for the tile industry in the near to medium term.

Our consolidated revenue for the quarter stood at INR 1,164 crores, indicating a 1% year -to-year increase compared to the corresponding period last year. Our EBITDA margins remained soft at 12.78% for the quarter due to lower realization and loss in Bathware division, which was largely attributable to new Sanitaryware unit commenced in Morbi.

Our Nepal project, which commissioned in September '24 has seen a gradual ramp-up in production and operated at 70% utilization in quarter 3 '25. On the export front, India's tile exports experienced a 16% fall in value in the first 8 months of the current year , totalling to INR11,600 crores vis -a-vis INR13,800 crores in the same period last year. This was largely attributed to significant jump in ocean freight rates due to ongoing Red Sea crisis and uncertainty in the Gulf market.

Now for this quarter segment -wise financial performance. Tiles segment grew by 3%, reaching INR1,041 crores compared to INR 1,013 crores in quarter 3 F '24. Bathware segment registered 2.5% growth in revenue, reaching INR 95 crores compared to INR 92 crores in quarter 3 '24. The plywood revenue decreased to INR 8 crores as compared to INR34 crores in quarter 3 '24. Revenue from the adhesive grew to INR 20 crores in quarter 3 '25 as compared to INR 13 crores in quarter 3 F '24. PAT for the quarter degrew by 25% to INR 78 crores in quarter 3 '25 as compared to INR 104 crores in quarter 3 '24. As of 31st of December '24, the working capital days was higher marginally by 1 day to 59 days compared to 31st of March '24.

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With this, I take this opportunity of thanking you for joining us today. Over to you. You can go ahead with the Q&A.

Moderator : Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, it's very heartening to see Nepal hitting 70% utilization. Is it possible to give what was the Nepal sales in Q3? And is it a fair understanding Nepal sales are not clubbed in this quarter in total sales volume. From next quarter onward,

it will be clubbed as it will become subsidiary?

And initial color, how is Nepal margin and what are the ramp -up plans? How is the demand looking? That would be a lot helpful.

Ashok Kajaria: The Nepal project, the Nepal sales are not clubbed in this quarter and probably will not be clubbed in the next quarter also. It should take effect only from 1st of April -- 1st of April '25, number one. And sales figure, we don't have right now because it is -- we just get the bottom line right now. And the plant has operated, as I said, at 70% capacity. And hopefully, as we gradually go up, the capacity will be ramped up to about 80%, 85% by end of March, April.

Keshav Lahoti: Okay. Understood. Sir, how has been the domestic sales since January month? Have you seen any pickup in market? And there were you talks about Morbi taking a shutdown. What is the progress on that? And what is your take on that?

Ashok Kajaria: See, there is a slight improvement. I think the budget will also give a lot of improvement as we go along. And also this Government's RBI policy is expected on 7th of Feb. I think that should change things slightly on the ground. Morbi shutdown, we have no news because they have not done anything as far as the shutdown is concerned.

Keshav Lahoti: Understood. One last question from my side. So Bathware, we are hoping to close this year with 15% growth. Still this quarter also Bathware growth has been sort of muted and Ply has seen a big degrowth in this quarter. So what is the outlook for both the segments?

Ashok Kajaria: Bathware, this year, we should grow roughly at about 10%, close to 10%. That's what we are looking at. Market ground level has been very tough. And Ply also, we slightly slowed down for a simple reason that the raw material prices went up very high. So we thought let us see how things are because we were losing money. And as we go along, we'll review.

Sanjeev Agarwal : The focus is, as Chairman said, the focus is less on sale and more on market recovery because we will not compromise . We are very concerned about the working capital. So we are focusing on recovery rather than pushing sales. So once the situation -- unless the situation is like this, we will continue to focus on recovery.

Moderator : We have the next question from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta: I'm lucky that my numbers are completely in line. Only thing is I know that Morbi has not gone in. They've been contemplating, but no such action has been taken so far. However...

Ashok Kajaria: Ma'am, can you speak a little louder? Your voice is not clear.

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Jyoti Gupta: So I'm saying that my numbers are in line. So obviously, the thought process is quite well aligned. My question is while Morbi had been contemplating the shutdown, but nothing -- no such action has been taken. How has been the outlook in fourth quarter? How has been the situation so far?

Because cement has picked up? And how does it -- and what about the first quarter of FY '26?

Is there any pickup in demand? And the other thing is, is it that the tiles is suffering because while the real estate is growing at a robust growth because of ultra-luxury segment where basically the demand is more for Italian models and less of tiles , because the segment should have grown this second half, but it has not picked up. What could be the possible reasons from the export angle?

Rishi Kajaria: So answering your first point, in Morbi also a lot of plants have taken a shutdown. So there's no actual demand happening. And yes, you read a lot in the newspapers that a lot of real estate projects are coming. So retail -- at the retail level, the dealer level, the sales is still very, very low.

Right now there's no demand. There are dealer shops where there's no demand. Projects, yes, projects are still happening. But as in Kajaria, we

have 70%, 75% of our sales is through retail

and about 20%, 25% is through projects. So retail sale is very low. So that is the reason. But we see -- going in future, we see hopefully, the demand should improve and things should get better .

Jyoti Gupta: Sir, in the project sales, has it been consistent? Like is it that demand is decent? It's only the retail, which is struggling? Or is it both, even the project sales is struggling?

Rishi Kajaria: The project sale is still okay. But because as a company, overall we are very heavily dependent on the retail sale as well. So retail sales also have to pick up in order for us to grow and get our margins in place. If you also see our realizations have fallen. So another reason is that we have supplied more in projects and projects is very, very competitive. Anybody who's giving us such big orders, they will negotiate the hardest price.

Jyoti Gupta: Correct. So which means that this quarter, we again, you expect that the prices might or there will be no increase in the prices for tiles. You don't -- obviously, because demand is still quite muted. So obviously, pricing will again take a hit this quarter as well?

Ashok Kajaria: So yes, we are not expecting any price increase. But we are hoping that the retail sales improve a little bit more, so our mix becomes better and our realizations increase.

Jyoti Gupta: Okay. So on the energy side, the power side, sir, any respite that we've got because I mean, do we see that while the demand would still be muted and prices may not increase, but there will be some respite coming from the cost front. So anything on that front in terms of the gas thing.

Ashok Kajaria: Sorry, your voice was not audible. We couldn't understand your question. Can you repeat the question?

Jyoti Gupta: My question is any -- can we expect a decline in cost for this quarter? Cost?

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Sanjeev Agarwal: No. In this quarter, there is no decline, but we see some operating leverage happening going forward because the sales -- from the sales will increase and the expenses should not go in proportion to the sale. So some margin would come up...

Jyoti Gupta: I meant fuel prices.

Ashok Kajaria: No, fuel prices, there is no change. No change. There was no change. There was no change in quarter 3. There is no change expected in quarter 4. But as you know that in between the oil prices have went up, but still the gas prices have been more or less constant.

Moderator : We have the next question from the line of Onkar Ghugardare from Shree Investments .

Onkar Ghugardare: Yes. Given how the 9 months have performed, you had earlier given a 3-year guidance. So do you think you would have to revise that guidance?

Ashok Kajaria: We will not try to revise that guidance. We hope that's a year, which has gone by. You're absolutely correct. But I don't think at this stage, we are looking for any revision of the guidance.

We'll put our best efforts as things should improve. Everybody says so. So we will look at a

scenario where the guidance remains the same, and we do our best to make up in the next 2 years, next 2 financial years.

Onkar Ghugardare: Okay. And what about the EBITDA margin, sir? Do you think there is scope to move upwards from here on? Or it would be somewhere in a similar range of 13% -odd?

Ashok Kajaria: EBITDA margin will definitely improve for a simple reason. We made some losses in the new Sanitaryware plant. The moment that plant sets up right, every quarter, things will start looking up and EBITDA margin has to improve.

Two things, what our CFO said, Mr. Sanjeev, that with the volume, some improvement will be there, some operating leverage will be there as Sanitary ware plant, new Sanitaryware plant improves, which we have already committed. So with this, the EBITDA margin will improve gradually quarter -to-quarter.

Onkar Ghugarda

re: Okay. And what would be the asset turns for the Nepal joint venture?

Ashok Kajaria: Nepal joint venture after this quarter 4, once it becomes part of the company, it becomes a subsidiary, we'll get more details. Right now we are only getting the bottom line because of the 50-50 thing. And as we go along, right now the plant is operating at 70%. And as I said in the next 2 months, we try to raise it to 80%, 85%. So things should start looking better.

Sanjeev Agarwal : See, as of now last 3, 4 months, it has made profit, but it is so small quantity that it is not a number I can put for the future sales. So we have to wait for another quarter to give a proper guidance as to what the margin would look like. And one thing has happened very positive for Nepal that the interest rate, which used to be 13%, 14% when we conceived this plant is now around 8% to 9%.

And we have locked all our interest liability at 9%. So when we conceived the plant it was 14%, so it's a -- 5% is a big saving. And it is not going to go up since we have locked this number. So

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that is going to be a big help to us. And as the plant capacity move, the margin will improve.

And it's already making profit, but the offtake is not much. So when the offtake is more, then it will result in good numbers.

Onkar Ghugardare: The last thing is on the payout. You have gradually increased your payout in the last 1, 2 years. So with that, do you think it will continue? And how that would impact your ROC?

Sanjeev Agarwal: In our dividend policy, we have clearly stated it has to be around 40% to 50%. So sometime it can be 40%, it can be 50%. It will be near to that unless any special circumstances come where we have some big capex or some other thing. Otherwise, there is no change. We don't see any change going forward in near to medium term as far as payout is concerned.

Moderator : We have the next question from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: As you mentioned, domestic demand weakness and the challenges in the export market, particularly because of the freight rate. My first question is related to the freight rates for the export. As the Israel and the Palestine situation is at a ceasefire and a truce level, when do you expect that freight rate will cool down, come down? And will it help you for your exports? That's one.

Ashok Kajaria: So your question was not absolutely clear. But as you said, as the freight rates come down, then the exports will definitely increase from Morbi to the rest of the world.

Yogesh Patil: Correct, sir.

Ashok Kajaria: Was that your question?

Yogesh Patil: Correct.

Ashok Kajaria: With this Hamas -Israel problem being solved, it is temporary right now, but all indications are that it should be positive. It will give us stability in the Gulf market, the exports will pick up again. And the freight rates have already started coming down with this development.

Yogesh Patil: If we compare with the last year in the same period, how the freight rates are right now? You can give us a ballpark number?

Ashok Kajaria: I can give you certain numbers like, let's say, for U.K., the freight, which was 1,600 before this problem had gone up to 4,000. It has now come back to 1,750. So this much change has already happened per container.

Yogesh Patil: Okay. Sir, second question is related to what are the major reasons behind the domestic demand slowdown? And how many months it will take to revive this demand weakness? So sir, as per your experience, what would be the big trigger for the demand revival in medium to long term?

Ashok Kajaria: First trigger will be the rate cut, which we are -- everybody is expecting, which should happen

on 7th of Feb with the Reserve Bank policy. I think that rate cut is a very important thing for housing and for a home buyer because it affects him in many

ways, number one.

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Number two, with the money being released to the individuals in the budget, I think that should give a lot of buying power to the people at large. I think these are the 2 things.

And rest, the infrastructure investment by government because as we all are aware, in this financial year, a lot of infrastructure investment by government got affected because of elections and because of rains in August and September. So I think things should start picking up as early as quarter 4, quarter 1 next year.

Yogesh Patil: Lastly, we are reading that the ceramic plants are facing challenges of receivable days. It has been consistently increasing. Is it a real issue, sir? Can you throw some light on that?

Rishi Kajaria: Can you repeat the question?

Ashok Kajaria: That is their problem, they have to solve, what do I do? See, that's why every 2 months, they talked about the shutdown, nothing happened, they manage. So it's a scenario, which goes on and on. So we can't answer that. But a lot of plants are shut down in Morbi. Those plants, just for information, those plants who are old, they are not able to manage it for a simple reason.

Energy-efficient plants have come and the old plants are shut down.

Yogesh Patil: Okay. And sir, if you allow me the last question related to cost of India.

Ashok Kajaria: Yes. Go ahead.

Yogesh Patil: Sir, propane prices are much cheaper compared to the PNG industrial prices. So any thoughts on that side? Will you switch to the propane side?

Ashok Kajaria: Propane prices are not much cheaper. They are cheaper by about 4%, 5%, 6%. And in Morbi, whenever the propane prices are cheaper, even our plants convert to propane instead of gas, and it happens with everybody. But the difference is not more than 5%, 6%.

Moderator : We have the next question from the line of Vinamra Hirawat from JM Financial.

Vinamra Hirawat: Sir, it seems difficult to meet our guidance of a second half recovery, 9%, 10% volume growth with realizations bottoming out. Kajaria has done better than peers, but do you think this real estate cycle will be significantly different for tile players compared to the last where you had multiple years of double-digit sales growth because whether it's a weaker consumer, more competition, which have access to large amounts of capital or for any other reason?

Rishi Kajaria: See, as we mentioned earlier, our focus is primarily retail, which is 75% and project is 25%.

Now projects is a very competitive space where major multiple-brands are compared for the pricing for the builder. So also the real estate cycle has a lag with a tile usage, it's 24 to 30 months. So definitely, the outlook is positive, but our primary focus is retail, which gives us better margin versus the projects basically.

Ashok Kajaria: See, you yourself said that in the years when the real estate was not doing well, we have come with better volume growth of -- better margins, better volume growth. Better volume growth in reality, if you ask, real estate boom or increase in prices have not been beneficial to us for 2, 3 reasons.

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One, in first year or first 1.5 year, they sold their inventory and the construction started. Now that impact should start coming in and multiple factors are positive, which is coming out. One is the budget, which we all saw. Second is expected rate cut in the Reserve Bank policy. I think this will help us in driving the sales growth effective first quarter of next year - financial year.

Vinamra Hirawat: So sir, I can expect this real estate cycle despite higher competition in every price point to give us that same double-digit growth for consistent years going forward?

Ashok Kajaria: We'll do our best. I can only assure you that.

Vinamra Hirawat: Of course. Just another question. Sir,

in the last call, you had stated that there was some margin pressure in the Faucet segment because of increased cost of metal, which will be passed on? Have we taken any price increases in faucets this quarter? Is it around the corner? And yes, just any color on that?

Ashok Kajaria: That happened in quarter 1, and we passed on that benefit that time itself. After that, the prices of brass has been very constant. They have not moved much. This happened in if you recall in May, June of '24, '25. And after that, the brass prices have been very constant.

Moderator : We have the next question from the line of Pankaj Tibrewal from Ikigai Asset Management.

Pankaj Tibrewal: One thing which was a little bothering me on the overall results was the employee cost. So when I look at last year versus this year, the sales is absolutely flat, but almost 150 basis points has got increased on the employee cost, now 13% of sales. And when I look at all the companies in India with a gross margin between 35% to 40%, we have one of the highest employee cost? How do you address that? Because if market tends to be sluggish, then this is a sticky cost, which can remain with us for a long time and margins would be under pressure. Just wanted your thoughts on that side.

Ashok Kajaria: Pankaj Ji, you are absolutely correct. And we have attracted a lot in the past. And I thank you all the time for the guidance, which you have given in the past when you were with this Kotak. But let me tell you, honestly, and it's a very good question, I appreciate. We are working on that front. And I can assure you, next year, let me see next financial year, that is '25, '26, it will be at par with '23, '24. That numbers in terms of percentage will be at par with '23-'24.

Pankaj Tibrewal: Okay. So about 150, 200 basis points, which is looking higher right now?

Ashok Kajaria: Correct, correct. That will be corrected. One, we are doing that cost-cutting exercise. And number two, the sales will go up, as I have already said. So with this percentage wise, it will be on the level of '23-'24.

Pankaj Tibrewal: Okay. That's heartening to hear there. And the second part is on the price realization side. How do you see it moving forward because your other expenses have also gone up when I look at? So from a realization perspective, over the next 12 months, even if the demand remains sluggish, is there a way in terms of premiumization or product mix, which can help us on the pricing side?

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Ashok Kajaria: Now 2 things. You said -- raised 2 points. Let me answer you the point number one, the other expenses are flat this year. The '23-'24 vis-a-vis '24-'25, the other expenses are flat. There's no increase. Point number two, why the realization has gone down, as said earlier by Rishi, this year, because of the sluggish demand in retail, we had more focus on projects, which is not normal for Kajaria.

So Kajaria's percentage, as you recall, is 70% retail through the dealer network and 30% is through institutional sales. This year, it slightly varies because we had to keep our plants going.

And as you are aware with the data, which is there that all the plants -- overall, the plants have operated 95% plus.

And with retail improving, this realization will be back to what it was in quarter 1, I would put it like that. It will not go down because the decrease in realization is only 2%, and that will be made up the moment retail picks up.

Pankaj Tibrewal: Okay. So the margins, which have come to almost a very low level, you believe that it could move to 14%, 15% next year?

Ashok Kajaria: It will, sir. It will.

Pankaj Tibrewal: Okay. Fair enough. And last but not the least, on the distribution side, the pin codes that there is a large market still untapped, and we have to move from 350, 370 pin codes to 540. Where is that distribution-led strategy? How

is it working? Because in a market like this, you have to make sure that you enter new areas, take away market share. So...

Ashok Kajaria: It is already happening. Sir, it is already happening for the last 3, 4 months, and we are entering new areas. And now we are not talking about 350 to -- if you recall earlier, I said the Lok Sabha numbers, that 542 the Lok Sabha. Now we are talking about the Vidhan Sabha numbers, which is 4110 all over India, where we have to penetrate and go to the smallest town where Kajaria can be there.

Either of the dealers can be there, but we'll penetrate to the smallest town. And just to tell you, currently, we have 1,880 dealers across India and out of which 460 are exclusive Kajaria.

Pankaj Tibrewal: Okay. And last but not the least, in times of slowdown, always in every sector, we see the leader doing better and taking away market share. Somehow for us, it's not happening, though I appreciate on the balance sheet, you and Sanjeev Ji has done a great job in controlling the working capital cycle.

But from a growth perspective, if you are having such a hard time, I'm sure the smaller players in the industry must be having a tough time. So we must be taking away market share from a balance sheet perspective, the strength, which we have. How should we look at this scenario right now from our understanding perspective because you are the leader of the sector?

Ashok Kajaria: The growth of the industry has been flat because if you look at the numbers, every now and then, they have been talking for the last 3 months taking a shutdown. Why they're taking a shutdown?

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They are thinking of taking a shutdown because of their overcapacity. So basically, we have taken a market share.

The industry per se has not grown. And as you rightly said, being a leader, we have to take the market share of others, which we are doing, but that number will be speeded up as we go along. The moment we penetrate more to the smaller market that number will be speeded up.

Moderator : We have the next question from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Can you give a bifurcation of the ceramic PVT, GVT for a quarter?

Rishi Kajaria: You wanted the split basically?

Praveen Sahay: Yes.

Rishi Kajaria: So the volume mix in ceramics is 42%, PVT is 25% and GVT is 33%. And revenue wise, ceramics is 37%, PVT is 26% and GVT is 37%.

Praveen Sahay: Okay. And also, if you can give the gas prices, Northwest and South and aggregate?

Rishi Kajaria: So for the quarter, the North gas price is INR 38 per SCM. South is also - fuel price, correct. This includes biofuel, LPG and coal. South is INR 38, West is INR 37 and the average is INR 37 for the current quarter, quarter 3.

Praveen Sahay: Okay. and the next question is related to the Nepal project. The re the increase of 1%, but there the capex has increased significantly. So why is it so?

Rishi Kajaria: So the capex is INR31 crores. We are building a godown, which is a warehouse and a shed for stocking the inventory. That is where the capex is being required right now.

Praveen Sahay: Okay. So and even the working capital capex has increased there quite significantly?

Rishi Kajaria: Yes. So some inventory has increased because the plant is running full, and we are selling 70% of the capacity. So inventory has gone up. That is why the working capital has also increased, which should come down in the coming months as the sales pick up.

Praveen Sahay: Okay. And also related to the Sanitaryware in the last 4 quarters, we are seeing your growth is going down continuously. So even at this size, you are not able to grow in the market because of a demand is not there? Or is there a lot of a competitive intensity, which is restricting you for a growth?

Rishi Kajaria: As I mentioned, basically, because the retail demand is slow, so in

Sanitaryware, mostly our 90%, 95% would be sales in the retail market and the project market is very, very less because we're still a newer brand in the market. So because the retail sales being slow, that's why we couldn't really grow this year.

But hopefully, as the demand increases, if the things look better, I think next year should be a much better year. Also, we had some issues with our Sanitaryware plant, which has now

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stabilized and the real impact will start coming from next, from every quarter here, you'll see an improvement in that.

Praveen Sahay: Can you give some color what happened in the Sanitaryware plant? Sorry.

Rishi Kajaria: So the Sanitaryware plant, we set up a new plant. It takes about 6 to 12 months to stabilize production, unlike a tile plant, which happens in a month. So we were stabilizing production.

And at the same time, now production is quite stabilized and the demand is also coming up. And we see a much better -- from here on every quarter, the sales should be much better.

Praveen Sahay: Okay. Okay. Got it. Last question, sir, related to the institution versus retail mix. Definitely, you maintain 70%, 75% retail. But over the last couple of quarters, as you had also highlighted that the institution sales has been increasing. So can you give a color in the last 9 months and this quarter, how has been the mix change? And also some more color on the institution like direct to the large builder or how much is contribution coming from that kind of businesses?

Rishi Kajaria: So we supply to a lot of large builders like L&T Realty, Hiranandani, even in North, a lot of these guys. So the mix has become a little higher in the last 9 months so that we didn't want to - our factories are running, we didn't want to lose out on our sales, right? So we are selling to them at a, let's say, more competitive cost whereas compared to what it used to be earlier. And as the retail sales pick up, that mix will start getting better.

Praveen Sahay: Any number you want to highlight, like how much is institution right now versus 30% earlier?

Ashok Kajaria: Generally, the norm is 70-30. But as we said earlier in the earlier question, this quarter, the sales -- the proportion has been more in favor of the project. So we don't know exact number, but...

Rishi Kajaria: Maybe 65 -35 -- 60-40...

Ashok Kajaria: Maybe -- but just as an estimate, there is no exact number... we have.

Moderator : We have the next question from the line of Rishikesh Chandrakanth from Kotak AMC.

Rishikesh Chandrakanth: So first is, thanks for clarification on the employee cost, but is there any noncash ESOP cost also that is sitting in the employee cost?

Ashok Kajaria: Not much to be quantified.

Rishi Kajaria : No, no. There is nothing...

Sanjeev Agarwal: There is no non-cash ESOP cost basically.

Rishikesh Chandrakanth: In this quarter you are talking about?

Sanjeev Agarwal: Yes, in this quarter.

Ashok Kajaria: Would you mean this, why the admin, other overheads are more, are you looking for that?

Rishikesh Chandrakanth: Sorry?

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Ashok Kajaria: You're looking for why the other expenditure are more?

Rishikesh Chandrakanth: No, only employee cost because there is an ESOP cost also generally that sits in there. So just clarifying on that.

Ashok Kajaria: That is not because of the ESOP cost.

Rishikesh Chandrakanth: Okay. The second is a lot of discussion on call happened on clearly institutional mix being higher this quarter. But just from the product mix in sense that we supply to institutional, is there a change also intent and that is getting reflected in realization? Or is it higher discounting only?

Rishi Kajaria: See, in institutional sales, definitely, vitrified is more preferred, but all the divisions are selling

o projects also and discounting is happening a little bit, as we said earlier because it's a very competitive space. So that is the reality of projects and as the retail picks up, the project sales will start coming down a little bit.

Rishikesh Chandrakanth: Okay. And lastly, in terms of the reported segments that we have, clearly, the non-tile segment, other segment there, the EBIT losses have come off. It's more to do with plywood sales -- reduction in plywood sales, right, ramp down of plywood sales, lower sales in plywood. The Bathware losses seems to have gone up?

Rishi Kajaria: So what is the question?

Rishikesh Chandrakanth: So in other segments, the non-tile segmental margins that we provide in our press release, P&L?

So in that if I look on the EBIT losses, there, I think that has come off. But clearly, is it more to

do with lower plywood sales? That's how we should read it. The Bathware losses persist, right?

Sanjeev Agarwal: Mainly because of the Bathware losses, there's not much change in plywood. Plywood, we sold less, but there is no much change in the losses of plywood.

Moderator: We have the next question from the line of Souvik Mohanty from Nuvama Wealth Management.

Souvik Mohanty: I just had one question, can you help me understand how much -- how many months of inventory do the distributors hold? And has there been any major change in the last 1 year?

Ashok Kajaria: So distributors don't hold that much inventory, let's say, I would...

Rishi Kajaria: So we have about 1,800 dealers all over India, and they must be hold. They hold about a month of inventory or something, not more than that. It's not that they are...

Sanjeev Agarwal: Post-GST, it has come down significantly, and we also encourage them not to hold much inventory because our supply chain is very robust.

Moderator: we have the next question from the line of Utkarsh Nopany from BOB Capital.

Utkarsh Nopany: Sir, my first question is like whether our understanding is clear that we are mainly dependent on outsourcing model to grow our sales volume as our domestic capacity operated at 105% rate in previous December quarter and our outsourced sales volume grew by 17% on a Y-o-Y basis in

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December quarter. And what could be our maximum capacity utilization for our domestic tile plant on an annualized basis, as per you?

Ashok Kajaria: So all our plants are running at full capacity and they're selling all the material of our plants.

And now the rest is what we are outsourcing. That's only about 20%, 25% of our total sales.

Utkarsh Nopany: No, sir. My point was that like our manufacturing sales volume is going to remain flat only going forward because what we are noticing that whatever the incremental volume is coming, that is mainly coming from the outsourced model. And is that going to continue going forward also?

Ashok Kajaria: Right. So we have enough capacities built in. We are not rightly looking to put any new capacity. And the new -- this further sales will come from outsourcing.

Sanjeev Agarwal: Going forward, the capex is going to be -- next year capex is going to be very low. We are not contemplating any future capacity utilization. The endeavour is to sell this capacity well and at a better price. And if the need be, we'll be doing that from outsourcing.

Utkarsh Nopany: Okay. Sir, second question is like we are planning to acquire 75% stake in a group entity called Kajaria Adhesives Private Limited as we are planning to put up a tiles adhesive plant in Tamil Nadu. So wanted to know why we are not acquiring the entire 100% stake in that company?

Ashok Kajaria: We'll be ultimately acquiring 100% -- no, it's a 90%, 10% is...

Rishi Kajaria: Basically Kajaria Adhesives Private Limited, the share capital is INR 4 crores in that. Three is

Kajaria Ceramics and one is one of our biggest deal

ers in the country called Lakshmi Ceramics

based in Coimbatore. So he is a 25% partner in that. He has 17 showrooms in Tamil Nadu. So we roped them in as an equity partner because of 2 reasons.

First, he help us promote our sales of adhesives in Tamil Nadu. And secondly, any local issues, which comes up in the plant we're looking to acquire, he help us manage that also as a local entity out there. That was the thought process behind this, giving him that stake.

Utkarsh Nopany: Okay. And sir, like what would be our advertisement cost for December quarter?

Rishi Kajaria: So basically, last year, we spent roughly around INR 131 crores. December should be in the range of roughly INR 30 crores as an advertising cost. INR 30 crores, INR 32 crores basically.

Utkarsh Nopany: And sir, lastly, like if you can provide the EBIT margin guidance for the tiles and non-tiles segment for FY '26?

Ashok Kajaria: Right now we are not giving any guidance. We give the guidance at the end of quarter 4 next year. Next year, we'll talk about it at the end of quarter 4 because things are still to look up in the country. And as you know, all building material products are under pressure. So keeping that in mind, it's not the right time to give any guidance. We review as things go up. And at the end of the quarter 4, when we meet, we'll give you -- try to give you some guidance.

Moderator : We have the next question from the line of Onkar G from Shree Investments .

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Onkar Ghugardare: Yes, sir. My question is regarding you earlier mentioned that you will be trying your best to achieve the guidance, which you had given. But I mean, even if you do around INR 4,700 crores of sales this year, considering a 10% growth in the fourth quarter, you would still have to grow around 17%, 18% to meet that guidance. And you had given a CAGR of 12%?

Ashok Kajaria: We are not looking at that. Our overall volume growth this year should be close to between 8% to 9%. That's what will happen. That's the reality on the ground. And we are not looking at anything beyond that at this stage because things are very tough on the ground. You're all aware of what is happening on the ground.

So if I give you anything, which is not correct, it is not right. So current scenario, we are looking at a scenario where Kajaria Ceramics should grow 8% to 9% in volume terms for the full year.

Onkar Ghugardare: And similarly, you had given 15% to 17% guidance. How realistic is that in next 2 years to achieve that?

Ashok Kajaria: No. We will talk about next 2 years at the end of quarter 4. It's too early to talk about the next 2 years.

Onkar Ghugardare: So you had given this guidance a year back. That's what I'm asking?

Ashok Kajaria: I'm doing nothing right now, as I said.

Sanjeev Agarwal: See, that was a 3-year vision, we had unveiled last year. So we are not changing much in that vision as of now. When we will -- after the year, we will sit back. If there is a major deviation, we'll come back as of what Chairman wants to say. At the moment, we have not examined whether to revise this guidance and to what extent.

So that we will do. It is not -- it's a very careful process. It cannot be answered on every quarter.

See, the 3-year mission was made on a certain assumption. The assumption some quarter it happens, some quarter, it doesn't happen. That doesn't mean every quarter, I'll be changing my 3-year guidance.

Post this year, after seeing all the economic scenario of the general economy in the country and the tile industry, if need be, we'll change our guidance. And at that time, we'll unveil our revised guidance if need be.

Moderator : We have the next question from the line of Rishab Bothra from Anand Rathi.

Rishab Bothra: Just wanted to understand whether we track residential, commercial and infra consumption, which segment is the fastest growing for us?

owing for us?

Ashok Kajaria: When it comes to retail, it's a combination of real estate and commercial. When it comes to projects, it's more of commercial, less of retail. That's how it works basically. And Kajaria's focus has been on retail more because as we said that we are 70% retail. That's what we have been doing for the last so many years, 30% institutional sales. So that's what the focus would be.

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Rishab Bothra: And lastly, sir, in residential, do we eye for large housing projects or stand-alone projects as well? Both are our focus area?

Ashok Kajaria: Combination of all.

Moderator : We have the next question from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: I mean most of the questions are answered. I just wanted to pick your brain on, has anything

changed in the industry in the last 4, 5 years, whether it is in respect of competition, whether it is in respect of technology? Are your peers now being able to produce the same product as you? Or is there some change between marble and ceramic?

I just wanted to get a sense because multiple people have asked this question in different ways. But if real estate sale is strong, eventually, it has to result in some bit of retail sale, right? If the builder is making the lobby, the flat also is required to be made. So any sense on if anything has changed in the industry in the last 4, 5 years based on your experience and expertise?

Rishi Kajaria: Right. So first, we'll talk about the industry in terms of industry, in terms of machine technology. The latest machines, whatever, the latest technology is continuous plus technology, but your company already has 2 of those plants. So you are blessed with all the technology, right? And as compared to product also, we are making all the products, so there's no differentiation in terms of that, that somebody else is doing and we are not doing.

What we are saying is that at this tough market, if you are growing at 7%, 8%, when the retail market increases, the volume will be much better. But we don't want to comment and we don't give any guidance right now. We're not going to leave the projects, which we're already doing. And we are waiting for the market to revive. The retail market revives, automatically our volumes will be better and our realization will also get better. But there's nothing new in the industry, which we are doing and nobody else is doing or somebody else is doing and we are not doing.

Pulkit Patni: No, fair. I mean you've always been the leader. So my question was more about something that you were doing, which competition is doing. Maybe let me just extend that one step further. Do you think the supply situation is much worse, i.e., there's much more excess supply today than it was a few years back in this industry?

Rishi Kajaria: So if the demand slows down, the supply will be excess, right? We already have built in capacities. We are the number 1. Our production is very high. So yes, we have to make sure that -- and the factories should not be shut down. So the supply will always be high. And yes, today, the suppliers are a little excess as compared to what it used to be earlier. Generally in industry, everywhere supply is high. Everywhere supply is high.

Ashok Kajaria: Pulkit, this particular year, as we have been talking, what has happened is, exports have come down. So that INR4,000 crores of exports partly has come in the domestic market. I wouldn't say fully, but partly has come to the domestic market. So that has kept the market under pressure, number one.

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Demand has not gone up because of various reasons, we are all aware in the most of the building materials segment. So this is what the reason is that the pressure has been there. With things looking up, I think things going ahead should

be better.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Ashok Kajaria: Thank you, Pranav . I think it's been a good interaction. A lot of good questions were asked. I hope on behalf of the management and on my own behalf, we've been able to answer it to the satisfaction. But if anybody has any queries, you can come back to Sanjeev and Nehal for further clarification. Thanks a lot, everybody, for joining us today.

Moderator : Thank you. On behalf of Kajaria Ceramics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Jul 2025

July 25, 2025
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 22, 2025, informing about the uploading of the audio recording of the Conference Call held on July 22, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q1 FY '26 Earnings Conference Call "
July 22, 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING
DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR
– KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED
MR. KARTIK KAJARIA – HEAD, ADHESIVES DIVISION –
KAJARIA CERAMICS LIMITED
MR. PARVEEN GUPTA – DVP FINANCE – KAJARIA
CERAMICS LIMITED

MODERATOR : MS. SNEHA TALREJA – NUVAMA WEALTH
MANAGEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Limited Q1 FY '26 Earnings Conference Call hosted by Nuvama Wealth Management Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Sneha Talreja from Nuvama Wealth Management. Thank you, and over to you, ma'am.

Sneha Talreja: Thank you, Vishakha. Good evening all. We welcome you to Kajaria Ceramics Q1 FY '26 Conference Call. We are today joined by the senior management of Kajaria Ceramics represented by Mr. Ashok Kajariaji, CMD; Mr. Chetan Kajaria, Joint Managing Director; Mr. Rishi Kajaria, Joint Managing Director; Mr. Kartik Kajaria ; Mr. Sanjeev Agarwal, CFO; and Mr. Parveen Gupta , DVP Finance. We will now start with the opening remarks with the management, followed by the Q&A.

I will now hand over the call to Mr. Ashok ji for his opening remarks. Over to you, sir.

Ashok Kajaria: Thank you, Sneha. Good evening , everyone. It gives me great pleasure to welcome you to the quarter 1 FY'26 earnings conference Call of Kajaria Ceramics Limited. Joining me on this conference call is the senior management team of Kajaria Ceramics.

In quarter 1 FY'26, overall market demand continued to remain soft. Our consolidated revenue for the quarter stood at INR1,104 crores, indicating a 1% year -to-year decline compared to the corresponding period last year, mainly due to low growth in tiles volume and decline in ply sales due to closure of this division. However, the margins have improved in quarter 1 FY'26 to 16.72% as compared to 15% in quarter 1 FY'25.

During our last interaction, I had mentioned that we had initiated certain measures to optimize our sales and marketing resources, but had not detailed the road map. Having covered some ground in implementing our strategy, I would like to take a moment to illustrate our marketing blueprint.

When we entered the Vitrified Tile segment through trading, our Ceramic Wall and Floor Tile segment was already an established business vertical. To accelerate growth in vitrified tiles, we created a dedicated marketing channel and team. That plan worked well and our Vitrified Tile business scaled rapidly.

Times have changed, which mandated a rethink. Product differentiation between ceramic and vitrified tiles is marginal at best. Ceramic tiles are more for wall and vitrified tiles are, as they can be made in bigger sizes, are more relevant for floor, though they can be used interchangeably.

Considering these realities, we are in the process of integration of our 3 tile divisions into one. Our unified teams will drive efficiency and scale volumes. Our combined distribution network will showcase our entire range of tiles, which is beneficial to our customers. This integration

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July 22 , 2025

will enable us to streamline resource deployment, optimize costs and enhance organizational agility in responding to evolving market dynamics and customer preferences.

In this quarter, we initiated this transition in some states and have received encouraging feedback. Although the overall sales volume was muted due to external factors and the adoption of this unification strategy, we are confident that the complete adoption of this strategy will result in making Kajaria a lean and thin organization.

With this, I take the opportunity of thanking you for joining us today. Thank you, Sneha.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Agarwal.

Rahul Agarwal.

Rahul Agarwal: Sir, basically, 3 questions. Sir, something you want to share on the current trends of the tile market. You didn't touch upon that. I just wanted to know what is the outlook for this year on both on domestic , as well as export market for tiles? That's the first question.

Ashok Kajaria: You can repeat -- you can tell all I will reply. I'll try to reply all together.

Rahul Agarwal: Okay, sure. Secondly, on the cost side, when I look at your P&L for first quarter, it looks like gross margin expansion has actually flowed through to EBITDA. When I look at staff cost and other expenditure, they are flat Y -o-Y. So all 3 line items on the cost side, I think there is a fair bit of optimization. If you could elaborate a bit more, how do you see the full year in terms of cost? And what kind of margins would you expect? That will be helpful.

And thirdly, just wanted to know, based on now the plywood division is now shut, Bathware, I think this quarter reflects only Bathware revenues on the other segment. So that business looks -- the EBIT is about INR4.5 crores. So some outlook on that? And what is the total savings would you expect from plywood and Bathware being profitable for fiscal '26 as compared to '25? If you could just highlight that, that will be helpful. That's all.

Ashok Kajaria: Okay. Three questions you asked. The first one is regarding the domestic and export market. The domestic market is still muted, but I think things should be slightly better as we go forward for 2 reasons.

One, the export, which was INR20,000 crores in '23-'24 has come down to INR16,000 crores in '24-'25 because of high freight rates and external circumstances like the problems in Israel, Hamas and all that. Things are basically getting neutral. So this year, exports for the first 3 months is about INR4,500 crores. And going forward, it seems that the exports will definitely be between INR18,000 crores to INR20,000 crores.

The moment exports pick up, the domestic market should also improve. I think the kind of government spending, which was muted last year because of various reasons, mainly because of the election year, should also pick up. If the government starts investing in infrastructure more, which they will, things at the domestic level should also get better.

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As far as the cost scenario is concerned, we have -- since this process has started from April, we have let down a few -- left few people. We are optimizing our costs. Also, the promoters are not taking any salary this year.

As far as the third part is concerned, we have 3 divisions right now: Tiles, Bathware and Adhesive also. Adhesive last year did INR75 crores. This year, we are looking at a scenario where it should do about INR120 crores. This Bathware division, which did last year about INR400 crores, we are looking at about INR480 crores. So this will also generate additional value. And last year, Bathware lost some money. This year, it will definitely be profitable.

Rahul Agarwal: Got it, sir. Is it possible to quantify the plywood loss for last year, which will be saved this year, just to know the change Y-o-Y?

Ashok Kajaria: I think if you look at the numbers, you'll get all the things. Plywood also, everything has been squared off last year. This year, for the first 3 months, we have had salary expense of about INR2.5 crores, and it will also be there in July and August about INR1 crore, and that's it. Everything otherwise has been taken care in last year.

Moderator: The next question is from the line of Shaleen Kumar from UBS Securities.

Shaleen Kumar: Congratulations on a very good set of operating profit and earnings. Sir, I just want to little more understand what you talked about in terms of your strategy of optimizing your marketing. Sir, did I understand clearly that you had earlier different marketing people for different product and

now you are bringing them all together under one roof?

Chetan Kajaria: Correct. This is Chetan here. As you said correctly, earlier, we had 3 teams. They were respectively selling ceramic, PVT and GVT tiles, polished and glazed. Now we have started the process of unification, meaning we are combining the teams together under a common head state-wise and getting more cost efficiency out there.

And a single guy will go to a dealer and sell all the 3 products in that basket. So dealer doesn't have to deal with 3 people in the long run. He just gives it to one guy who sells the entire product basket when he goes to a shop.

Shaleen Kumar: So earlier, there were 3 people going to the same distributor?

Chetan Kajaria: Correct. And no distributor dealers. We don't have distributor policy in our company. It was mainly dealers.

Shaleen Kumar: All right. And sir, how has this -- like what was the thought process behind unification of this, bringing them together?

Ashok Kajaria: You see this dialogue has been going for a long time. And I'm happy to inform you that our CFO, Mr. Sanjeev Agarwal, he insisted -- we had a lot of meetings sometime in Feb, March. He insisted that we should follow this, and I'm thankful to him that the dialogue led us to this path.

And I think going forward, we'll be a lean and very solid company as we go along.

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Shaleen Kumar: Right, right. No, sir, sounds like good. Just 1 or 2 questions more to it. So sir, any initial distributor feedback that you have got from when you're doing this? Can there be a concern that -- because distributor may be dealing with multiple people, now he's dealing with 1 person. Is 1

person adequate to offer all the products? What's the initial feedback you're getting?

Rishi Kajaria: Shaleen, it depends on the area and the size of the distributor. Smaller areas like a Trichy or a Jodhpur or the small areas, the people are very comfortable dealing with 1 person. But when it comes to some large areas and where the dealers are very big, instead of 3, we might be sending 2 people right now initially. So that strategy will change varying from dealer to dealer. But overall, the dealers are very happy. The initial feedback which we have got, they are very comfortable with the new system.

Shaleen Kumar: Right. So effectively, what we believe that this amount of sales and marketing people are enough? Or there is still more scope you think, we can bring it down?

Rishi Kajaria: So as we go along, we'll see, and we'll optimize more if required. We'll also might be keeping some new people for doing business development, meeting architects and all that. But we'll optimize our resources as we go along.

Shaleen Kumar: Got it, sir. And sir, I think Mr. Kajaria, you made a comment about promoters have not taken salary. Is it possible to quantify it? And is it like this year? Or is there any thought process behind it? Like when would you like to take it or any idea on that?

Ashok Kajaria: I think it was a very bold decision on the part of the promoters to forgo the salary for this year. And I'm sure it was a tough decision, but we went ahead with it. And I can also assure you what we have internally discussed that till we have a 4-digit EBITDA figure -- running figure of EBITDA, we will forgo our salary. Run rate of 4-digit EBITDA, we'll forgo that part of the salary. We'll forgo our salary.

Sanjeev Agarwal: Shaleen, the thing is that we'll consider taking it back only when we see a run rate of INR1,000 crores EBITDA. That's a challenge we have taken to ourselves just to show the solidarity and the confidence in the company, plus that we are bent upon to make this is a very lean and thin, and -- see as you say, charity begins at home.

So cost cutting also begins at home. So the promoter has shown to the organization then when they

can sacrifice the salary, so others have also to follow the suit

So if they are not taking salary, they can say we are not giving increment. If they are taking salary and they are cutting our increment, then people say why you are taking salary. So promoters have started with themselves and then taken the cost-cutting measures across the organization.

Shaleen Kumar: Got it. No, sir. That's a great move. So we are saying that we will not take salary till we reach INR250 crores of EBITDA per quarter. And right now, we are at INR187 crores ...

Sanjeev Agarwal: We will consider after that. I'm not saying we will make it, but we will consider after that.

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Shaleen Kumar: Okay. That's a very good thing, sir. Pretty positive for the markets and for the minority shareholders. Sanjeev ji, since I have you here, can I also ask you about what happened in other expenses? We could see that they have dropped significantly. Is it just -- because I think part of it may be the sales, but sales may be staff cost? So what else is happening and how sustainable it is?

Sanjeev Agarwal: It is more -- Shaleen, it is more of some one-offs like in Q4, we had around 22 -- you want a comparison from Q4 to Q1 or Q1 to Q1? Because there is a significant variation from Q4 to Q1. So whatever you said, I can explain.

Shaleen Kumar: Agree. But even if I look at before that -- Q2, Q3, before that, you were running at INR140 crores, and now you are at INR113 crores, right? So even you can see 20% drop from Q2, Q3 is there, right? And obviously, Q4, I understand there were some one-offs, but even that is -- there is a big drop. So I just want to understand how sustainable...

Sanjeev Agarwal: I will start with Q4. In Q4, we had around INR22 crores of bad debt that was with respect to Ply and some London operations, which are INR4 crores in this quarter. And there was some fixed assets loss in the first quarter, we sold some machine in our Sikandrabad plant. So that was to the extent of INR5 crores, which is not there this time.

The traveling has gone down slightly. Advertisement has also gone down. So about advertisement, we are making a very -- I will request Rishi ji to explain about the advertisement as how we are optimizing our advertising resources in a more meaningful way without making any impact on the cost ...

Rishi Kajaria: So strategically, Shaleen, what we are doing is basically we are optimizing, putting the money in the right places and where it matters the most. We are especially driving our advertisement branding moves in Tier 2, Tier 3 cities, where we'll get more market share. So we are doing a very strategic and a focused approach in advertisement to make sure that our costs also don't go up and we get the maximum mileage.

Shaleen Kumar: Got it, sir. So fair to assume that this run rate is sustainable, INR115 crores odd for the other expense? Can you work with that?

Sanjeev Agarwal: Yes, definitely. Even the INR4 crores bad debt is there in this quarter will not be there next quarter, but there may be some increase. So it's okay. We can say around -- between INR110 crores to INR120 crores run rate you can consider.

Shaleen Kumar: Right, sir. So sir, is there a...

Sanjeev Agarwal: Shaleen, can I request others to -- give the opportunity to ask the question, please.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: So sir, firstly, how is the fuel cost for North -South, the number which you used to give in all the calls? Can you give that?

Ashok Kajaria: Yes, yes. For North, quarter 1 is INR38, for South INR39, for West INR36, average is INR37.

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Keshav Lahoti: Okay. Okay. And the same trend continues now, right?

Ashok Kajaria: Yes, yes. There's not much change. There's not change.

Keshav

Lahoti: And what was the promoter salary in FY '25 for the whole year?

Chetan Kajaria: For the full year, it was INR17 crores. You can see that it is around INR4 crores in this quarter.

Keshav Lahoti: Okay. Got it . And sir, lastly, this Nepal -- hello, am I audible?

Moderator: Yes, you're audible.

Keshav Lahoti: Sir, last question. Sir, this Nepal is -- it's a JV. So normally, you combine Nepal volume in the total volume what you show in PPT?

Sanjeev Agarwal: No, we are not combining it because this is 50%, 50%. So we are just adding below the line.

Keshav Lahoti: Okay. And you had a plan to increase this 50% to 51%?

Sanjeev Agarwal: No, we have taken a levelling resolution, but we have not done so.

Keshav Lahoti: Okay. Understood. So whether this will happen this year? Because once it becomes 51%, then possibly you will plug in the entire volume.

Sanjeev Agarwal: It may not come even.

Keshav Lahoti: Understood. Got it. And Nepal, what would be the sales utilization? We can see from PPT, the production, but the sales and production are broadly in line or possibly sales would be way lower?

Sanjeev Agarwal: See, the profitability is difficult to say because the volume is not much. So we have done -- the capacity is running at a capacity utilization of 60%, 70%. But we have to cover lot of things in Nepal. As some inventory build -up is there, we have to take care of that. So though optically, there is some profit in that operation, but I will not consider this as a profit. So we will not guide about the profitability as far as Nepal is concerned today.

Keshav Lahoti: Okay. And what would be the Nepal sales volume for this quarter?

Sanjeev Agarwal: Sales volume was around 0. 61 million for the quarter.

Moderator: The next question is from the line of Pujan Shah from Molecule Ventures.

Pujan Shah: My first question would be a very naive question, but just wanted to understand a brief idea of the industry dynamics which is shaping up. So we have seen the last 2 years have been very muted in terms of growth for the industry as well? And understanding that part while real estate cycle has been very stable?

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So what is happening which is not able to grow the industry? Is it about that export has been a decrease, which has been right now getting used in the domestic, which is impacting the margins or the sales growth? Or what is happening in the industry sector ?

Ashok Kajaria: See, industry is muted. As you said, real estate is doing well, but real estate is not fully doing well. What was happening a year back is not the position today, number one. And number two, if exports pick up, as I said, partly, they have already started picking up. If they pick up, it will definitely be improved in domestic industry. So I think we can look at the internal factors, which we are working very hard. But at the external factor, still it's very difficult to comment how things will shape up.

Pujan Shah: Right, sir. But just wanted to understand, we are doing everything what we can do in the terms of structuring internally. But just wanted to understand on the industry side, what has happened in the last few years, which have never been happened because ultimately, in India, the consumption story will be very strong. So what happened in the last 2 years?

Ashok Kajaria: See, if you look at all the building material industry, they are all not growing. If you look at it, any industry which is related to the building industry. You take anybody, whether it's paints, whether it's ply, whether it's this thing or -- nobody is growing exactly. So demand still remains muted as far as the domestic consumption is concerned. Whichever is doing exports will be

doing all right.

But as far as domestic industry is concerned, demand is still muted. In spite of the reduction in interest rates, in spite of Reserve Bank

releasing the money in the system, it still is muted. So we hope it should improve from the quarter -- after quarter 2.

Chetan Kajaria: To add to that, our dealers tell us that the customers' footfall is very, very less in their showrooms. So unless that improves, the real growth will not happen.

Pujan Shah: But sir, absolutely, I understand each of the industries has been suffering out. I understand the paint, I understand the pipes. But all of a sudden, in the last 2 years, I expect that in the coming quarter, there will be a demand shaping up very well. But in the previous 2 years, what such things have happened that the cycle has not been shaping up very well. So what -- I understand...

Ashok Kajaria: I have tried to explain to the best of my ability. You please try to find out from the other industries also why things are not looking up. Instead of me answering all the questions, I think you should find out from related industries also, it will help us also.

Moderator: The next question is from the line of Pranav Mehta from Equirus Securities.

Pranav Mehta: Very heartening to see that the margins have improved solidly in this quarter. Sir, I wanted to understand on the Adhesives business. So how are we seeing things picking up in that segment?

And how are we placed in terms of, let's say, the strategic growth that we are targeting in this segment along with what kind of margins we are targeting in this segment, sir?

Chetan Kajaria: You're talking about adhesives, right?

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Pranav Mehta: Yes, adhesives.

Chetan Kajaria: Last year, our turnover was INR75 crores. And as the MD said in the beginning of the call, we're looking at INR120 crores plus this financial year. Our EBITDA margin currently is 17%. Now with this unification of division happening, we are looking at a good and positive growth going forward, utilizing the expertise of all our division salespeople.

And our -- one plant is already operation in Gailpur, Rajasthan on the 30th of May this year.

Another plant is in the pipeline in a place called Erode, which is a couple of hours from Coimbatore in Tamil Nadu. The paperwork is going on, and we expect that plant to be operational in the next 3 to 4 months to cater to the southern markets.

Pranav Mehta: Okay, sir. And sir, how are we looking at, let's say, increasing the portfolio in this segment in particular? So we will be focusing more on the, let's say, Tile Adhesives and related segment only? Or are we going ahead with some new chemistries as well?

Chetan Kajaria: Currently, we are focusing on the Tile Adhesives segment only. We have all the adhesives, epoxy grouts related to the tiles currently in our portfolio with all the different CX1, VX1, LX, EX, all the variants available in the catalog. That's our primary focus as of now.

Moderator: The next question is from the line of Girish Choudhary from Avendus Spark.

Girish Choudhary: Congratulations to the entire team for the margin performance. My first question is again on the cost reduction measures, right? You spoke about the various initiatives. But if you can help us guide on how to quantify this going ahead in the sense how much has been realized this quarter and how much more scope is left to be gained going ahead, that will be helpful. Basically just to ascertain the sustainable EBITDA margins for the company post these measures?

Sanjeev Agarwal: See in this quarter, the measures which we are taking, which we intend to take, there is not much impact of those in this quarter as far as cost cutting is concerned. So going forward, we'll be taking -- we are working on many issues like we are working on boxes. We have reduced the cost of our packing material.

We are looking to reduce -- we are renegotiating our outsourcing material. We are focusing to revisit our raw material prices. All the cost area we are revisiting.

All the -- everything is very, very important to us.

So the benefit of that will emerge going forward in the coming quarters. But I can't say whether it will result in improvement of EBITDA or not because EBITDA is a product of selling price, gas price and cost. I can -- I'm confident about cost reduction. And whether it will result in what type of EBITDA that is yet to be seen.

Girish Choudhary: Okay. But assuming the prices or realization remain as it is, I mean, just to understand -- I mean, what -- how much of impact can it come on the EBITDA, right? I mean, like you said, this quarter, not much has come and we have seen a significant improvement in the margins...

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Sanjeev Agarwal: See, in this quarter, there were -- some one-offs were not there in this quarter. So some -- even the advertisement was low. So going forward, if the things -- see, I can say if the selling price remains the same, gas price remains the same, so EBITDA should improve.

Girish Choudhary: Okay.

Sanjeev Agarwal: So -- but I can't say about the -- like in this quarter, the selling price has slightly gone up, whether it is sustainable next quarter or not because the volumes have also not gone up. So we don't think the selling price will go up. So we'll focus more on volume. So might be we may have to give some discount to the market. So we don't know. That's why it's unable comment on the margin. But if the selling price hypothetically remains stable, then we will get some benefit out of cost optimization.

Girish Choudhary: But the other thing is, can we assume the current quarter margins as a base case minimum going ahead from here on?

Rishi Kajaria: So it's difficult to calculate, as we said, because we also might have to reinvest back in the market. So we also have to reinvest back in the market to maybe gain some more market share.

So we are doing our work, but it's very difficult to give you the calculated numbers what it will be. But you'll see an improvement every quarter.

Girish Choudhary: Okay. Got it. I mean, given these -- my other part of the question is that given the streamlining of resources and on integrating the division, right, I mean, have you seen any revenue impact because volumes have not gone anywhere or I mean, it's not impacting the volumes or revenues?

Rishi Kajaria: So as we said, the demand is muted, and it has not impacted any volumes. I think we have remained flat in this quarter.

Girish Choudhary: Okay. So you don't see any impact to volumes because of the integration?

Rishi Kajaria: So yes, it will slowly come. We are right now consolidating. So right now, we'll have more of a cost benefit and slowly going forward, that volume impact will come.

Sanjeev Agarwal: And this year, focus will be to make this happen because of the big change we are doing in the organization. So the focus will be -- though we would like to go -- nobody would leave the sales growth. We are also trying for the sales growth, but the primary focus would be to implement the big strategy change which we have undertaken in the organization, make the organization lean and thin. And whenever the growth comes, then we will be very equality growth.

Girish Choudhary: Got it. Sir, my last question on the capital allocation. Now that we have close to INR500-odd crores of cash. I mean, if you can just guide us on the capex for the year and the dividend payout numbers as well.

Sanjeev Agarwal: There is hardly any capex. This year capex would be around INR100 crores, INR150 crores. That is also because of the new office we are making and some normal capex. We are not adding any capacity in this financial year.

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So there will be some increase in cash. So as of now, we have no option but to keep the cash, but we might, as subject to Board approval,

we are -- me as a finance person is okay to return

the cash to the shareholder. If we need to increase our dividend policy, we will put it to the Board. Either we need to give the return to the shareholder or we will not keep their money in our bank account beyond a point.

Girish Choudhary: But any thoughts on any, let's say, inorganic acquisitions and all. I mean just...

Sanjeev Agarwal: No, we are not looking for any big thing. We are just being very conservative and very consolidating ourselves.

Moderator: The next question is from the line of Akash Shah from UTI Mutual Fund.

Akash Shah: Sir, just wanted to ask regarding the management structure. So earlier, if I remember correctly, Chetan sir, used to look at Ceramic Tiles division as well as plywood and Rishi sir, used to look at Bathware and GVT, PVT. Now we are trying to combine ceramic, PVT, GVT and -- I mean, all the Tiles division.

So -- and plywood is shut now. So sir, how would the management team -- I mean, how would the promoter look at the business? I mean, who would be managing which division, if you can share?

Ashok Kajaria: See, as far as Tiles division is concerned, now there is no such thing as ceramic, PVT, GVT. It's a unification. Between Chetan and Rishi, they will look after the entire division. And geographically, they will work on divisions, but basically, these 2 are the day-to-day bosses of the division. As far as adhesives is concerned, my grandson, Karthik is looking after that, and he's in charge of that division. As far as Kerovit concerned, Rishi is looking after the Kerovit division.

Sanjeev Agarwal: See, the whole tile market has been distributed area-wise, it is not division-wise now. So one person -- Chetanji would be looking 50% of -- half of India will be looked after by Rishi ji. So

they both are working together in close coordination with each other.

Akash Shah: Right, right. Sure, sir.

Ashok Kajaria: No, let me clear also. Earlier, one was looking after ceramics, the other was looking after PVT, GVT. Now what we are seeing, both have to know exactly what is happening in both the areas.

So as a result, it is a great, great unification, which has happened. And as Sanjeev said, the year is where we unify, we consolidate and volume will come secondly because volume is also necessary, but the key focus will be unification, unification and unification.

Moderator: The next question is from the line of Shaleen Kumar from UBS Securities India.

Shaleen Kumar: Yes, sir. Just 1, 2 clarification, right? The volume impact, when you're talking about positive or there can be negative volume impact?

Ashok Kajaria: No, no. There will definitely be a positive impact. You see what happened, Shaleen. First quarter, the partly experiment went through because partly was done on 1st week of April, partly was

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done in mid -May. You will definitely see a volume growth from here on. Exact numbers, we can't decide right now. I can only tell you that it will be a positive growth going forward.

Sanjeev Agarwal: I think, Shaleen, your question is because of the unification, the volume will go or down. So my answer and what sir also wants to say that unification is good for volume growth. It will help us to take even better market share, but there are some external factors which we are not unable to say anything. So unitization is growth accretive, it's not growth decreitive. But external factors, we are not commenting.

Shaleen Kumar: Yes. Got it. No, I just wanted to clarify because of the -- I think the previous participant question was impact. So just wanted to clarify on that, which side of the impact you were talking about.

And Sanjeev ji, then why are we not committing towards the margin, right?

If we think that -- if the price remains where they are, if gas costs remain where they are, you are doing some c

ost initiatives, you're looking at the positive benefit of the strategy, then why this can't be a base margin, right? This should -- the margin should be better only from here?

Ashok Kajaria: See, what Sanjeev said earlier, our costs will be coming down. That's one part. That we can commit to you that costs will come down during the course of the year. If all factors remain the same, 2 things he said, that if gas prices remain the same, it is n ot our in hand. If the selling prices remain the same, margins will go up. If there is any turmoil in the indust ry, it will affect the margins.

And as I said also myself that if the exports pick up, the domestic market will definitely start looking up because domestic market, as one of the participants asked, has been very muted for the last 2 years. It should not remain the same. So with that, de finitely, things should look up. So we are just not giving any guidance at this stage, but we'll keep on working in a positive manner.

Chetan Kajaria: Also, Shaleen, to reiterate, we mi ght need to reinvest, as Rishi ji said, back in the market to gain volume share also. So based on all these factors, giving a concrete guidance on margin is very tough as of now.

Sanjeev Agarwal: And Shaleen, we have learned over our past thing that it is better to say less and perform better. So we will always try to surprise the market rather than giving better -- more guidance than what we perform.

Shaleen Kumar: Sure, sir. I understand. So we just wanted to understand on the cost side, I think that we are comfortable on the cost side.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is, in the last quarter, you had indicated rebranding exercise.

And I think you had hinted towards what we have announced this particular quarter. But sir, my question is, what is it that prompted us to do this? Like why i s it that we are doing now? I think you did thank Sanjeev ji for pushing you on this. But what was the underlying reason why we are doing this particular exercise right now?

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Rishi Kajaria: Ritesh, see, earlier, it was required to have different people selling those different tiles to the same dealer. As in the last 2 years, there is so much of product commonality -- the products have become so common that it was not making sense. So finally, after a lot of discussions, internal deliberations, especially, the jhatka (shock) we got from the last quarter, we all really sat down on the table and we discussed what is the way forward.

And after a lot of deliberation and all, we took out that the way forward is that we have to unify

and we have to optimize our resources. And going forward, this is what we plan to do. So that is why it took us time. It took us a shock, but now we are on the right path.

Ritesh Shah: Right. But sir, to whatever limited understanding I have of our strategy, I think we were always aware that there are certain SKUs in a particular store, which will not be available and we will ask the buyer to go to the next store for that particular size, say, from PVT to GVT and historically, we have maintained that there is no negative volume impact because of that. So what is it that has changed? Is it the underlying volume growth was lower?

Rishi Kajaria: So, I'll tell you. There's no negative growth in terms of volume, however there's a lot of cost impact. I'll tell you, for example, in a place we were having 3 showrooms, 3 experience centres.

This is not required, right? So now going forward, like in Bombay, we have combined all the 3 experience centres into one. Banaras, we opened a single experience centre.

So we are now optimizing ourselves. And yes, as you said that this year, we might not see a spurt in volumes, but we'll definitely -- we'll have an impact of consolidation

and a lot of cost

optimization will happen. And going forward, definitely, a volume increase will also happen.

When it will happen, we can't comment yet because it's not in our hands. But what is in our hands, which is the cost and everything that is definitely we are working a lot on that.

Ritesh Shah: Sure. Sir, this is helpful. My second question is we had different stores, Star, Prima, Prima Plus, Eternity, Eternity World, Gres Universe. We have been adding the type of stores. So when it comes to the end distribution, how should we look at the consolidation over there? And if you can help us with the number of stores that we have and what is the road map on consolidation over here?

Rishi Kajaria: See, right now we have about 1,850 dealers, where about 440 dealers are exclusively selling Kajaria Tiles. Right now, they might be selling 1 vertical, 2 verticals, 3 verticals, maybe ceramic, PVT, GVT or either of the 3. Going forward, as we go along, definitely, things will get better.

The same store will be, maybe selling all the 3 verticals, all the 3 ranges. So as we go along, the consolidation will happen. With the same network, we'll be able to get more value out of them.

So as we go along, the branding will also change.

Ritesh Shah: Right. Sir, sorry to dig a little bit more. I think underlying strategy for us, what was earlier is we have more shelf space. It helps us display more and that effectively helped us sell more. Now when we are consolidating the end distribution network, we are seeing in the same store, we will have ceramic, GVT, PVT, which essentially means that the number of SKUs on display will be lower. So it's something counterintuitive to what we had always indicated. So how should one understand on the asset turn at the store level? And second is the inventory and working capital?

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Rishi Kajaria: So shelf space is not going down. That shelf space, whatever it is still remains. In fact, now we are motivating the same dealer that maybe he was only selling ceramic tiles earlier. And now with the same -- with the consolidation, we are motivating the same dealer that you open another store and you sell vitrified tiles as well.

So those -- the dealers which were under pressure from a single vertical, now they want to grow -- which they always wanted to grow, now getting this opportunity to grow now with this unification. So it's a win-win strategy going forward all the way. Shelf space will not go down, it will only go up.

Ritesh Shah: Yes, shelf space is the same, but the number of -- yes, sorry.

Ashok Kajaria: No, no. I will answer that. Shelf space, the question which you asked, 2 years back, if I take you, the average size of the showroom was between 3,000 to 5,000 square feet for a dealer. Today, that showroom size has gone up from 5,000 to 10,000 for certain dealers because they are saying how can I start display in a lesser store, I have to have a bigger outlet.

As Rishi said just now either he's opening a next store or he's expanding the existing area. The shelf space has gone up by 50% to 100% in the last 2 years on the dealers, on the dealers themselves. The range has become bigger and bigger and bigger.

Ritesh Shah: Okay. And sir, last question, Kajaria ji, you had indicated in the last call that we had our focus on government orders, that number will actually increase from 4% to around 10% in FY '26.

And we had special teams in North, which were doing liaising. Sir, where do we stand over there? Is this part of the business moving as desired?

Ashok Kajaria: I think currently, it has gone up from 4% to 6%. But going forward, it can increase further.

Ritesh Shah: Okay. And sir, just last one question I would like to squeeze. We had come up with a Keronite brand, which I presume was economy tiles, probably better than Morbi, but we were giving a value proposition,

which was there. Sir, where do we stand on our strategy over here?

Rishi Kajaria: So we have discontinued our strategy. We tested that strategy in a couple of markets. It didn't

do that well. So we have now -- and now with this unification, anyways, that problem is solved. So now we have discontinued that strategy and that brand is over. We have hardly any stocks left. It is -- in the next 1 or 2 months, it will be completely finished. So it was a test market, which didn't work well. I think this -- the new strategy is any day better. So we have discontinued that. And now we are only focusing on Kajaria, Kajaria and Kajaria. Ritesh Shah: Possible, can I squeeze one more question?

Rishi Kajaria: Yes, please.

Ritesh Shah: Or else, I will join back the queue. Okay. Sir, just to understand, what we make of Infra.Market as a marketplace, like we understand they are now the second largest player in the country, getting into JVs -- multiple JVs in Morbi. How do you rate the competitive intensity because of this? Is it good, bad? And how does it change things for us?

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Chetan Kajaria: Intensity-wise, it really hasn't affected us that much.

Rishi Kajaria: To answer that, see, Infra.Market is really not impacting us as a brand. See, Kajaria is a known brand in the market. Any project we go to, we are the first preferred brand if you can compete on the prices. So Infra.Market, although it is the second largest, has really not impacted us in any way.

Sanjeev Agarwal: They are more of an aggregator rather than a competitor.

Rishi Kajaria: Yes.

Sanjeev Agarwal: So if you ask me to -- I will respect Simpolo, I will respect Varmora, more than Infra.Market. So Infra.Market is not a real tile player. They are not into tiles. They are into many other building products. So they are working as an aggregator. That's not a brand. Have you seen any brand like Infra.Market as far as tile is concerned or any product is concerned. So we will refrain -- I think we will refrain of making any comment on Infra.Market.

Moderator: The next question is from the line of Amit Purohit from Elara Capital.

Amit Purohit: Sir if you could highlight some of the regional trends in the demand that you have seen? And also second, on the gross margin, there has been sequential improvement. I understand Q1, if I'm not wrong, is a -- mix-wise, is a better quarter than the rest of the quarter. Is that the case one should think about it? Or is there something which is changing helping you to maintain this kind of gross margin?

Chetan Kajaria: In terms of the first question, regional demand. North accounts for 35% of our sales; for the South, which is 30%, West is 15%; and East is 20%. Tier 1 dealer account for 15% of our sales; Tier 2 and Tier 3, 30% each; and Tier 4 is 15%. So we are seeing a more uptick in Tier 2, Tier 3 cities where people are coming forward and making bigger showrooms also. So that's the regional split of our demand scenario. Question 2, I will let our CFO answer the question.

Sanjeev Agarwal: What was the question, about the gross margin?

Amit Purohit: Sir, gross margin, if I look at it, this quarter has been pretty strong. Sequentially, it has improved, although Y-o-Y broadly similar or slight improvement. So I just wanted to understand, is this that the mix is favorable during this quarter and going forward, this...

Sanjeev Agarwal: There was a slight -- as I said, there is a slight improvement in the sales realization. So -- and there was a reduction in other expenses. Raw material was also -- slightly there is some saving in raw material as well. So gross margin should remain in this -- I don't see any much change as far as gross margin is concerned going forward. So a lot of savings will come out of operating leverage, out of cost cutting, cost optimization. So that will add to the margin, if any.

A

Amit Purohit: Okay. And I mean, if I just do a rough calculation of assuming a high single-digit growth trends, a 16.5%, 17% margin probably will help us to achieve that ...

Sanjeev Agarwal: We have already discussed enough on margins. So please ask other question. And I would request you to allow some other gentlemen to ask the question.

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Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.

Rahul Agarwal: Sir, any initiatives also happening on the Bathware side, if you could -- you want to talk about that? How do you look at Bathware profitability going forward? It's going to be a INR500 crore business. And I understand Bathware profitability could be better margin than tiles. So that could easily be like a 15% EBITDA business. Any thoughts on this division, please?

Rishi Kajaria: So Bathware industry right now, we didn't get any demand -- we had a flat quarter in terms of Bathware sales. The losses have gone. But yes, the profits are still to come. I think this year, if we work hard and we get a cheap numbers, the top line which you're looking for, I think the

profits will improve.

Still our costs are high. I think the more we scale up with the same cost, the margins will improve.

We'll not get the desired margin right now. But going forward, as the -- our top line has to increase much more because we already made our base very heavy with all the costs, and we have to work more on the top line.

Sanjeev Agarwal: And we are also revisiting our cost structure in Bathware as well.

Rahul Agarwal: Yes. That's what I wanted to check. I mean what could be levers there for Bathware? It could also be like INR75 crores, INR80 crores EBITDA number there?

Sanjeev Agarwal: That is more on tiles. So we will take everything one by one.

Rishi Kajaria: And again, Bathware, the main focus has to be they have to increase sales. As the sales increase, the things will get better. There's no growth happening right now. The growth has to happen.

Moderator: The next question is from the line of Sneha Talreja from Nuvama Wealth Management.

Sneha Talreja: Firstly, we're hearing a lot on Morbi or basically even the listed players taking price increases. Is that really happening on ground, price hikes? And what are the reasons for price hike at this point of time?

Ashok Kajaria: See, they have issued circulars, but it's actually not happening on the ground. So we are waiting for that and watching very carefully because the vision of Kajaria is to take a market share as far as volume is concerned. And as already said in so many words that we are on the cost-cutting drive. At the same time, we want to have better market share.

And for market share, you have to have patience. Let not the price increase take place because without that, also the margins are better and take a market share. So that is the mission, not looking at a price increase. And even otherwise, the prices have not gone up in any case.

Sneha Talreja: Understood. The second question was with other Morbi-based leading players expanding capacities geographically, how do we see our market share at that point of time? Does the competitive intensity increase from those players?

Ashok Kajaria: If you look at it, only one player is expanding geographically, that is Simpolo in South, where we already have a plant just very close to our Srikalahasti plant is there. But other than that, Kajaria Ceramics Limited

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nobody is moving up. It's very difficult for them to move out of Morbi and expand anywhere in India.

Moderator: The next question is from the line of Shilpi Sharma from Prabhudas Lilladher Capital.

Praveen Sahay: Sorry, I'm Praveen Sahay from PL. So my question is related to the realization because if I look at on the last several quarters, overall realization is on the correc

tion. And in the same time, if

you can give a color. With the correction in the realization, your gross margin has improved significantly for this quarter, 160 basis points on the Y-o-Y side. So how it's -- that's RM cost has significantly...

Sanjeev Agarwal: We have already discussed gross margin. Next question, please.

Praveen Sahay: Related to realization, sir. Realization, sir, where you see this realization?

Sanjeev Agarwal: We have already said, there is a slight improvement in the realization. We have discussed this. Can we take the last question, please?

Moderator: The next question is from the line of Ashwath from Arihant Capital.

Ashwath: So, since we don't have any capex on our cards right now, do we see -- what percentage do we see of our sales coming in from subsidiaries and trading?

Sanjeev Agarwal: Sorry ?

Chetan Kajaria: Coming from subsidiaries and trading?

Sanjeev Agarwal: What was the question?

Chetan Kajaria: How much is the percentage of sales in the subsidiaries.

Sanjeev Agarwal: It's given in the presentation.

Ashwath: Yes. Going forward, what do we see for FY '26?

Sanjeev Agarwal: As we said, we are not going to expand our capacity. So whatever the growth will come, that will come out of the unused inventory, unused capacity utilization. No, we are working on the full utilization. So some growth will come because of the reduction in inventory and when needed from outsourcing. We are not going to put up any capex in this financial year. So the growth comes, this will also reduce our working capital because it will result in liquidation of some inventory.

Ashwath: Correct, sir. So have you seen any market share improvement already in terms of Q1? I mean -- what do we target going forward since you did mention market share? So do we have any number...

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Sanjeev Agarwal: We've already discussed this. When we are not commenting on top line growth, so there is no point of commenting on market share. But one thing we have made clear that this strategy will be -- will help us to take market share subject to external conditions .

Ashwath: Okay. And on your Nepal plant, sir, have you seen any improvement in terms of volume and...

Sanjeev Agarwal: We've discussed Nepal.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Ashok Kajaria: Thank you, Sneha. Very well organized and thank all the participants who have been there, who asked questions or otherwise, and thank you for this conference call. Thanks a lot from the management and on my behalf.

Moderator: Thank you. Ladies and gentlemen, on behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

October 22 , 2025

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated October 16, 2025, informing about the uploading of the audio recording of the Conference Call held on October 16, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For Kajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Quarter 2 Financial Year '26 Earnings Conference Call "
October 16, 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA
CERAMICS LIMITED
MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA
CERAMICS LIMITED
MR. RISHI KAJARIA – MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL -- CHIEF FINANCIAL
OFFICER – KAJARIA CERAMICS LIMITED
MR. PARVEEN GUPTA –DEPUTY VICE PRESIDENT ,
FINANCE – KAJARIA CERAMICS LIMITED

MODERATOR : MR. RITESH SHAH – INVESTEC CAPITAL SERVICES
INDIA PRIVATE LIMITED

Kajaria Ceramics Limited
October 16, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Kajaria Ceramics' Quarter 2 Financial Year '26 Earnings Conference Call, hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for

you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Shah, Joint Head of Research and Analyst Materials from Investec Capital Services. Thank you, and over to you, sir.

Ritesh Shah : Thanks, Sama rth. Hi, everyone. Good evening, and thanks for joining. We have with us senior management of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Sanjeev Agarwal, Chief Financial Officer; and Mr. Parveen Gupta, DVP, Finance.

I would request Ashok ji to start with the initial remarks, post which we'll have a Q&A session. Over to you, Ashok ji. Thank you so much.

Management : Thank you. Thank you, Ritesh. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 2 F '26 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call is the senior management team of Kajaria Ceramics.

In quarter 2 F '26, our consolidated revenue stood at INR 1,186 crores, a marginal growth of 1% year-to-year compared to the corresponding period last year, mainly due to low growth in tiles volume and absence supply sales due to the closure of this division. During the last two quarters, market remained soft. Our sales growth was minimalistic, yet the company achieved a good operating margin and healthy cash flow, underscoring its operational strength and financial discipline.

As you are aware, the company is currently undergoing cost optimization journey focused on cost optimization, capital prudence and a strategic sales reset. This transformation is intended to build a leaner, more agile and growth-ready organization that is both responsive and customer-centric. While the process is gradual and better sales growth will take some time to materialize, we remain confident of achieving it in the coming quarters.

Sales optimization and productivity will begin to accrue across the remaining dealers where unification became fully active over the next few quarters. The short-term adjustments, which are part of this process are strategic steps that will result in higher efficiency, operational consistency and a stronger market presence.

Kajaria today is set to operate on three fundamental pillars: one, delivering above industry growth rate; two, superior operating margin; and third, higher free cash flow -- high free cash flow generation.

With Kajaria 2.0, we enter a new chapter of Board transformation, fresh thinking and renewed energy, led by both Chetan and Rishi, who have been recently elevated as Vice Chairman and Managing Director, respectively. I'm confident that Kajaria's future rests in capable and Kajaria Ceramics Limited

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visionary hands. Their new roles reflect our continued commitment to strategic growth and leadership excellence and will result in creating sustained value for all our stakeholders, be it our customers, our dealers, our employees and our shareholders.

Now for this quarter segment-wise financial performance. Tile segment remained flattish year-to-year, at INR 1,051 crores compared to INR 1,054 crores in quarter 2 F '25. Bathware segment registered a 14% growth in revenue, reaching INR 102 crores compared to INR 90 crores in quarter 2 F '25.

Revenue from Adhesives grew to INR 32 crores in quarter 2 F '26

as compared to INR 18 crores

in quarter 2 F '25. EBITDA further improved in quarter 2 F '26 to 17.94%, plus 122 basis points sequentially and plus 447 basis points year-to-year. PAT for the quarter grew by 58%, to INR 133 crores in quarter 2 F '26 as compared to INR 84 crores in quarter 2 F '25. As of 30th September '25, the working capital days reduced by 2 days, to 56 days, compared to 58 days on 30th of June '25.

With this, I take this opportunity of thanking you for joining us today. Over to Moderator, please. Thank you.

Ritesh Shah : Samarth , are you there?

Moderator: The first question is from the line of Keshav Vijayratan Lahoti from HDFC Securities.

Keshav V. Lahoti : Congratulations on strong set of margin, multi-quarter high margin. I want to understand on cost, you have alluded you are doing cost rationalization. I want to understand more how the progress has been in this quarter, possibly, if you can speak some line item by line? And what sort of more reduction is possible in upcoming quarters? And how long will this journey go on? As you highlighted multiple quarters, will this journey get over in FY '26, '27?

Management : So in terms of cost reduction, we have taken significant steps, for example, reengineering of the packing boxes across all our plants across the country, which has resulted in substantial savings of INR30 crores, INR 35 crores on an annual basis. Plus we've also worked on reducing our purchase price and outsourcing of tiles of ceramic and polished vitrified, removed a lot of people, around 250 people. So a lot of work has gone behind the scenes to rationalize the cost, which you have seen in the results.

Keshav V. Lahoti : Got it. So whatever is there, is done or possibly more sort of reduction is possible on employee cost or other fixed line -- expense line items?

Management : Some more savings will accrue as we go along, and it will happen as we go quarter -by-quarter. Some savings might happen as we go forward.

Management : So line item is -- like the savings will accrue in raw material, savings will accrue in purchase of finished goods, saving will accrue in salary, wages and saving will accrue in administrative overhead.

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Keshav V. Lahoti : Got it. So what would be the margin of the company once all these savings are done? And by when this will be done?

Management : See, we can't say about the margin. But as we said in the previous communications, that we have started the cost optimization journey and some portion we have covered in the first and second quarter. And every quarter, the journey will remain. Like in the next 2, 3 quarters, there will be more savings. But we cannot quantify the margin number.

Keshav V. Lahoti : No. I get it because you are in a cost reduction at times, you also don't know, but it's already two quarters. You might have some sense, at least may be a broader range what sort of cost saving is still possible. Maybe a broader range would be helpful, 100 bps, 200 bps, 300 bps, more cost saving as a percentage of sales, what that number would be?

Management : I think it's difficult to quantify right now, but you are seeing the difference from first quarter.

We had a margin of 16.72 %, which has increased to 17.94%. So going forward, I think it is -- it should be a little better only from here. But we can't quantify any numbers in any basis points.

Moderator: The next question is from the line of Shaleen Kumar from UBS Securities India.

Shaleen Kumar : Okay, sure. So just to begin with, can you share some initial feedback from, let's say, distributors.

It's been a few months of this unification. Any feedback that you can share how the feedback from the distributor or the influencers, customer set, both on the positive or negative side, if you can share something or any challenges that we've been facing on positive side, that would be

great.

Management: So we'll start individually. From the distributor point of view, they're very, very happy. So earlier, what used to happen was, three people used to go to a single dealer. And now we have reduced that to one. And if it's a very, very big dealer, maybe two. But overall, we are very happy that they don't have to answer to so many people.

Coming to architects, influencers, we were never there. We never serviced them. So recently, about a month back, we started making a team, and we already have about 18, 20 people who

are on board. And we're going to further strengthen the team. Their job is only to go and meet influencers, architects, interior designers and talk about Kajaria, Kerovit, Gresbond, whatever products we are offering.

Also I think another change what we have done is we have kept a consultant now, a management consultant, who is guiding us how to increase the market share of our company. I'll just give you a very small example that in our tailwind, a lot of dealers were there who were not performing.

So that, when we assess the data in a very open mind, we got a lot of information that where some dealers need to close, some white spaces are there where the dealers have to be made. So the consultant is going to structure the entire thing for us how we can penetrate further into the market and increase our market share.

Shaleen Kumar : Got it. And anything we are doing also on the sales incentive structure, etc., towards -- to drive the push of our product?

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Management: Yes, yes. So that is also completely changed. Earlier, because there were three verticals, we had very different systems. Now everything is volume and growth linked, that only if you reach a certain growth percentage only then the incentive gets applicable. And the more you sell, the more you get more. So they should get a carrot and a stick.

Shaleen Kumar : Okay. Got it, sir. See, we understand, not just on the growth side, we understand that this time, we had a heavy rain in 2Q. But do you see any changes coming back in October, any uptick, green shoots in terms of the growth in October or too early to say?

Management: It's too early to say because it's a Diwali time also, but we are pretty hopeful this quarter, October to December, we should have some volume growth. The exact number, we'd not like to say, but we should definitely have some volume growth this quarter.

Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Congratulations on great margins. Just a couple of questions from my end, while you spoke

about employee expenses coming down further and other expenses also coming down. What I wanted to understand is power and fuel cost too is down this particular quarter, what would be the reasons here for savings? Is it an industry-led phenomenon?

Management: Power and fuel remains the same. Power and fuel is lower because of the lower production, Sneha. Cost is the same.

Sneha Talreja: Understood, sir. And any numbers that we can get, how much further reduction can we get? I know the previous participant has already asked this. But maybe in terms of raw material expenses also, while you were saying there could be some savings there also and how are those savings coming up in raw materials?

Management: So Sneha work is on continuously. We can't quantify the exact savings as of now, but we're constantly working on the raw materials also wherever we can save cost at the factory level.

Management: But a lot of the work has already been done also, Sneha, and you can see that is the positive numbers, also. So a lot of impact has started...

Management: Like even in this month, we did some reasonably good savings in certain materials, so which will be reflected in Q3 and Q4.

Sneha Talreja: Based on my understanding, it's not an industry phenom

enon, like raw material prices falling down, it is your efforts where you're trying to maybe recreate with your guys in terms of supplying and all of those sales.

Management: Correct. Correct. You're absolutely right. So with unification of sales, we have also unified our purchases and utilizing our power of volumes for better negotiations.

Sneha Talreja: Understood. Lastly, while you mentioned that you have formed the team for architects, you also had formed the team for catering to projects. You were...

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Management: See project builders, we're always tapping. The big projects were always -- we were looking at. This is a new segment which was not there with Kajaria, where meeting architects and interior designers. And with that, we also have some people who also want to tap the government projects.

Sneha Talreja: Right. But we had increased some focus on projects, if I'm not wrong, we did speak about it in last quarter, this thing also can call. So just wanted to understand, are projects really doing better than the retail segment? And what is our percentage share? And what is the percentage share we look at it in terms of three years, five years down the line?

Management: See, our current percentage should be about 70% retail, 30% projects. But we have to work on all the fronts, whether it is a dealer network or the project network to look at volumes. So difficult to project what will be the ratio going forward. But what we had mentioned last time as well that we are more seriously working on the -- dealers segment, we are always very, very strong. Projects segment, we are putting more emphasis and more pressure on that so that we can get more volumes there.

Sneha Talreja: Understood. All the best to you.

Moderator: Thank you. The next question is from the line of Sajal Gupta from FE Securities. Please go ahead.

Sajal Gupta: Congratulations for such a strong performance. The information which I'm getting from the dealers at the ground level that business and overhauling the business, which has resulted in a lot of...

Moderator: Sorry to interrupt you, sir. You're not audible, sir. Mr. Sajal Gupta?

Sajal Gupta: Can you hear me now?

Moderator: Yes, it is loud and clear. Yes, it is loud and clear now.

Sajal Gupta: So, I was saying at the ground level, what I've checked with the dealers, that there's a lot of reinventing of the businesses which is happening and overhauling of the business operations, which has resulted in a lot of cost savings. And plus the charge you have given to the younger generation, Chetan and Rishi, to run the business is an excellent -- I think, excellent move by you. And I must congratulate both Chetan and Rishi to coming on board and doing such an excellent job.

So my question out here is with such a strong performance, obviously, other people have also asked this question, growth is significant. When do you start seeing the growth? And what levels of growth can actually come? And my second question to you would be, during the COVID time, if I'm not wrong, the company had reported a 20% EBITDA margin. How far are we from achieving a 30% EBITDA margin from here?

Management: Two questions you asked regarding the volume growth. As already said by Chetan and Rishi just now, with this transition of hiring a management consultant also, we are doing a lot of work

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on the ground level as to identify which are nonperforming dealers, which areas we are not there. So I think that will add value. Plus, an architect team has been installed, which was literally not there in Kajaria because there were three divisions working independent of each other. Now with this unification, that is going to help, number one. So, volume growth has to come, no questions about it. And as far as the margins are con

cerned,

I think we are on a positive side. Already, they have said that, what was first quarter? Second quarter is 17.94%. If the volume growth also comes, which it has to, we should look as a positive figure for the upcoming third and fourth quarter.

Management: Just about the margin, I'll add to what sir has said. In COVID area, the margin which we got in a particular quarter, that was a result of a significant fall in the fuel price. That was a one-off thing. But sustainably, our margin trajectory was around 14% to 15% to 16%. So we have moved into a new orbit of margin. But when we will reach 20% or 21% -- because even that 20% is not comparable with this margin because this margin is based on the overall cost optimization. We are working on all areas of cost.

That's a much -- quality-wise, it's a much superior margin, if you ask me, than that 21% margin in that COVID area. Because that was a result of a particular commodity which went down that significantly upped our margin. That margin was not sustainable. But this margin is definitely sustainable. And as we move towards our cost optimization journey, there could be some improvement further to this margin.

Sajal Gupta: What is remarkable is that margins are sustainable and you're talking of a higher margin from the 14%, 15% margin originally which the company used to run is commendable. And with the volume growth, I'm sure that company is going to do very, very well. So I think you have answered most of my questions.

Thank you so much and wish you all the good luck for the future.

Moderator: The next question is from the line of Sagar Jagtap from Marine Research.

Sagar Jagtap: Government projects last year at 10% volume. So this year, I just wanted how do we see the number going forward in the year?

Management: So as we said, our retained 2 project mix is roughly 70% to 30% and that 30% includes both private and government projects and builders. So it's very difficult to quantify how the ratio of government and projects with private builders will keep on changing within that mix. But as we said, we are more focused and aggressive on getting more project volumes also as we keep on going forward.

Sagar Jagtap: And next, how is pricing in Morbi versus branded segment evolving this quarter?

Management: Pricing gap between Morbi and Kajaria is about 20%, and that remains.

Sagar Jagtap: Okay. And other expenses, advertisement expenses first quarter, any increase in quarter-on-quarter and full year spending of advertisement?

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Management: Actually, the advertising expenses have come down. If you see it has come down in this quarter half year as compared to the previous one. But in the next few quarters, it may go up.

Moderator: The next question is from the line of Raman KV from Sequent Investments.

Raman KV: I have two questions. So one is as everybody were asking margin. So you said you -- there were some initiatives which led to -- one of them was reengineering the packaging across all your factories, which led to INR 35 crores of annual savings. So but when I look at this quarter, on quarter-on-quarter, sequential quarter basis, there has been INR 30 crores of additional EBITDA. And when we compare it on Y-o-Y basis, there is an excess of around INR 70 crores of additional EBITDA despite the revenue being flattish.

So I just want to understand in brief, how are we able to optimize the cost. At the same time, what's the company's restructuring policy with respect to the employee cost? Because I have seen that during this quarter, the employee cost has come down a lot.

Management: It has not come down a lot. But as we move around, it will not go up. There could be slightly saving in the employees as we have not given increment in this year. And some people may be relieved may go and we are not intending to hire any fresh

people. So with the growth of sales,

the percentage of employee cost of sales will go down, one. And what was the other question.

Yes, it was around EBITDA.

Raman KV: I just wanted to understand the triggers which will -- this 17% margin to 20%, 22% margin...

Management: You are comparing previous year margin with this time, the cost savings. So last year, there were

some losses due to the ply venture also, which are not there.

Raman KV: Yes, yes. Sir, my second question is with respect to volume. Sir, can we expect the volumes -- what are you expecting the volume in H2? And going forward, are we expecting volumes to come back?

Management: So as I said earlier, we cannot give you the exact number what we're expecting in H2. But yes, we'll definitely see some volume growth from here on. In H2, we definitely did -- so H1 was -- we had 0 volume growth. H2 will definitely have some good volume growth.

Management: See, why we didn't get the volume in the first 2 quarters, there are 2 reasons. One, the market was soft. The other we were busy in the unification. And when you do -- when you change the process which was there in the company prevalent for so many number of years. So there is some adjustment happened as said by the Chairman in his speech, if you have not ed.

So some we must have lost because of the change in the system. We have the change in the team, the reporting is -- I mean, there is a change in reporting, some dealers, some destocking, some restocking. So some blames may go towards that also. So we believe the market improving and as we move towards unification, three, as the benefit of hiring a consultant will also give some fruit. So combination of all 3 factors will definitely lead to some volume growth.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

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Sajal Kapoor : Ashok Ji, it's uncommon to see the promoter directors voluntarily foregoing salaries in a fiscal year, and that's obviously commitment. The question is, how does the management now ensure that the best -in-class and capability employees are "ring -fenced" amid this internal restructuring as typically low -quality employees who are forced to leave, but the high- quality ones may voluntarily resign and they move on, right? So how do we make sure that the resultant organization is stronger actually?

Management : That's what we are trying to do. See, that's what the goal is to make the organization leaner and more effective. And the management not taking a salary was a bold decision. Let me tell you that after a lot of deliberation because 2 reasons. One, we didn't give any increment to our people this time.

So as a management, we said, let's not let the company become stronger. So that's point number one. Point number two, the whole effort is to make it as lean and thin as possible, effective, but lean and thin. So that's what we are trying to do, and it's working. It's working in the right direction.

Sajal Kapoor : No, that is for sure, Ashok. My question is how do we convince good employees that they have a bright future ahead?

Management : We don't have to convince. So there is no, first of all there is no relatives of -- we don't have to convince. We are doing our job of those people who are there. They have been there for 20 years or 25 years. So they know where things lie, number one.

Number two, basically, a lot of people, extra people came in because of the 3 divisions working.

So we are doing only rationalizing and making sure that this unification works and right people stay, which is happening already . We don't have to make sure it is happening.

Management: And I will add one more thing. It is not that we are letting the people go. We are adding fresh talent also. So it is a turning of manpower. We have hired good professional in the last 2 quarters, and we will

continuously be hiring in different divisions. I cannot tell you what division, what rank and all.

But the mind is very clear that we will be hiring good professionals as well because we have to work on systems, we have to work on IT, we have to work on HR. Everywhere, we have to work on our old systems, we have to revisit. So for that, we will be needing good talent, and we are not shying away in hiring good talent and paying good to them.

Sajal Kapoor : No, absolutely. I think that's reassuring . And I think with a leaner and fitter organization, all we need is a demand recovery, which none of us can predict or control. But at the moment it comes, the earnings should be speaking for themselves.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare: So the increase in the dividend payout is linked to the performance or increase in the margin. So this is sustainable or this is a one -off phenomenon you have done?

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Management: So it's not one off. It is a dividend -- we have paid as per the dividend policy. We have a dividend policy to pay between 40% to 50% of our earnings. So we have -- this is not for the first time we have paid. We have been paying for the last 3, 4 years.

Onkar Ghugardare: It's just the increase in the dividend payout. That's what I'm asking. I know you have been paying

interim dividends for the last 3, 4 years.

Management: So regarding interim, we have increased a bit as compared to the last 2 years. But overall dividend will remain within the policy, unless the Board changes the policy.

Onkar Ghugardare: Okay. And you have mentioned that the demand is soft in the first 2 quarters. Actually, if you see for the last 3, 4 years, there -- I mean, you say maybe 4%, 5%; 6%, 7%; some years 7%, 8%; 8%, 10%, but it hasn't been much so. I mean, what has been the major contribution to demand not being there for the last 3, 4 years when the sales of real estate companies are growing? I mean there is a lag effect, but how much lag effect.

Management: There was a slowness in the demand in 3, 4 years, and we didn't grow the way we have been growing prior to that. But this time, it is because of the unification, because of the correction of our system, we will not be -- see, prior to this 4, 5 years, we have been growing in double -- good double digits. So we have been taking market share. And even in the era where we have grown 4%, 5%, we have taken the market share because the industry has not grown at that percentage even in those years.

So as we said in our -- the reply to the earlier question, 3 things will happen. One, the market may improve, which will help. Two, we will continue to take market share because of the change in our marketing policies, the unification majorly. Three, as we are thinking freshly, we are hiring the consultant, we are revisiting where the white spaces are there in our dealer system. Everything we are revisiting. So that will also help in getting good volume growth.

Management: Secondly, as you are aware -- just 1 minute. As you are aware, in the second quarter, a lot of rains, floods have been there in the entire northern belt. So, the construction will happen there. So at the end of the day, the construction will also happen in quarter 3 onwards. So automatically, demand will revive because second quarter has been very bad for the entire Northern India and part of Eastern India because of floods. So automatically, the demand will arise in all sectors.

Onkar Ghugardare: So how soon you are expecting the demand to come back?

Management: From this quarter itself...

Onkar Ghugardare: With all the efforts you are putting in, you are saying that it should be visible from this quarter itself?

Management: Absolutely correct.

Moderator: The next question is from the line of Pulkit Patni from GS

Pulkit Patni: I mean, enough has been said about how the management has actually put in the best effort to cut costs. I think the one question which we are all grappling with is what is actually happening Kajaria Ceramics Limited
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to demand, sir? Like in your view, your experience of doing this business for more than 2, 3 decades, why is it that for the last 3 years, demand is so seeded? What do you think needs to change for demand to come back?

And as a management, while you're doing all the right things to cut costs, but I don't see that optimism in terms of demand, given that a lot of the initiatives you are doing are quite permanent in terms of cost cutting. So just help us educate a little bit more on what do you think is happening to demand of tiles in India?

Management: I think a lot of answers have been given, and you are missing a few points. Point number one, there is a unification which has been done by Kajaria. You see what has happened, as you are aware, last 2 years, there was a commonality in products between ceramic and clay-certified division. As a result, what we decided that starting from this financial year, we'll do unification, number one.

Number two, with this unification, a lot of corrections are to be made, as said earlier by Rishi for a dealer till 31st of March, 3 people were vesting. Now people are vesting from Kajaria. So efficiency of the dealer, efficiency of Kajaria also improved. Third, demand has to be there, if it is there in other industry, demand has to come. As we all know, demand has been sluggish for all kinds of building materials.

When you say it has not been, I disagree with you because the results of all other related companies of building materials are also saying that demand has been sluggish. But things have to improve with all this happening. A lot of corrections have been made by this government by cutting off reduction in GST in many areas, creating demand in the economy by putting in money in the system. So demand has to come.

And what we are doing as management, as said earlier by Chetan and Rishi, I think this kind of effort by having a management to identify where the dealers are non-performing, where Kajaria is not there, all this the demand has to come. And as I said 2 minutes back to one of the questionnaires that starting from this quarter, you will see the change in scenario. So let's accept -- let's not look at negativity, let's look at positivity.

Management: Also, we are making our organization ready. What we have also done in the last 6 months is we made our

organization ready that any spurt in demand for the market, we will be the major gainer.

Pulkit Patni : Sir, maybe I didn't put my question across correctly. I by no means meant that others are growing and you are not growing. I'm just trying to understand why in the last 3 years, tiles as an industry, which is also building materials not showing the kind of demand. Like what do your dealers tell you? What's happening on the ground?

Sir, I want to just improve my understanding rather than questioning what the company is doing because I 100% appreciate that you are doing the right thing in the interest of the company. It's just why tile demand has been so weak. If you can throw a little bit more color on that particular aspect.

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Management : No, no. I answered that point, not only tiles, all kind of building material, except cement and steel, which go in to the building industry has been weak. Right now, we don't have an answer. But you see what happens. All of a sudden, you see demand coming in with all the infrastructure government is doing.

Government has also slowed on infrastructure of late. But I think now things are pushing where they are only talking about infrastructure development and all that. Once that happens, demand

has

has to come. So let's keep our thing on the mind that demand has to come, and we should look at a positive atmosphere from here onwards.

Pulkit Patni : Sure, sir. We are all hoping for the same.

Moderator: The next question is from the line of Mr. Ritesh Shah from Investec Capital Services.

Ritesh Shah : A couple of questions. First is, sir, you did indicate that we have appointed a management consultant and the target is to enhance market share. Sir, can you highlight a few underlying variables that we look to target over here? I think you did touch upon incentives being rechecked.

But anything specific on product pricing, discounts? How should one look at it? Because we have the brand, we have the distribution, incrementally what next?

Management: So a couple of things. First, like mapping the country state by state, seeing where the dealers are not as -- the Chairman also said, the dealers are not performing, where we are not there present when the competitors are. We're doing a deep analysis state by state of the country and identifying those areas where we can penetrate deeper and strengthen our distribution network.

That's also focusing where we can make more exclusive showrooms as we go along.

Currently, we have 450 exclusive showrooms of Kajaria with 1,850 dealers. Our target is to increase that more in the next couple of years and get more exclusive distribution showrooms.

So those are the efforts going on behind the scenes. Also thirdly, with the unification now happening, we're looking at making our policy uniform in terms of pricing also in the discount

structure. So it becomes simplified for the dealer to understand all the vertical of the company when the guy goes to visit him and sell the product.

So all these actions are happening behind the scenes as we go along. And also in terms of product, a lot of new products are launched. Also earlier, some dealers were not keeping those products, but now that cross-selling has happened. So now all dealers have access to the entire range of Kajaria.

Ritesh Shah : Sure. This is helpful. Sir, my second question is on the distribution side. We had different store formats ; Prima Plus, Eternity, Galaxy, Ambiance, Gres Universe. Sir, what happens to that?

Does it remain the same way? Or are we giving the flexibility to the dealers to choose whatever brand they want to use?

Management: So that's why the consultant has also come into play is they are guiding us to see how we have to do the outside branding for the normal -- for a regular customer. So all Prima Plus, Eternity

World, all those terminology will go. There will be a common name, maybe like a Kajaria Galaxy or a Kajaria World or whatever. So that work is already going on. We just got this

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consultant recently. So maybe in the next 1 or 2 months, we'll have the entire plan ready. And the last quarter, Jan to March, we will get everything implemented.

Ritesh Shah : Sure. This is helpful. Just a quick question on the export side. Ashok, I think last quarter, you had given a number of around INR 16,500 crores for FY '25. And for FY '26, you were looking at around INR 18,000 crores of exports at industry level. Sir, how should we look at this? If the exports don't move up, is it something which worries us? Should we, how should we think about that?

Management: So the data which you have got in the last 6 months, export has grown a little bit. So from last 6 months, they had April '24 to September '24, they had a volume of about INR 7,600 crores. April

'25 to September, we have exported about INR 8,300 crores. So there's a marginal 10% increase,

9% to 10% increase. And this will continue looking at the situation in India.

Management : Full year should be INR 18,000 crores.

Moderator: The next question is from the line of Diya from Sapphire Capital.

Diya: Sir I just wanted to ask if you

are adding any new capacities. And if I heard you correctly, you

said 20% EBITDA margins from Q3 or Q4?

Management: No, we never give you any figure like that. We have never specified any EBITDA margin.

Management: We have always said there will be some cost optimization reduction. And how much it will result

into EBITDA margin, we cannot say because EBITDA is not a result of cost optimization. It's a

combination of cost, selling price, gas price. So the other factors are not in our hand.

So we cannot -- we have never guided for 20% EBITDA margin. We have always said that we

are in the process of cost optimization. And every quarter, there will be some improvement as far as our costs are concerned.

Management: And your first question, we are not adding any capacity right now. The first focus is to run all

our manufacturing plants to 100% capacity. And our current ratio is 25% outsourcing versus manufacturing. If the demand

goes up, we'll immediately outsource from Gujarat and

supply meet the demand.

Moderator: The next question is from the line of Keshav Vijayratan Lahoti from HDFC Securities.

Keshav V. Lahoti : So how much was the ad spend as a percentage of your absolute number for the H1 and what is the target for this year?

Management: We spend roughly -- what was the question?

Keshav V. Lahoti : Ad spend -- how much was the ad spend for H1 of this year? And what is the target for this year?

Management: I don't have the numbers ready, but this H1, the ad spend was lower than the last half year.

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Keshav V. Lahoti : Okay. So as you highlighted, the ad spend is lower. So possibly the target is to lower it or possibly maybe because of ad spend some...

Management: We intend to increase it in the second half. And the lower -- the reason for the lower ad in the first half was also that we did not do this dealer contract, which we used to do in Thailand.

Management: For 6 months. And we now -- next 6 months, we will push the advertisement further.

Keshav V. Lahoti : Okay. The reason I'm asking this question because I'm trying to understand your margin as the ad spend is lower, possibly how much lower it was in H1, possibly once the ad spend will increase, it will have some dent on margin. I understand you have levers, you will rationalize more cost.

Management: There could be some portion of -- see, the margin improvement is very significant. So there could be some portion of ad saving -- lower advertisement to this margin, but it's not very significant.

Keshav V. Lahoti : Got it. But the target is to continue with 3% of sales as ad spend going forward?

Management: No, it's not percentage. See, it's not -- we have never spent in the percentage terms. See, we are the largest spender of ad in the whole industry. So it's an absolute number. Even we do the same number, it's very, very fine. And number two, we are -- as we are doing cost optimization in other areas, we are doing the same in the advertisement.

So optically, the number may be less as far as the financials are concerned, but we are taking more value from the lower number. So we have negotiated with our advertisement vendors as well, and we have got good saving in that.

Keshav V. Lahoti: Understood. Got it. Okay. Tell me one thing, in H1, as your tiles revenue is flat. So any color, how would be the project and retail, which would be flattish or something doing better?

Management: Sorry, come again. The voice is not clear.

Keshav V. Lahoti: In H1, your tiles revenue growth is flat. So can you possibly bifurcate in project and retail, both has been flattish or something is doing better?

Management: Both the ratio has maintained in the same level approximately.

Keshav V. Lahoti: Understood. Got it. And sir, how is the Nepal? We can see there is a good ramp up in production in Nepal. What was the Nepal sales in this

quarter and how is the margin profile looking now, and what is the possible outlook for the same?

Management: So we sold roughly 0.7 million square meters in quarter two. And you know there is a lot of turmoil also happening in that country. So we are just waiting and watching and trying to sell the capacity as we keep on going along.

Keshav V. Lahoti: Okay. How is the margin looking right now?

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Management: The margin is okay. But see, we have made some profit in Nepal. But I said in the last call also because we have some inventory in the system which is beyond the norm. So we will not be very happy with that profit number. Our intent will be to liquidate the inventory even the margin or the profit is less. And it's a very small venture. Just a 5 million capacity venture and out of it 50% is the JV partner, 50% is ours. So just margin will not -- this will not be any...

Management: Impact on the margin.

Management: Impact on the overall thing. And otherwise also we are -- it's a JV. We -- it's not part of EBITDA. It's just below the line.

Keshav V. Lahoti: Right. Right. I understand that. So it is fair to assume Nepal won't be loss-making at JV level for this year? That is a fair assumption at PAT level it won't be loss-making for you?

Management: So we are making profit. We'll continue to make the profit, but that will be very insignificant profit. But as I said, the intention will be to liquidate the inventory and set the plant. The profit we can get next year or maybe later. So that's not an issue. The primary focus is to sell, reach to all the dealers because it's a new country, new dealer base and everything.

The focus is not on profit. So you should also not look at the profit. Your question is to ask how much money, how much sale you are making, what percentage capacity utilization of the plant is running, what is the inventory level, rather than focusing on profit.

Keshav V. Lahoti: Sure, sir. Point taken. So my first question was on same side only. Got it, sir. So right now, it's a fair strategy. I agree with you. Yes, sir. That's it. That's it from my side.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare: So how much this unification -- because of this unification, how much volumes you would have lost? And also by closing down one of the business, approximately how much you would have lost?

Management: Sorry? So because of unification, we will not be able to quantify what volumes we have lost.

What we are saying is that our main focus was more on strengthening the organization and for that, in that integration we could have lost some sales. We cannot deny that, but it's not possible to quantify that. Because the sales people, dealer, I mean, they are just having a new thing to them.

Onkar Ghugardare: Correct.

Management: Everything is new. So there will -- it's a very adjustment -- very insignificant figure. We have not lost out on sales as such. Yes. Hello. Hello.

Moderator: Thank you.

Management: Yes. Thank you. I think there is no question -- there's no participant left for the questioning. So can we conclude the conference?

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Moderator: Yes, sir. As there are no further questions, I would now like to hand the conference over to Mr. Ritesh Shah from Investec Capital Services for closing comments.

Ritesh Shah: Yes. Thank you all for joining on to the conference call. Ashok and team, thank you so much for calling us. It's an opportunity to host you. Thank you so much, sir.

Management: Thank you, Ritesh, for organizing this. I thank all on behalf of all of us and wish you all a very, very happy Diwali. To all the participants and all of you, wish you a very, very happy Diwali.

Thank you.

Moderator: Thank you. On behalf of Investec C

apital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2025

December 27, 2025
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated December 22, 2025, informing about the uploading of the audio recording of the Conference Call held on December 22, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Update Conference Call "
Decem ber 22, 2025

MANAGEMENT : MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA
CERAMICS LIMITED

MR. RISHI KAJARIA – MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED

M
R. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED

MR. PARVEEN GUPTA –DEPUTY VICE PRESIDENT ,
FINANCE – KAJARIA CERAMICS LIMITED

MR. ANUBHAV SHARMA – GM PURCHASE – KAJARIA
CERAMICS LIMITED

MODERATOR : MS. SNEHA TALREJA – NUVAMA WEALTH

Moderator: Ladies and gentlemen, good day and welcome to the Kajaria Ceramics Update Conference Call hosted by Nuv ama Wealth Management Limited. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then ze ro on your touchtone telephone.

Please note that this conference is being recorded. I will now hand the conference over to Ms. Sneha Talreja from Nu vama Wealth Management Limited for opening remarks. Thank you and over to you, Sneha.

Sneha Talreja: Thank you, Rehan. Good morning all. We welcome you to Kajaria Ceramics conference call to discuss regarding the fraud in the step- down fully -owned subsidiary of the company. We are here today joined by the senior management of Kajaria Ceramics represented by Mr. Chetan Kajaria, Vice Chairman, Mr. Rishi Kajaria, MD, Mr. Sanjeev Agarwal, CFO and Mr. P arveen Gupta, DVP Finance. We will now start with the opening remarks from the management followed by the Q&A. Over to you, Rishiji, for the opening remarks.

Rishi Kaj aria: Thank you, Sneha. Good morning, everyone. I'll just start with a little background. In April 2025 in Kajaria, we started the unification process with a very clear objective to bring together our sales operations across India.

Earlier, the same dealers were being approached by multiple teams for vitrified and ceramic tiles. This unification was a strategic step towards a sharper focus, better coordination and stronger execution in the market. Building on the momentum in May 2025, we also launched Oper ation Manthan.

Operation Manthan was a structured review of all our internal systems, processes and business frameworks. We started with Kajaria Ceramics Limited , where the exercise helped us identify a lot of operational gaps as well as significant cost optimization opportunities. The outcomes were tangible and swift.

During the year, we have achieved cost savings of more than INR 150 crores on an annualized basis. These efficiencies came from multiple areas, including reduction of manpower, cutting down travel expenses, reduction in reengineering of cart ons and reduction of cost of packaging material, better raw material negotiations and overall plant operations of the company. However, we are not stopping here. We have identified more areas where we wil l reduce the cost further. While Kajaria has always been a strong sales -driven organization, we believe that sustained leadership requires equal excellence in cost efficiency and governance as well. This exercise will continue till we achieve excellence in all the areas.

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In August 2025, for the first time in the history of Kajaria, we also conducted a supplier meet to reinforce the new ethical business practices. A clear message was communicated -- zero tolerance for corruption or unethical conduct. Any de viation from this standard will not be acceptable and will be severely dealt with.

As part of the stronger governance framework, certain issues were identified at one of our step-down subsidiaries, Kerovit Global Pvt. Ltd., while we were in the last phase of correction. This was actually our last plant, which we put a new sanitary plant.

These were detected through enhanced systems, audits and controls, and appropriate corrective actions have been initiated. I want to emphasize that this reflects our comm itment to transparency and robust governance going forward. This current episode may not have come to light had we not begun this process of systems processes and MIS audit that was initiated as part of Kajaria 2.0.

All-round improvement in productivity, purchases, cost and yield improv

ement, as well as rapid

cost savings and enhancement of overall profitability will only help Kajaria to become the leader in the industry, not only for sales but in costs as well. To all our stakeholders, I would like to reassure that Kajaria's fundamentals remain very, very strong. We are optimistic about India's growth story and Kajaria's role in it.

This is Kajaria 2.0, where our philosophy is very, very clear. Bad news to be shared immediately and good news only to be shared on completion. Friends, our journey has just begun and the best is yet to come. Thank you. I invite you for any questions, please.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from the line of Shaleen from UBS. Please go ahead.

Shaleen: Can we talk a little bit about...

Sanjeev Agarwal: Can you speak a bit louder, Shaleen, please?

Shaleen: Yes, Sanjeev ji. Can we speak a little bit in detail exactly what happened and like how this thing has, like what lead to it and what exactly, what the nature of, whatever the fraud or misappropriation of what has happened. Can we speak a little bit in detail and what was the basic reason behind it?

Chetan Kajaria : So, Shaleen, morning. In case of Kajaria Ceramics, we have a robust and automated vendor onboarding system already in place. This also involves a committee comprising of senior people from IT, Purchase, Accounts and the respective functional heads who approve the vendor onboarding. And in case of any project purchase, multiple bids are invited and given to an L1 vendor.

So, we have reviewed all the other subsidiaries and no discrepancies are found there. But we found some discrepancies in Kajaria, sorry, Kerovit Global. And to explain this vendor onboarding process in detail, I would like to hand it over to a senior purchase person, Mr.

Anubhav, who caught the discrepancy there and can explain this process in much further detail.

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Anubhav Sharma: Hi, Shaleen ji. Good morning. My name is Anubhav. So, I will explain, I will just give you little bit details about how we are doing this process at Kajaria and other subsidiaries. In case of Kajaria, we have a very robust system of vendor onboarding at our end. Just I will explain you how we do it.

We have one party that is Sequelstring who is doing this onboarding management of many of the reputed organizations, including Kajaria. So, they give us the total solution from onboarding to direct payment. This is the first step what we are doing as of now. We are creating the vendor portal for Kajaria, Ceramics and all the subsidiaries. So, this is the first step where we are doing this activity.

The link, whenever we want to onboard any supplier, we just share the link to that supplier. They put all their details in their link and then ultimately all the verification and processes has been carried out through online portals where we have invested also on this process.

So, all GST number, PAN number, cheque, everything gets validated through the online portals of these websites. And finally, if there is any issue in their PAN, GST or anything, it immediately gives us message and we stop that activity immediately there itself. This is the first step which we have done in this process.

Second, after these all checks, finally it comes to us. We have the four members approval authority where we check each and every detail thoroughly and then finally approves it as a vendor onboarding process. So, once it completes and then finally it gives the message directly to the supplier and all the members of the authority that this vendor code has been already created in system and gives automatically message to supplier.

No manual intervention is there at all. So, this is the first step. So, this is the step of doing the new vendor onboarding. So, as per

the management direction, we were having the clear mandate that whatever existing vendors are there, that should also come automatically on this portal. It should be migrated from earlier process to this process.

So, in this process, when we were doing this activity of migrating from the earlier process to this process, we found that there are some inconsistencies in this subsidiary, which was the last subsidiary where we were doing this activity.

So, when we deep down this activity, there we found the issue and then finally we highlighted this issue to management and then it finally comes to this level. So, this is the history and the process which we are doing as of now and how we are going to strengthen this process, this also I have explained to you that vendor portal has been in the process, which were there in Kajaria subsidiary already and finally now we are putting up to all the subsidiaries of Kajaria itself.

In coming, maximum it will take maybe 2 to 3 months, which will complete this activity to all the subsidiaries of Kajaria. So, this is the process. This is the submission from my side. So, if you have any particular question in this activity, you can ask me.

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Shaleen: Sir, two questions. So, you are saying the process which you have in Kajaria was not there. So, what process was there and what issue did you find? Like you said, you found some issues, some discrepancy. Can you elaborate on that ?

Sanjeev Agarwal : Yes. We were checking our capex total investment. During that process, some WIPs were open. So, this was, even the project is already complete and it was showing it as an open category. Then it comes into the criteria of discussion.

Shaleen: So, what exactly?

Sanjeev Agarwal : Shaleen, in the last financial year, there was a, in this particular subsidiary, the CWIP was to the extent of INR 6, 7 crore s, which was a lapse on our part. We ignored that , so while doing this vendor onboarding, we came to know that this amount is going up. Then it came to light. Then we took that action.

Shaleen: So, what was the vendor? So, there was a, what vendor was, like is it a wrong vendor? What exactly has happened?

Sanjeev Agarwal : The person accused has created vendor in his own name.

Shaleen: Okay. So, it's a vendor fraud.

Sanjeev Agarwal : It's a vendor fraud. Yes. You can say that. But I don't know the matter is under investigation. But Prima Facie, yes, it is, and he has not even, and he has forged the signature of the approving authority management signature to mislead the other signatory who was doing online. So, he showed the forged approval to him to make him, there is a maker checker concept. So, for the maker, he showed the forged document to make this happen.

Shaleen: It's a fake vendor you're saying to stifle the funds?

Sanjeev Agarwal :: Yes. Yes, exactly.

Shaleen: And, sir, how confident are we that this cannot be repeated? Like you mentioned a few things, but is there, will that sound completely, I'd say, the concept issue you're going to replace here.

Will it make sure that nothing happens again in this?

Rishi Kajaria: Shaleen, just to answer, they have basically, this was the last step down subsidiaries where the expansion was still going on. That is where the advantage was taken. All other companies and subsidies are completely reviewed and there is no discrepancy there at all.

Sanjeev Agarwal : And we will further, we are going after this, we will be extra vigilant. We will, we are going to put more stringent system in all of our processes. We will further review, we will not stop that, though we have already done everything in Kajaria, we have checked, but we are in the process of rechecking, even we may go for forensic audit for this particular subsidiary.

So, we will not leave anything, we will not allow this thing to happen again at

all. So, whatever we need to do, we will do that for either for Kajaria Ceramics or for any of its subsidiaries. It

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may take some time, but we are going to be very, very, very, very stringent in all the system and process. There will be no compromise at all.

Rishi Kajaria: We'll make complete watertight systems, very, very strict systems .

Shaleen: And sir, what's the view on this amount? Do you think you can get back anything, or how are you going to treat it in the financials?

Sanjeev Agarwal :: How it is going to be treated in the financials? I think it should be shown as an exceptional thing, but still we are taking the opinion, but we or the auditor will decide, but 99% it will be shown as an exceptional expenditure.

Shaleen: Any chances of recovery of any?

Management: Actually, we have recovered on the very next day. He has given us around INR60 lakh back, and he has promised to pay more, but I cannot quantify how much amount. We are not very hopeful the full amount will be recovered. We are not hopeful even the half will be recovered. I

can't really quantify, but he has promised to return some money. We have filed a police complaint against him. He is saying that he is arranging funds and he will try to return as much as possible.

Shaleen: All right, sir. I'll come back in a queue.

Moderator: Thank you. We take the next question from the line of Sneha Talreja from Nuvama Wealth Management Limited . Please go ahead.

Sneha Talreja: Hi, thanks for the opportunity. Just a couple of questions from my end. Firstly, how long has this employee been with you all? That's first, so that we can get to know what could have been the severity and how long this incident must have happened. Although you have mentioned that incident is from 2 years, but we still would want to know that?

Rishi Kajaria: He has been with us for the last 8 years. This thing has been happening for the last 2 years, but it was much lesser earlier . In the last 4 or 5 months, it increased a lot. That is how I think we got to know about things.

Sneha Talreja: But certainty of not having it before? Because he is an 8 year-old employee with us and has been loyal for so long?

Rishi Kajaria: Honestly, he was also reporting to our chief accounts officer, who has been with us for 37 years. I would say there was some judgment error on our part as well. It was a lapse of -- I mean, it happened.

Sneha Talreja: Secondly, this division is actually a very small segment for you all in the overall scheme of things. We only make about less than INR400- odd crores in revenues. We were making only about 4% -odd margin last year in this business. So really, overall, it's small in the scheme of things. And INR20 -odd crores on that particular amount is a big number?

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Rishi Kajaria: Smartly, how it happened was that we just put up a new plant in our Kerovit Global Company. We have put up a new sanitary plant. And using that as an advantage, he siphoned off the funds from the company.

Sneha Talreja: Do you mean in the form of investments, which is getting into place?

Rishi Kajaria: Sorry?

Sneha Talreja: You mean in the form of investments, which were going into the entire capex? This thing happened, so the capex number was big in the overall scheme?

Rishi Kajaria: Correct.

Sneha Talreja: Lastly, you also have a 15% private equity stakeholder in this, which is WestBridge . Any involvement from them, or what's their understanding or their comments on the situation?

Sanjeev Agarwal : We have informed the same as a governance. They need to know about it. We have informed them what has happened.

Sneha Talreja: Sir, what has been their involvement otherwise in the day -to-day operations or in the Board meetings are the same?

Sanjeev Agarwal: There is no

day -to-day. That was a very passive investment.

Sneha Talreja: Thanks, I'll get back in the queue.

Moderator: Thank you. We take the next question from the line of Ritesh Shah from Investec . Please go ahead.

Ritesh Shah: Sir, no questions. All questions answered. Thank you so much.

Moderator: Thank you. We move on to the next question from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Thank you for the opportunity. Sir, just a clarification. This is related to the working progress CWIP, or is it a capex you have done to the new plant?

Parveen Gupta : Can you please repeat your question?

Praveen Sahay: So, once you have said that's related to the CWIP, that is related to the vendor. And again, in the last question you have said that's a new plant you had put in. So, is it related to the capex of the new plant, or is it related to the CWIP related to the vendor?

Parveen Gupta : It's related to capex of that new plant. Actually, capex was going on in between. He parked some entries in CWIP.

Praveen Sahay : Okay. And is there any insurance related to that, if that is a part of a capex ?

Parveen Gupta : No, there is no insurance.

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Praveen Sahay : Okay. Yes. Thank you. That's it, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. My question pertains to again the same. You mentioned that the recoverability seems to be quite difficult. And also you mentioned that most of the siphoning would have happened predominantly in the past four to five months and most of the siphoning would have happened through some business account of the erstwhile CFO . So, just want to understand where would the money would have subsequently been sent out because this is a considerable amount?

Sanjeev Agarwal : The police has asked for all his bank statement and they are checking them.

Rajesh Ravi: Okay. And what you mentioned is, if I heard it correct that most of the siphoning has happened in this financial year itself?

Chetan Kajaria : Correct .

Rajesh Ravi: Okay. Great. And lastly, you mentioned that, earlier you mentioned that three, four more months would be needed to complete the on- boarding process for all the vendors or is it already been done and this three to four months additional is for something else?

Anubhav Sharma : Sir, actually for Kajaria , we are already done for subsidiaries because we need to mitigate the data from existing to our new system. So, it will -- because this is the process where we have

maybe around thousands of vendors where we are checking each and every vendor very carefully. That is the reason it will take around three months to mitigate the data and implement to this new process.

Rajesh Ravi: Okay. Thank you, sir. That's all from my end. Thank you.

Moderator: Thank you. We take the next question from the line of Sagar Jagtap from Marine Research.

Please go ahead. Sagar, please unmute your line and proceed with your question. Sagar, are you there? Since there is no response, we'll move on to the next question. We take the next question from the line of Amreen Gulnaaz, who is an Individual Investor. Please go ahead.

Amreen Gulnaaz: Hello. Good morning to the management. My question is why was Kajaria 2.0 plan started? Was there any indication from the internal auditor or statutory auditor that this exercise is required because they found any deficiency or was there any indication at all from the internal or statutory auditor? And the second question at the initial...

Sanjeev Agarwal: Ma'am your voice was not very clear.

Amreen Gulnaaz: Yes, the exercise of Kajaria 2.0 plan was started, that was explained by the management at the initial call.

Sanjeev Agarwal: Correct.

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Amreen Gulnaaz: So, why was it required? Did the internal auditor or statutory auditor suggested that this plan should be implemented or was there any role from the internal or statutory auditor pointing out that there may be some fraud because this is for two years and accounts are audited. What was the role?

Rishi Kajaria: I'll tell you. It was not pointed out to anybody. So, as I said in the beginning, in April we started a unification process in the company where we were aligning all the sales people together. At the same time, we also felt the need to understand our entire cost processes. And that is why we made an internal team and launched Operation Manthan. So, this was our internal team which got us all our -- you know, lot of things were taken out in our purchases and all that and this was the resultant of that.

Amreen Gulnaaz: Sir, will there be any change in the hiring process as this is committed by KMP? So, the management look out at the hiring process should also be changed?

Chetan Kajari: So, we are strengthening our internal processes and systems and definitely we'll be more careful in the hiring in the future also. But more importantly is to put systems and controls in a place, so nobody can take advantage of the situation who are sitting in that seat.

Sanjeev Agarwal: It is going to be a system-based organization going forward, not a person-based organization.

Amreen Gulnaaz: Thank you.

Moderator: Thank you. We take the next question from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Yes. Hi, good morning and thank you for the opportunity. I just wanted to clarify a few things. We are referring to the balance sheet of Kerovit Global Private Limited, is that correct?

Rishi Kajaria: Correct, correct.

Rahul Agarwal: Okay. If I look at that 31st March, the capital work in progress number was about INR 8.5 crores. Is this number, correct?

Parveen Gupta: Yes, yes, this number is correct.

Rahul Agarwal: Okay. So, I just wanted to clarify the estimation of overall payments which were made on account of CWIP was about INR20 crores. That's an estimate as of now and that number could be lower when the inquiry is basically complete. Is this understanding, correct?

Parveen Gupta: No, more or less this amount is correct. We have checked all the entries of last 2 years. So, this amount is correct. This will be approximately INR20 crores. That might be 19.9 or 19.7.

Sanjeev Agarwal: So would be around INR20 crores, plus/minus INR50 lakhs here and there.

Rahul Agarwal: Okay. So, if my understanding is correct, this INR 20 crores was a payment made from Kerovit Global's balance sheet to a vendor who essentially was a self-payment to the CFO. And hence,

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this entire transaction has to get reversed. Whatever recoveries happen, to that extent, the CWIP will get cancelled as per the auditor new accounting?

Parveen Gupta: Yes.

Parveen Gupta: Yes.

Rahul Agarwal: And then the balance will be written off in the subsidiary P&L. Is that correct?

Rishi Kajaria: Yes. Yes.

Sanjeev Agarwal : Exactly. Correct.

Rahul Agarwal: Against the net worth of Kera Global. Is that correct?

Parveen Gupta : Yes.

Sanjeev Agarwal : Yes.

Rahul Agarwal: Okay. Perfect. And just lastly, because this was part of the capex and this capex actually hasn't really happened, would we need to complete capex at the sanitary ware plant ? Or is it largely done and this was over and above? This was not really necessary ?

Rishi Kajaria: It's all done. The plant is in production and the capex was all done. There is not going to be any expenditure in capex, in this plant as capex.

Rahul Agarwal: Okay. Got it. Very clear. Thank you so much.

Moderator: Thank you. We take the next question from the line of Keshav Lahoti

from HDFC Securities.

Please go ahead.

Keshav Lahoti: Hi. Thank you for the opportunity. Sir, firstly, this INR 20 crore s number which you have completed, the employees also accepting this INR 20 crore s number, we both are on same page.

Chetan Kajaria : Yes.

Keshav Lahoti: And secondly, you said the recovery might be tough. So both are on same page INR 20 crore s, right? But the employees are accepting that, taken 20, right? So, why do you think the recovery would be tough if the employee has taken INR 20 crore s possibly he might be having the funds with him? So why so recovery should be tough and what is the status of the employee? Is he put behind the bar right now?

Sanjeev Agarwal : So this is, we have already filed a complaint with the local police station and Economic Offences Wing. And they are -- he is under interrogation and based on the feedback from him and based on his feedback, we presume that it is not going to be, because we don't know where he is putting the money.

We are still in tracing the trail. Maybe he may have speculated or have diverted money. We are not very sure about it. We can't say anything better like conservative and if the more amount

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come, we will be more happy for that. We don't want to give any false hope to shareholders that the money will come.

Keshav Lahoti: Understood. Got it. And out of this INR 20 crore s, how much would be in this financial year and possibly how much was in earlier financial year? And whether this amount was, you know, depreciation was charged in this amount or it was sitting in CWIP and no depreciation was charged in earlier?

Sanjeev Agarwal : Depreciation was not charged because it was in capital working progress last year. So last year was INR6 crore s and INR14 crore s this year.

Keshav Lahoti: Got it. So this was in CWIP or future set? Because CWIP only charging depreciation. Not bit clear on that part.

Parveen Gupta : It was in CWIP.

Keshav Lahoti: So it was in CWIP, then no depreciation would have been charged on this amount, right?

Parveen Gupta : No depreciation was charged.

Keshav Lahoti: Sorry, I missed you.

Parveen Gupta : No depreciation was charged. It was completely CWIP.

Keshav Lahoti: Understood. Got it. That is helpful. Thank you so much.

Moderator: Thank you. We take the next question from the line of Rishabh Botra from Anand Rathi Institutional Equities. Please go ahead.

Rishabh Botra : Good morning, sir. Just wanted to understand...

Moderator: Rishabh, I'm sorry to interrupt you, but your audio is not clear.

Rishabh Botra: Is it better now?

Moderator: This is better. Please go ahead.

Rishabh Botra: So I was saying that I'll step backwards and understand whenever there is a capex program and RSU is there to supply it. So is there any person involved other than the CFO, either from the procurement team or the inventory team? Because whenever the inventory is made, there has to be a system against which payments are made. So how come without inventory coming into the system, payments have been made to the supplier? And is it a single supplier fraud or a multiple supplier fraud?

Parveen Gupta : No, it is a single person fraud. He misrepresented to his juniors that he has some approval for paying some advances. It was not some raw material. It was advance for some machinery.

Rishi Kajaria: Where he forged the Chairman's signature as well.

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Parveen Gupta : So he paid as advance.

Rishabh Botra: Got it.

Moderator: Thank you. We take the next question from the line of Rajesh Ravi from HDFC Securities . Please go ahead.

Rajesh Ravi : Yes. Hi sir. Just a follow-up question. See , this INR20 crore s, which was all in CWIP , and as you mentioned that this was, you know, a forged advance payment towards pur

chase of some

machinery. Sir, I just wanted to understand, you know, given that most of your capex was already done , so did it not raise red flags immediately when, you know, this being INR 20 crore s?

And what is the quantum of the total capex which was done in this subsidiary? And what could have taken it such delays to identify this? This is commendable that you could have identify this and bring it to notice of everyone and do the procedural thing of raising it with filing a complaint?

Parveen Gupta : No, this company was started capex in last year , around May 2023. Then entire year capex was going on and total capex was approximately INR120 crore s. Out of this INR 120 crore s, CWIP was very small amount, negligible amount, INR8 crore s. In this INR 8 crore s, he hidden that amount of INR6 crores , INR7 crore s. So capex was going on regularly and he misrepresented to his junior that he had some management approval for some advances.

Rajesh Ravi: And when the capex was already over and incremental INR 14 crore s, you know, advance payout in this financial year, if I understand correct, you know, and that would be the only capex or advance related to this expansion, which would have gone through this financial year?

Parveen Gupta : Yes, INR14 crore s this year.

Rishi Kajaria: Out of that also last 3 months, he had taken a lot of money and that is how it was...

Sanjeev Agarwal : And he has not done the bank reconciliation for last 3 , 4 months, so that is why the bank did not come as he was the CFO. It was under -- it was not booked in this year as CWIP. It was lying in a bank reconciliation, some portion, it is lying in the bank r econciliation.

Parveen Gupta : For last quarter.

Parveen Gupta : For last quarter ; October, November, December.

Rajesh Ravi: Okay . And just to understand the technicalities, because this is into a subsidiary, which does n't have its own large network, most of the payment for such advance payment, the money would be coming in through stand-alone, the parent company?

Parveen Gupta : No, this company was having itself CC limits.

Rajesh Ravi: Okay, okay. So, there was no technical approval or any automated approval in the online system, which would have been requiring authorization from the parent CFO?

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Parveen : No, no, because they were having their own CC limits, and as I already explained that he was misrepresented to his junior, that he had some management approvals by forged document. He transferred money to this vendor on his own name.

Rajesh Ravi: Okay. Sir, and last question, the initial remark when you all mentioned that you have saved the project 2.0, which is undergoing INR 100 crore s savings. So, could you just quantify under what heads how much savings have been accrued?

Rishi Kajaria: So, actually the total is about INR 150 crores. On an annualized basis. On an annualized basis. Where about INR 80 to INR 90 crores would be on raw materials. In the plant, you know, plant negotiations, we re-engineered the cartons, better negotiation with the raw material suppliers. So, INR80 to INR 90 crores would be in terms of that.

INR20 to INR25 crores was in manpower, where we reduced the manpower after the unification.

About INR15 crores was on travel. We reduced our travel expenses overall in the company of the employees and the directors, everybody. And promoters have also sacrificed their salary. So, INR15 crores came from there.

Rajesh Ravi: Okay. And what portion of these costs are recurring in nature in terms of which will continue to remain, which need not be re-incurred in subsequent year as you would also be targeting growth?

Sanjeev Agarwal : So, the saving which we have done will continue. This is going to be structured. That is, we have done and that will remain for all the years. And even as we said, our MD has said in the openi

ng

remarks that we are not stopping here. We have identified more areas where we will be reducing the cost further. So, this is one event where we have saved also. We have lost also, INR20 crores.

Rishi Kajaria: See, we started this operation Manthan. We have also drank the nectar of INR20 crores and poison of INR 20 crores also came out.

Rajesh Ravi: No, no, that's agreed.

Rishi Kajaria: So, see, it is like this. Yes, this was a hard work. But we are happy that going further from here

on, we will be much, much, much stronger and a leaner and meaner organization.

Rajesh Ravi: Correct. And sir, this INR 150 crore s run rate has been achieved in both Q1 and Q2. Is that understanding correct?

Sanjeev Agarwal : No, no, it is, see, it is on an annualized basis. It is not that... Yes, yes, annualized. Every quarter we have been saving. Every quarter, see, our margin has increased from 10 %, 11% from the Q4.

So, there was some one-offs also there to 17% or 18 %. So, that is, that's a gradual process. The major low-hanging fruit we have already taken. The balance saving is also there.

But it is not that easy. It will take some time. It will take few more quarters. But we are not stopping. We have been continuously identifying where even minutest of detail we are going, where, where we can save. As the MD said, that we are, we are a leader in sales. We need to be a leader in our cost also.

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Rajesh Ravi: Correct. So, what I wanted to understand, this INR 40-INR50 crore s quarterly savings run rate, given the annualized INR 150 crore s savings, how much of that is already in place? I am just trying to understand H2 versus H1. What sort of first saving number will be there?

Sanjeev Agarwal : No, no. Please, please, please, please stop here. Because this is not a, this is a special call, for the normal call we need to take two days clear notice to the investor. We have done this call on a shorter notice. So, I would request you to restrict the question, for this particular issue only.

Because that will not be fair on my part to discuss the other business question. The other business question we can discuss on our next call after the Q3, please.

Rajesh Ravi: Yes, yes. Thank you, sir. Thank you. All the best.

Rishi Kajaria: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Chetan Kajaria : So, thank you everyone for your attendance. And we do admit there was a lapse in our systems and controls. But going forward, we are taking all steps to rectify that. The systems and processes will be much stronger going forward in the future. And we are more fitter and stronger organization from here on. Thank you so much.

Rishi Kajaria: Thank you. And just to add to that, that yes, Kajaria will be much, much better off from here on.

Moderator2023 : Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2026

February 02, 2026

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated January 30, 2026, informing about the uploading of the audio recording of the Conference Call held on January 30, 2026, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For Kajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q3 FY '26 Earnings Conference Call "
January 30, 2026

MANAGEMENT : MR. ASHOK KAJARIA –CHAIRMAN – KAJARIA
CERAMICS LIMITED

MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA
CERAMICS LIMITED

MR. RISHI KAJARIA – MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED

MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED

MR. KARTIK KAJARIA – HEAD, ADHESIVES BUSINESS –
KAJARIA CERAMICS LIMITED

MR. PARVEEN GUPTA –VICE PRESIDENT , FINANCE –
KAJARIA CERAMICS LIMITED

MODERATOR : MR. DHARMESH SHAH – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

Kajaria Ceramics Limited
January 30, 2026

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Moderator: Ladies and gentlemen, good day and welcome to Kajaria Ceramics Q3 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharmesh Shah from JM Financial Institutional Securities Limited. Thank you and over to you, sir.

Dharmesh Shah : Thanks, Danish. Hi, everyone. Good evening and thanks for joining. We have with us senior management of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Sanjeev Agarwal, CFO; Kartik Kajaria, Head, Adhesives Business; and Parveen Gupta, Vice President, Finance.

I would request Ashokji to start with the initial remarks, post which we will have a Q&A session.

Over to you, Ashokji.

Ashok Kajaria : Thank you, Dharmesh. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 3 FY '26 earnings conference call of Kajaria Ceramics Limited. Joining me in this conference call is the senior management team of Kajaria Ceramics.

In quarter 3 FY '26, our consolidated revenue is flattish at INR1,168 crores compared to the corresponding quarter last year, mainly due to no growth in tiles volume and absence of Ply sales due to closure of that division. EBITDA margin in quarter 3 FY '26 is 17.2%, plus 442 basis points against 12.8% in corresponding quarter last year. However, EBITDA dropped by 74 basis points sequentially as compared to quarter 2 FY '26, mainly because of lower sales realization as we gave some discount in order to reduce our SKUs.

In Gailpur plant, we have converted 1 unit with a capacity of 9.1 million square meters from ceramic floor tiles to glazed vitrified tiles, to move towards value-added products as per prevailing market demand scenario. With Kajaria 2.0, our transformation journey has begun and we remain confident about sustainable value creation going forward.

Now for this quarter segment-wise financial performance. Tiles segment remained flattish year-on-year at INR1,030 crores in quarter 3 FY '26 compared to INR1,040 crores in quarter 3 FY '25. Bathware segment registered a 9% growth in revenue, reaching INR103 crores in quarter 3 FY '26 compared to INR95 crores in quarter 3 FY '25.

Revenue from adhesive grew to INR35 crores in quarter 3 FY '26 as compared to INR20 crores in quarter 3 FY '25. EBITDA improved in quarter 3 FY '26 to 17.20% as compared to 12.48% in quarter 3 FY '25, plus 442 basis points but dropped by 74 basis points sequentially as compared to quarter 2, mainly because of lower sales realization.

PBT (Profit before tax from JV, exceptional items and tax) for the quarter grew by 49% to INR165 crores in quarter 3 FY '26 as compared to INR111 crores in quarter 3 FY '25. PAT for the quarter grew by 13% to INR88 crores in quarter 3 FY '26 as compared to INR78 crores in Kajaria Ceramics Limited

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quarter 3 FY'25 due to adjustments of exceptional items of INR39.64 crores in quarter 3 FY '26. As of December '25, the working capital days increased by 8 days to 64 days compared to 56 days on 30th of September '25, mainly due to increase in receivables and decrease of other current liabilities.

With this, I take the opportunity of thanking you for joining us today. Over to moderator for Q&A please. Thank you.

Moderator: Thank you so much, sir. Our first question comes from the line of Keshav Bijayratan Lahoti from HDFC Securities. Please go ahead.

ead.

Keshav Lahoti : Sir, firstly, can you give some sense how is the unification working on volume and margin front? On last call, we were hopeful that some volume growth we will see because of unification. So how are things moving? And secondly, how should now we see margin going forward? The realization cut which you have taken, is it just for this quarter? Or will we see this impacting next quarter also?

Chetan Kajaria : So in terms of volume, the market scenario was weak. And also, we did destocking of inventory

at the dealers end, so we could not grow in this quarter 3. But going forward, we see positive shoots going forward for growth.

Rishi Kajaria : So what's also happened was that we've been churning a lot of dealers. With all the unification happening, lot of tail end dealers are going out, some dealers are adding in. So lot of churning is happening. Cross-selling is happening because of cross-selling between the dealers. Lot of dealers were only probably working with one vertical where we're giving them other tiles as well.

So all that is happening. And also, we liquidated a lot of our stock, which was -- a lot of SKUs had increased. So all that happened in last quarter. And because of that, we remain flattish. But Jan looks little encouraging and we should be okay from here.

Keshav Lahoti : Got it. Sir, on the margin side, how are things moving? Can you give some more color what sort of margin improvement we can see? Maybe it's a few quarters we have started this strategy?

Rishi Kajaria : So margin will remain between 17% to 18%, somewhere in that band. That should happen.

Keshav Lahoti : So we are already there. So the juice out of unification on margin is already out, you mean to say no more levers are left? That is a fair assessment?

Rishi Kajaria : So even if the margin increases, we like to pump it back in the market in terms of advertisement. And we are -- now our focus will be more on increasing our sales and maintaining the margin.

Keshav Lahoti : Understood. Got it. And last question from my side, the ad spend for this quarter?

Rishi Kajaria : Ad spend for last quarter? October to December, you're asking?

Keshav Lahoti : Yes. Perfect.

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Chetan Kajaria : We spent roughly INR24 crores in quarter 3. This is what...

Sanjeev Agarwal : We spent around INR24 crores in Q3.

Keshav Lahoti : Got it.

Sanjeev Agarwal : Little lower than the Q3 of the previous year. But in the fourth quarter, we intend to increase it much higher than Q3.

Keshav Lahoti : Got it.

Sanjeev Agarwal : So overall ad spend in the year would be lower as compared to the last year because we have not done one annual deal or meet, we used to do in Thailand. So that has -- we have saved around INR5 crores. So -- and we have negotiated well with our existing advertisement vendors. So -- and we have ignored some areas where we were not finding some value. So optically, advertisement will look lower this year but the value we have -- we will be getting more, what we have got last year.

Moderator: Thank you, the participant left the queue. Our next question comes from the line of Sneha Talreja from Nuvama Capital. Please go ahead.

Sneha Talreja : Thanks a lot for opportunity. Just a couple of questions now. Firstly, on the last con call, you mentioned that your cost-cutting measures are on and we can see quarter-on-quarter margin improvement and that was at the point where your margins were around 18-odd percent. But if I heard you correctly now, you are saying that margins will remain at the 17% to 18% and you will be passing on the incremental benefit to gain market share. Is that a change in strategy again?

Sanjeev Agarwal : Yes. In this quarter, the margin is 17% plus despite around 220% or 240% drop in the selling price. So our cost optimization journey has continued and we are further -- we have not st

opped

here. We have taken some low-hanging fruits but we have identified some areas where we'll be working in this quarter and the next -- the whole next year, the journey will continue.

But -- and as we said -- as Rishi ji has said that this quarter, we have -- there is a drop in selling price because of liquidation of some inventory. We have lot many SKUs because of this multiple divisions the SKU numbers have gone very high. So we are in the process to reduce that. So that is the reason we gave some discount. So that's the reason for the lower realization.

And for the lower sale, the reason is as we explained. I'm just repeating it, because we -- there was some destocking happened at the dealers level because one dealer -- suppose one dealer is a ceramic exclusive dealer, so we have to stop supplying ceramic to him. We are saying, no, now we will not give ceramic. You have to take some GVT. Some dealer is GVT.

He has to -- I mean it takes time for a dealer to change his display because he has been displaying all GVT. So he has to display ceramic, or ceramic dealer is displaying ceramic, he has to display GVT. So this -- some -- it's a big change, the big change in the corporate. So it will take some

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time. So it is taking time but we are very sure, after this correction, we will emerge as a very strong and a very process-driven company.

Not only that, we are in the process of improving, like the fraud happened in the company. So we are revisiting. We have appointed a forensic auditor also. Ernst & Young, we have appointed. They have yet to give the report but prima facie the fraud amount because I know this question will come again, so I'm answering. So the fraud amount is not beyond what we have stated earlier. So that is there.

And they -- the -- we are doing our process audit also -- process -- all the processes we are getting it audited. And you will be happy to know that the -- we have found all systems are working very strong, except that subsidiary that was a unfortunate incident. But still we are in the process of strengthening our system, further strengthening the system. We have changed all the signing power. Even the Chairman cannot sign or even I cannot sign INR10,000.

Sneha Talreja : Understood. That's excellent to know, sir. Sir, you also mentioned that you are changing SKU reduction. Could you speak more on it in terms of how much inventory levels could reduce because of that or properly what's the SKU reduction looking like? And can that have any impact on sales?

Rishi Kajaria : See, what was happening was because as you said, there are different verticals, ceramic, GVT, PVT, so there was a lot of commonality in the products. So that is what we are doing. We're reducing the SKUs. So the plants are more -- the plants more efficient. And because of that, this was the issue of this quarter only. So lot of our work is done. We are emerging out much stronger in terms of our plants also and in terms of efficiency of the stocks also.

Sneha Talreja : Understood. And lastly, on the growth front, firstly, we've seen some amount of exports inch up during first six months but like you mentioned that you were doing all of these SKU reductions because of which you did not see growth. But what's your outlook now probably for next quarter or next year in terms of demand growth? How are you seeing your volumes shaping up in terms of tiles, that's one.

Secondly, even in terms of bathware, you have hired a consultant. You mentioned that last quarter. We've seen around 9% growth this quarter. How is that shaping up? And what's the outlook for that segment also next year?

Chetan Kajaria : Sneha, in the first part, as we said, January is looking positive and encouraging and we are seeing a positive growth going forward from quarter 4 onwards.

Rishi Kajaria : And the same will be both in t

iles and sanitaryware as well. Even though that will have a much

-- in sanitaryware, we're definitely looking at a double-digit volume growth from here.

Sneha Talreja : And anything on the tiles front? Could we hear some numbers for the month of Jan or probably some guidance there in terms of volume?

Rishi Kajaria : Still early, Sneha, still early to give the numbers. But yes, Jan has been little encouraging.

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Sneha Talreja : Understood. Thanks team. All the best.

Moderator: Thank you. Our next question comes from the line of Sonali from Jefferies. Please go ahead.

Sonali : Sir, my first question is regarding Morbi. Could you help us understand how things are shaping up in terms of -- are the exports back on track? Are they still creating a lot of pressure in terms of domestic market pricing, etcetera?

Chetan Kajaria : Sonali, so Indian tile exports have experienced a 20% fall in value in FY '25 to INR16,000 crores due to increased freight rates due to Red Sea crisis and the ongoing geopolitical disturbances. In quarter 3, we exported around INR4,000 crores from the country approximately. So let's see if the trade deal with U.S. is positive, then it will result in increased uplift of exports also.

Rishi Kajaria : Sonali, it's not actually getting any pressure in the domestic market because a lot of these plants are closed in Morbi. If the sales don't happen, they close the factories. It is very difficult to sell -- for them to sell in domestic market, off and on.

Sonali : Okay. Sir, I would just like to have detail about this point. You're saying that the factories in Morbi are closed right now. Since when and how much affect...

Rishi Kajaria : No, no, no. What I'm saying is, if the exports go down, lot of factories in Morbi are only export based. When the exports come down, they close down their factory because it is very difficult for them to liquidate that material in the domestic market.

Sonali : Understood. Got it. Sir, secondly, on gas pricing, any -- so what has been the gas pricing in Q3 for us across regions, if we give? And how do you expect the gas pricing to go forward?

Chetan Kajaria : Sonali, in quarter 3, the gas pricing has been average of INR37, North was INR38, South INR38 and West was INR37. And going forward also, we expect it to remain stable.

Rishi Kajaria : But INR1 will slightly...

Management : There is a increase of INR1 going forward in quarter 4.

Sonali : Got it. And just one last question. Would you like at this point to give any kind of volume

guidance for F Y '27?

Chetan Kajaria : No guidance as such. We just want to do our job and we'll work for the best.

Sonali : Got it Sir, Thank Yiu very much.

Moderator: Our next question comes from the line of Omkar Ghugardare from Shree Investment.

Omkar Ghugardare : Sir, just wanted to get your outlook on the growth front since you have mentioned that with 2.0, you will be moving ahead with all the measures which you have already taken and all the measures you will be taking. Where does the growth factor comes in? Lik e what kind of growth we can achieve in the next 2, 3 years, double digit, higher single digit? Obviously, it depends on the market but still.

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Rishi Kajaria : As you said, this was a year of correction. And Jan has been positive. But yes, next year, we are definitely looking at a good value growth.

Omkar Ghugardare : I mean, can you just quantify, if not exactly but I mean, higher double digit, single digit, lower single digit?

Chetan Kajaria : It is difficult to quantify

Rishi Kajaria : We do not want to quantify it. But we should -- we are looking at it in a very positive way. We are getting a very positive feeling for the next year.

Omkar Ghugardare : And there will be some growth in revenues and margins will be in the similar range, 17% to

18%?

Sanjeev Agarwal : Should be around that because lot of -- because as I said, the cost optimization certainly will continue. And when there was a exceptional dip in this is not there, maybe here in the next quarter, it may continue in this quarter as well. But from the next year onwards, it's very light company in terms of SKUs and our all dealers would be -- will be unified, which is still under process. So we are working , dealer will honor our -- is doing in a old fashion. So we are all doing it digitally.

We are working a lot on digital thing. We are -- not only that, we are hiring good people. We are hiring at least 3 to 4 C -level people, which we will disclose when they join within next 1 or 2 months.

So see we are strengthening the company all the way and growth is -- will be a result of the improvement in the system. So when the systems are weak, not the system, I mean the process, the selling and the dealer -- long tail of dealer. We have identified white spaces. We have identified when we do the right thing, growth has to come automatically. And we are -- despite the number one company, we are -- our market share is very less.

So we have -- even if the industry doesn't grow, which has happened in the past, the industry didn't grow but we took the market share. And we are hopeful that next year onwards, we will continue to repeat our old time and take the market share significant ly.

Omkar Ghugardare : So just wanted to know what exactly are the points you are focusing on, on this Kajaria 2.0 and how you are utilizing the cash balance in order to increase your growth ahead or to support the growth ?

Sanjeev Agarwal : I answer the second question ...

Rishi Kajaria : So for the sales strategy, what we are doing is, as stated earlier; one, we are talking about cross - selling of the dealers. Earlier dealers were working in only one vertical. Now they are adding second and third product lines as well. Second, we are puttin g a major thrust on the architect and interior designer community. This we were not focusing much earlier on.

So we are making a very solid team all over India whose job is only to service these architects and interior designers and get products approved. Government is another sector that we are

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working on as well where we have a strong government team also to do this. All these initiatives in the work will happen.

Omkar Ghugardare : Yes. And if you can answer how we are utilizing the cash balance?

Moderator: I'm sorry to interrupt you, Mr. Omkar but there are a lot of background noise coming from your end.

Omkar Ghugardare : Yes, sir. The...

Sanjeev Agarwal : No problem. So , we are doing, we answered this many times. We are not going to do a big thing.

We are -- the balance sheet -- driving the balance sheet in a -- and we don't see major capex in next 1 or 2 years. So maybe if we -- we continue to keep the cash and may increase the dividend and all. I can't say at this moment. But we don't have any major capex in the future. We don't

see any capex in next...

Rishi Kajaria : No major capex is planned as of now ?

Sanjeev Agarwal : So cash balance may increase going forward.

Moderator: Our next question comes from the line of Utkarsh Nopany from Anand Rathi Institutional Equities.

Utkarsh Nopany : Sir, my first question is regarding the pricing scenario in the bathware portfolio. So just wanted to know, have we taken any price hike recently or plan to take any price hike in faucets and sanitaryware, we are both? Sir, if you can specify how much price hike we are planning to take in both?

Rishi Kajaria : So yes, the brass prices have really increased and the entire industry has taken a price hike and so have we. So from 19th of January, we have taken a price hike in the faucet products in the -- to the tune of about 8% to 12%. And sanitaryware, we plan to take a

price hike probably from
1st of March.

Utkarsh Nopany : Okay. And sir, how much price hike we are planning to take for sanitaryware portfolio?

Rishi Kajaria : Not that much. There, the cost has not increased that much but we'll take a call. We're still working on it. We're still working on our pricing strategy.

Utkarsh Nopany : Okay. And second, sir, on the tiles realization front, if we see for our own manufacturing product, the tiles realization for us, it has fallen from 401 square meter in Q3 of FY '23 to right now at 365 square meters. So we have seen a decline of close to a round 9%. So if you can help me out when we can start seeing improvement in our tiles realization, sir?

Rishi Kajaria : So what, for that, we are doing a couple of things. As we said, even the architects, interior designers team, they will also help us sell in more value realization tiles. See, prices of tiles are not increasing in the market with so many players there. But the only way forward is that we have to sell more of value addition. So it's difficult to again calculate and tell you what is the price realization going to be.

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But it should not go down from here. The way we are working, I think we'll maintain it and slowly it should go up.

Sanjeev Agarwal : And we have converted one line of ceramic of 9 million in Gailpur plant in GVT. So that should also...

Rishi Kajaria : Help in improving realization.

Chetan Kajaria: That improves the bottom line further.

Utkarsh Nopany : Okay. And sir, lastly, on the capital allocation part. We have already mentioned that we are not planning to do any major capex . But if I see our tiles own capacity and plus JV capacity has gone down from 92.5 million square meter to 82.5 million square meter over the past 18 -month period and we are operating at almost full capacity?

Whereas if we see 2 unlisted players, Simpolo and Varmora are almost doubling their capacity. So just wanted to know whether our conservative capital allocation is not likely to result into any loss of market share for us in the coming quarters' time frame?

Chetan Kajaria : No, market share loss is not a situation at all. So there is enough capacity available at Morbi at very good competitive prices for us to outsource from them and sell in the country.

Rishi Kajaria: And we also have a very substantial production capacity built in. And whenever we feel the need, we can always expand. So right now, we don't need to -- feel the need to do it. Our capacity that with the industry, with all -- we have a capacity, 82.5 million. The rest of the players are still in a much lower capacity than us.

Utkarsh Nopany : Okay. Fine, sir. And sir, if you can just specify what is the share of our institutional sales in December quarter versus last December quarter?

Chetan Kajaria : So roughly, our share is 70% in retail and 30% in projects. And this projection includes government projects also and private projects also with builders basically.

Moderator: Our next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay : Sir, my question is, as you had mentioning that lot of cross -selling you are emphasizing to your dealer. So now where we are in the churn within the dealers, like 100% of that has been achieved or 70%, where we are right now?

Rishi Kajaria : So I would say about 70% to 75% is already done. Rest will all happen in this quarter. That does not mean that we'll not grow in this quarter. We definitely grow as well in this quarter and the remaining churning will also happen. So that next year, when we start the next financial year, we'll be in a very, very solid position.

Praveen Sahay : Okay. Good to hear that. Second question is, as realization on a sequential basis has been down but your gross margin has improved. So is there some cost related to the RM as well, some rationalization hap

pened? What exactly happened there?

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Sanjeev Agarwal : Yes. As I said, the cost optimization journey has continued. So if the sales realization wouldn't have dropped, the margin would have been much higher. This margin, 17 plus margin is despite the drop of 250 bps or 240 bps decline in the selling price -- sales realization.

Praveen Sahay : Right. You are -- I'm saying that your realization has down -- gross margin has improved actually sequentially. So gross margin is a function of realization and the RM. So is there a some...

Sanjeev Agarwal : So your -- have you taken the gross margin, have you taken the power and fuel also?

Praveen Sahay : No, sorry, what have you taken? Yes, yes. Hello, sir. What you said, sir? Sorry?

Sanjeev Agarwal : You have to take the -- most of the analysts are not taking the power and fuel in the consideration.

You have to include power and fuel here then as compared to Q2 -- Q2 FY '26 was around 36%

and even this quarter, it is 36%. To be very precise, it was 37% in Q2 FY '26 and in this quarter, it is 36%. For that, you have to take raw material, trading purchase and power and fuel in source and spare.

Moderator: Our next question comes from the line of Nilesh Sharma from Anantnath Skycon.

Nilesh Sharma : Sir, I just want to know, from a long-term industry structure perspective, when do you believe that Indian tile industry reaches an inflection point where organized players start gaining visible market share from Morbi or unorganized players?

Rishi Kajaria : Saying when do you think in the long-term industry -- long term...

Nilesh Sharma: Sir? Hello?

Rishi Kajaria : Just repeat your question for everybody.

Nilesh Sharma: Yes. Sir, my question is, from a long-term industry perspective, when do you believe Indian tile industry reaches at the point where organized players gaining the visible or sustainable market share from Morbi or other unorganized players, so that we like Kajaria, Somany like players will gain the momentum?

Ashok Kajaria : See, 2 things are happening. One is, GST has changed lot of perspective. Earlier, as we all know, there was a lot of problem on various fronts. With GST, 2 things have happened. Everybody has become part of GST, almost you can say 80% of the industry are in GST. Some here and there is still being done at Morbi by under-pricing, as we all know.

But GST is a big game changer. With the process of time, what will happen is, the branded players today, you see the prices of all housing is going up. People prefer good products as we all know. So with the change of time, the branded players will be more preferred compared to Morbi.

Even in Morbi, some people are emerging as branded players like Varmora and Simpolo. And I think over a process of time, it's a time which will tell but things will happen, whereby the current share of the organized is about 40%. The share of Morbi is about 60%. I would say about 2 years' time or 3 years' time, it will be 50-50.

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Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal : Sir, the first question on -- before the unification, I think the pricing, dealer schemes and incentives for ceramic, PVT, GVT would have been different, right, for all 3 segments. Now given the unification has happened, has that been aligned? And are the dealers now comfortable understanding the pricing and scheme structure?

Chetan Kajaria : Yes. So just to answer that question, with effect from 1st of Jan, we have aligned the pricing in ceramic, GVT and PVT, made the discount structure very similar. So when a sales team goes to a dealer, it's very easy for him to explain what are the various schemes and pricing structure of all the 3 verticals and also align the incentive policies to a great extent. It's

all performance -

based. So it has become simpler post unification rather than it was pre-unification.

Rahul Agarwal : So when I talk to dealers, what I hear is that the earlier person who was handling 3 segments, 3 products separately, because of different schemes and structures, it's still getting difficult for them to understand the new pricing in schemes. And hence, they are still contacting the older sales managers to place orders. Any thoughts on this?

Chetan Kajaria : This happened on 1st of Jan. So it will take, let's say, 1 month, 2 months' time for them to absorb and get in the market also. And once it -- explain to all the dealers, it will all become very simple and transparent for them to understand the new systems and the policies.

Rahul Agarwal : Okay. Like is it possible to do certain central meeting with all the dealers and explain them this? Or how does it work? Like how are you communicating this with your channel?

Chetan Kajaria : We can't do a central meeting because every geography and zone is different. You cannot get

800 dealers on a call today then because the pricing and systems are different -- schemes are different for various zones, North East South West. So it's all been told to the dealers by the people on the ground and we've have had some meetings with dealers in various pockets to explain them what the new scheme and policy is.

Rahul Agarwal : I understand that. Understand. Of course, I mean, it has to be more regional driven kind of effort to communicate. Got it. So very clear on that. Secondly, when I look at the production breakdown. The production, it's 6 million square meters a quarter is what you report as a joint venture production. Just wanted a clarification. This joint venture production are entities referred to which region? Is this largely Morbi and South Asian Ceramics?

Rishi Kajaria : Yes. The joint ventures are 3 in Morbi and 1 in South Asia -- is South Asia. 4 plants are joint ventures.

Rahul Agarwal : Right. So over here...

Sanjeev Agarwal : One of the subsidiary. Sorry, one of the subsidiary, we have in the Board meeting, we have taken approval to acquire 10%.

Rishi Kajaria : One of the joint ventures to make it a wholly owned subsidiary.

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Sanjeev Agarwal : So it will not be a joint venture. And even the joint venture, we have increased our equity significantly. So the ultimate aim is to acquire the balance and merge it with Kajaria Ceramics going forward. And run it more efficiently.

Rahul Agarwal : Right. That was the precise question that incrementally, this 6 million square meter per quarter or '24, '25, for the full year will actually move to own manufacturing and there will be no JV production breakdown available. Is that correct?

Rishi Kajaria : That's the endeavour as we go along. We'll take a call. As we said, that out of 4 JVs, this quarter, we have converted 1 JV into a -- taken the permission to convert into a wholly owned subsidiary.

Like that, as we go along -- but we still own majority of the shares of these JVs, 80 %-plus in Morbi, all the JVs, we have almost 85% plus equity and we are running the plants. South Asia, this is about 60%.

Chetan Kajaria : There also we are only operating a plant basically.

Sanjeev Agarwal : So it is -- it -- earlier it used to be JV in real JV because these people, our partners used to run the plant. But over a period of last couple of years, we have taken the management control and they are just shareholder but we are running the plants.

Rahul Agarwal : Absolutely. I completely agree. That's what I was wondering that since we own majority and now the endeavor is to own majority and 100% ownership, it should all move to own manufacturing versus joint venture. So I agree.

Sanjeev Agarwal : And Rahul, it's tax efficient also, suppose some JV is having losses. So that is not getting any benefit and

the Kajaria, I'm paying tax. So once we merge everything, so it will be very -- then there will be no related party transaction, no tax issues. So it will be very clean system of working going forward.

Rahul Agarwal : Absolutely. Got it. And last question was on discounts. I mean the discounts, was it region - specific or it was PAN -India offering from your side, like the SKU reduction, which happened?

Chetan Kajaria : SKU reduction was plant -wise across the country.

Sanjeev Agarwal : Across the country and across the country, brand -wise and dealer -wise as well.

Rahul Agarwal : Okay. Got it. So there's nothing to do with abnormal inventory, right? Because when I look at September balance sheet, the inventory was fine. This is largely, what is this related to?

Rishi Kajaria : This is more of cleaning up of our own plants. We are making our plants more efficient. The plants -- what has happened is, the plants which -- the tiles which sell more, how we are making sure that their stock is more as compared to a lot of dead inventory and the plant -- tiles we don't sell more. So that is the churning of the inventory and that is also all the liquidation of the old stock which happened this quarter.

Sanjeev Agarwal : And Rahul, one more thing, though we have not reduced the inventory at the company level, there is a marginal increase in the inventory at the company level. But as Rishi ji had explained because of the destocking that inventory at the dealer level has diminished.

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Rishi Kajaria : Which will help us in future.

Rahul Agarwal : Got it. Very clear, sir . Thank you so much for answering the question and all the best.

Management : Thank you .

Moderator: Our next question comes from the line of Rahul Agarwal from IKIGAI Asset.

Rahul Agarwal : Thank you for the follow -up. Just one question on the gas consumption. Overall, all inclusive, in a year, how much of gas do our plants consume? About 200 million cubic meters. Is that correct?

Chetan Kajaria : No, no. Not 200 million.

Rishi Kajaria : Overall gas consumption. We'll have to come back to you.

Chetan Kajaria : We can come back...

Chetan Kajaria : We can come back on this question with a definite answer.

Ashok Kajaria : Exact number.

Ashok Kajaria : When you talk about fuel, it's a combination of gas and biomass also.

Sanjeev Agarwal : Biomass and coal as well.

Ashok Kajaria : And in North, we are using a combination of biomass and fuel. In Morbi, it's all about fuel and coal. And so we have to do plant -wise working and come back to it, on the gas front, how much gas we are using. Because currently, what is happening in Morbi, they have an option to use gas or propane. So exact details, we will come back and comment.

Sanjeev Agarwal : But Rahul, your question, why this question, you want to know, you have any apprehension about the gas price increase? This is why you are asking this question, on why you want -- you are interested in knowing the quantity. I can tell you there is no impact of gas in this quarter and because some people have some apprehension because of increase in Henry Hub .

There is a cost escalation. So that gas, I can clarify, that is 4% to 5% of our overall gas -- power and fuel consumption. And that was temporary hike in few days back because of the extreme cold in the Europe, which has gone down.

And there will be no impact of any gas either in this quarter. There will be may be marginal gap, let's say, INR50 lakh to INR 80 lakh in the next quarter. So beyond that, there will be no increase in the gas price, as of -- if I take the prices today.

Rahul Agarwal : Got it, Sanjeevji. Thank you so much .

Moderator: Our next question comes from the line of Bhavesh from DV Investment Advisors .

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Bhavesh : Can you just -- about the export scenario li

ke last year, it was around, say, INR18,000 crores.

So can you give me a more update export scenario like what is the situation now and what the unorganized players, like where are their supply going?

Chetan Kajaria : So FY'24, the exports was INR 20,000 crores. And this year, we're estimating it to be around INR16,000 crores. So going forward, exports should be stable and growing only. And once the US trade deal comes to light, then we'll know much more what the US tariffs will be.

Bhavesh : How much exports will be around for the 9 months period, any estimation?

Chetan Kajaria : INR12,000 crores.

Bhavesh : INR12,000 crores and we are expecting it to be INR16,000 crores for this year?

Management : Correct. Approximately for the financial year.

Bhavesh : Okay. Understood .

Moderator: The next question comes from the line of Bharat, an Individual Investor.

Bharat: Thanks for the opportunity. I just wanted to know about bathware segment. How are we going forward with our distribution channel? Are we adding dealers, retailers? How is -- basically that?

Rishi Kajaria : So in bathware, we have a mix of both distributors and retailers. Some areas, distributors are working, some areas it's -- retailers are working. So there also a lot of this work is happening.

We are going in -- so bathware, still it's taking a little time . But we are still going in attacking all the dealers, getting there, making sure our products are displayed. So we are seeing some results. And hopefully, that should also change as we go along.

Bharat: Can you quantify how much are our dealers, retailers?

Rishi Kajaria : How many...

Chetan Kajaria : No, we cannot quantify.

Bharat: Thank you.

Dharmesh Shah : Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you and over to you, sir.

Ashok Kajaria : Thank you, Dharmesh. I think it was a good interaction with the people who are there. I thank on behalf of Kajaria, on behalf of people for asking questions and thank you very much for today's deliberations. Thank you.

Rishi Kajaria : Thank you.

Management : Thank you.

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Moderator: Thank you so much. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

May 07, 2026
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated April 30, 2026, informing about the uploading of the audio recording of the Conference Call held on April 30, 2026, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Vinit Kumar
General Counsel & Company Secretary

Encl.: As above

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"Kajaria Ceramics Limited
Q4 FY26 Earnings Conference Call "
April 30, 2026

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA
CERAMICS LIMITED
MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA
CERAMICS LIMITED
MR. RISHI KAJARIA – MANAGING DIRECTOR –
KAJARIA CERAMICS LIMITED
MR. KARTIK KAJARIA –HEAD, ADHESIVE DIVISION –
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KAJARIA CERAMICS LIMITED
MR. PARVEEN GUPTA – VICE PRESIDENT FINANCE –
KAJARIA CERAMICS LIMITED

MODERATOR : MR. GIRISH CHOUDHARY – SPARK INSTITUTIONAL
EQUITIES PRIVATE LIMITED

Moderator: Operator Ladies and gentlemen, good day and welcome to the Kajaria Ceramics Q4 FY '26 Earnings Conference Call hosted by Spark Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be a n opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Girish Choudhary from Spark Institutional Equities Private Limited. Thank you and over to you, sir.

Girish Choudhary: Thanks, Yousuf. Good evening, everyone. Thanks for joining. We have with us the senior management team of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Karthik Kajaria, Head, Adhesive Division; Mr. Sanjeev Agarwal, CFO; and Mr. Parveen Gupta, VP Finance.

I would request Mr. Kajaria to start with the initial remarks, post which we will have a Q&A session. Over to you, Ashokji.

Ashok Kajaria: Thank you, Girish. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 4 F '26 earnings conference call of Kajaria Ceramics Limited. And as already said, joining me on this conference call is the senior management team of Kajaria Ceramics.

I'm pleased to inform that this quarter we achieved a volume growth of 11%. This is the result of several efforts made towards unification of sales. During the first 9 months, this unification meant realignment of inventory across channels, manpower alignment and as a result, resulted into flattish growth. After which, we experienced good momentum in demand s ince January '26, which was a result of efforts made by us in the first 9 months. The production has fallen by 7% during the quarter due to shutdown of our Morbi plants in March, which have started from 16th of this month.

In quarter 4 '26, our consolidated revenue increased by 12% to INR 1,373 crores compared to the corresponding quarter last year. EBITDA margin for quarter 4 stood at 19.19%. Margin improvement is result of cost optimization and some improvement in sales realization over quarter 3 along with all-round efficiencies in production, sales and supply chain management. I would also like to mention here that there has been a huge distraction at Morbi players in terms of cost, labour and cash flow. As a result, Kajaria and other players who have multi locational plants will have a great advantage as we go forward and their volumes will increase for the year '26 -'27.

For us, the journey has just begun, and we remain optimistic about the current year 's performance and beyond. Let me share with you some data for the quarter segment -wise financial performance. Tiles segment grew by 11% year -to-year at INR 1,212 crores in quarter 4 F '26 compared to INR 1,088 crores in quarter 4 F '25.

Bathware segment registered a 6% growth in revenue reaching INR117 crores in quarter 4 compared to INR 111 crores in quarter 4 '25. Revenues from the adhesive group were INR 44

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crores in quarter 4 '26 as compared to INR 21 crores in quarter 4 '25. EBITDA improved in quarter 4 F '26 to 19.19% as compared to 10.01% in quarter 4 '25.

PBT: the profits before share of profit from JV, exceptional items and tax for the quarter grew to INR228 crores in quarter 4 '26 as compared to INR 85 crores in quarter 4 '25. PAT for the quarter grew to INR 136 crores in quarter 4 '26 as compared to INR 43 crores in quarter 4 '25 due to higher volumes and improved realizations. As of 31st of March 2026, the working capital cycle improved by 14 days to 51 days as compared to 65 days on 31st of December

r '25

mainly due to decrease in inventory and receivables. And we'll continue to focus on reduction of our working capital cycle as we move forward.

Sanjeev Agarwal: This is Sanjeev Agarwal, CFO. I would just like to say that in our presentation in Slide number 9, the inventory figure has been interchanged to debtors inadvertently. We have uploaded the revised presentation to the stock exchange and to our website also. So please read inventory figure as debtors and debtor figure as inventory .

Ashok Kajaria: With this, I take this opportunity of thanking you all for joining us today. Over to moderator for Q&A, please. Thank you.

Moderator: First question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Congratulations on strong set of numbers. Sir, I wanted to get a sense on Q4 growth. One is because of unification. And secondly, we believe because of this Iran thing that Morbi has taken a shutdown. Possible to bifurcate how much volume could be coming because of the

Morbi shutdown? And secondly, how are the things looking on Q1 side?

Chetan Kajaria: So this volume growth is not because of only the Morbi shutdown. In January and February also, we had a volume growth. It was consistently throughout quarter 4 in Jan, Feb and March.

And what was the second question, please?

Keshav Lahoti: So how are the things looking in Q1? Q1 should be stronger than Q4?

Chetan Kajaria: The momentum has started now and looking good '26-'27 going forward. So we can't break it down quarter-wise, but the good momentum has started now I would say.

Sanjeev Agarwal: In general, Q1 historically is low in the industry and Kajaria. So Q4 cannot be compared with Q1. But the whole year is going to be much better.

Keshav Lahoti: I got it. I was asking more on year-on-year April on April basis of the momentum, whatever the double-digit volume growth that might be continuing in April also, possibly might be at an accelerated pace organization. And my sir, first question was that I understand it's because of both unification and Morbi. So I was just trying to ask possible to bifurcate this growth. Just let's say for example what has been your growth in, let's say, Jan and Feb, the first 2 months when we are not seeing the Morbi disruption?

Sanjeev Agarwal: Right now Vice Chairman said that this is not -- the growth is not just because of Morbi because we have started getting the growth from the month of January itself.

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Chetan Kajaria: Jan and February, volume growth were 8% 9% and then it continued in Feb and March also.

Keshav Lahoti: Got it. That is helpful. Sir, what sort of price hike you have taken in the market because of inflation in gas prices? And how are the gas prices now and in last quarter Q4?

Chetan Kajaria: Can you repeat the question, please?

Keshav Lahoti: So my question is what sort of price hike you have taken because of increasing gas prices? What were the gas prices region-wise in Q4 and currently?

Chetan Kajaria: So we have taken a price increase of roughly 12% to 13% in our North plants and Morbi has been slightly higher around 16% to 17% because the gas price has gone up much higher there.

That's been the region-wise price increase and South is also in the similar lines.

Ashok Kajaria: And more or less we have covered the cost of increase of gas with some added margin, but more or less covered the costs which have gone up.

Keshav Lahoti: Sir, region-wise gas prices for Q4 and current year, how it stands?

Ashok Kajaria: See, there is a varied combination. See, what has happened in the month of March, all the plants in Morbi were shut down so almost there's no calculation as far as Morbi is concerned.

Now we have started the Morbi plants on 16th of April. As far as the gas prices in North are concerned, the Government of India made a restriction that you will

get for the first 2 days

80% and 65% and it's a varied price as you might be aware. So the exact number is difficult to say, but calculated wise, the prices have gone up quite a bit.

Sanjeev Agarwal: And we have different type of gases in our non-Morbi plants.

Moderator: Next question is from the line of Sneha from Nuvama.

Sneha Talreja: Congratulations on a great set of numbers. Just continuing with the last participant's question.

You generally used to give a breakup of North, South and West average gas prices. Could you give that to us for Q4?

Sanjeev Agarwal: So North is roughly INR 55.54 per SCM for quarter 4. South was INR 49.6 and West was INR 46.57.

Sneha Talreja: And could we have current prices too if possible? What is adhesives working out to be?

Sanjeev Agarwal: April, the price in North is roughly INR 62.5. South is around INR 81 and West is INR 79.

Ashok Kajaria: Gas prices not the complete -- gas prices.

Sneha Talreja: Understood. So you're saying that you also have biofuel because of which the average fuel prices must be on the lower side. Is my understanding correct?

Sanjeev Agarwal: Correct. Yes. So average fuel price would be lower than the gas price.

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Sneha Talreja: Understood. This is where we would have some advantage versus Morbi and what would be the current mix of biofuel, 20%, 25%, if I'm not wrong?

Rishi Kajaria: Around 15%.

Ashok Kajaria: No, North plant is about 30%,

Sneha Talreja: Understood. And secondly, sir, an extension to this, given there is a steep increase in gas prices and the way we have taken price increases to manage the margins. Any end user demand impact that we are seeing on ground not just because of the tiles price increases, I think we are

seeing it across the construction space that we've seen sharp increases, let's say, in wood, in HRC, I think across the board. Are you seeing any amount of hit taking place in the construction sector?

Chetan Kajaria: Not really. I think the demand is there and tile is a very small segment in the entire real estate project. So just for that price increase, they will not stop their construction. So we are looking at a good demand for the year.

Sneha Talreja: Any guidance that you want to give?

Ashok Kajaria: See, guidance, as you are aware, I have always given, right? It didn't work out. So after I give my guidance, you people say you have not done this. So my request will be going forward not to give any guidance, and we perform and prove to you people that we are doing a good job as a team.

Sneha Talreja: Perfect, sir. Got that. On the volume front, anything on the margin front that margin could stabilize here?

Ashok Kajaria: Margin, we are confident that with the current scenario, we should be maintaining between 18% to 19%.

Moderator: Next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Many congratulations on good set of numbers. My first question is related to the fuel. As you had given that the fuel prices have increased in all the 3 locations. But if I look at your fuel expenses as a percentage of sales has been down. So is that the impact has not reflected in the Q4 or the price hike, which you had highlighted already taken, that's the impact as well?

Chetan Kajaria: So we took a price hike in early March. So that is reflected in the...

Sanjeev Agarwal : Your question was fuel prices down in the Q4.?

Praveen Sahay: Yes, fuel prices as a percentage of sales has been down.

Sanjeev Agarwal : That is because of the lower production, we produced less 7%. We sold more and we are comparing the percentage on sales. So sale is higher and production is less. Sale is higher by 10%, 11%, 12% and production is down by 7%. So as a percentage, the fuel price have gone down. In fact actually the price per square meter has gone up. Absolute number.

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Praveen Sahay: Correct, sir. Second thing on the price hike. As you said that early March, you had taken the price hike. So in the coming quarters or this quarter Q1, we will see the entire benefit of a 12% to 15% of increase in the prices in our realization?

Rishi Kajaria: We should see definitely some increase in the price realization.

Sanjeev Agarwal: We cannot quantify any number because it's a very dynamic situation. So we have taken the price increase. We might have to give some discount.

Rishi Kajaria: Absolutely. We might be a little more flexible in terms of our pricing.

Sanjeev Agarwal: But one thing is there, the prices will be much higher than what we see earlier.

Praveen Sahay: Right, right. And last question, sir, because Morbi yet to fully resume or come with a force. So such benefit what we had received in the Q4 in terms of the volume growth, we can see in the coming -- like this quarter and the coming quarter till the Morbi is not coming back with the fully production?

Chetan Kajaria : From 1st of May now, Morbi is also starting their production. GSPC is giving gas to whoever wants to take it in Morbi. So that quarter 4 scenario is not there anymore. Now gas is available to anyone who can take it and produce and sell. That is the current scenario going forward from May 1 onwards.

Ashok Kajaria: You see 2 things are happening. Let me explain to you. 2 things are happening. For the first time in the last 5 years, the gas prices are going up like this. The gas prices, which was INR 47 or INR48 landed; as of today is INR84. 50 landed for the Morbi players, which includes the tax, which includes value equalization, point number one. Point number two, for the extra price, you have to give a vendor into GSPC. Third point, when it comes to pricing, you have to sell at these prices. As we are all aware, Morbi has always reduced the prices, reduced the prices.

First time, they have to take a 35% to 40% hike. A product like 4 feet by 2 feet which was selling at INR 20 a square feet has to be sold at anywhere between INR 27 to INR28 because that is the impact of gas. So how can they sell cheaper. Now they are not sure whether they can sell at these prices. So as of today, nobody knows how many plants will run, how many plants will be able to run properly. The plants which will run properly are one, who has created a brand in Morbi. There are few players, I would say, 10, 12 players who have created a brand for themselves, yes. And secondly, who are outsourcing for organized players or some other players who have better demand, yes, I will produce and they will buy. Besides that, there is a lot of questions. A lot of questions will be answered on Monday 4 because first, second, third is a holiday; people are expecting to start. But Monday, you will know how many players have started the plant. So that would be my answer to that.

Moderator: Next question is from the line of Sonali Salgaonkar from Jefferies India.
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Sonali Salgaonkar: Congratulations on a good set of numbers. Sir, my first question is the production, I was just trying to align the numbers. The production is down by about 7%. The sales is up by 12%. Is it fair to assume and interpret that there was a lot of finished goods inventory lying with you earlier, which was ready, which you sold off in March? And going forward, with that inventory liquidation behind us, our sales would be more in line with our production. Is that the right way to look at it?

Rishi Kajaria: So you're right. First, the inventory has gone down because of the shutdown of Morbi. Our inventory has gone down. Secondly, going forward, currently, all our plants are running at full production. So with a combination of our own plants running at full production and our stocks, we'll be able to service all the

sales orders and outsourcing as well. Outsourcing is still a little problem because as we just said that at Morbi a lot of plants are still shut down. But we have enough stocks and our plants are running at full capacity to service the market to do our numbers.

Sonali Salgaonkar: Just as a follow-up. What is the current capacity utilization of our plant? If you could please bifurcate that as the outsourcing in Morbi and in the other regions and how much percent of our supply is coming from Morbi?

Ashok Kajaria: Sonali ji, our production will be, as Rishi said just now, from 16th of April, all the plants are running at full capacity. But today as Kajaria, we are outsourcing to the extent of almost 27%, 28% of the materials from Morbi. Now there is a question mark as to how much we get in the month of April and April was of course tough, but how much we get in May. Things could get normal as we go forward. But right now that's a question mark because many plants, as I just said few minutes before, are not running because they are not running for a simple reason. The gas they got -- started getting gas is only from 16th of April and then again from 1st of May for the people who have not started the plants yet. So as we go forward, we'll know, but our plants are running full.

And as rightly said by Rishi, our stocks have come down by almost 1.5 million square meters in the month of March itself because the Morbi plants were shut down and we sold more. So that's how we have -- stocks have come down and we also realized better cash flow because of tightening of the norms.

Sonali Salgaonkar: Got it, sir. Very clear. And just one last question from my end. Exports definitely, Gulf accounts for about 25% of the overall ...

Rishi Kajaria: Your line is not clear, Sonali -ji.

Sonali Salgaonkar: Sorry, is this better now, sir? Apologies -- is this better? Sir, on the exports, we understand Kajaria doesn't export, but Morbi used to export about 25% of its sales in Gulf. So with that getting impacted, do you foresee more competition once the Morbi starts producing from the 1st of May? And also, we understand that they have taken price hikes, but with us taking about 15% price hike, do you think that the competition could be more from Morbi in the domestic market?

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Ashok Kajaria: I think you didn't hear, Sonali -ji, I said 2 things. One, they have taken a price hike of 35% to 40% for a simple reason. That's the impact of gas only. I'm not talking about other inputs like packing and all that, but just the impact of gas is roughly about 35% to 40%, number one.

Number two, as the plants were closed, the pressure of export doesn't even arise because in the month of April, the exports has hardly been INR 400 crores to INR 500 crores.

Why? I give you 2 reasons. One, the plants didn't run. Secondly, lot of exports to Gulf are affected. Give you a small example. Before the war on 28th of Feb that the freight was \$300 for UAE. Today, the freight for UAE is almost \$4,000. So how can we export and how will the buyer will get. So these are tenders which are remaining.

Sonali Salgaonkar: Sorry, my question was that once Morbi starts producing from 1st of May and I agree with you that the exports are definitely impacted, would that increase the competitive intensity in the domestic market? That was my question.

Ashok Kajaria: That is what I said earlier. Out of 500, 600 plants, which people say in the investing community, which I agree, not more than 150 -- as of today, there are only about 70, 80, 90 plants which are running. And as I said earlier few minutes back that on 4th of May, you will know that how many plants are running. Our estimate is not more than 150 to 160 plants ultimately will run from 1st of May. If they run, there is a big shortage as it is in the domestic

market. And why will they export and ha

ve this headache, they will rather feed the domestic market because domestic market is imported.

Coming to competition, there is already a big vacuum. If you go to Morbi today, you will find many plants don't even have a single box, everything has been sold and that's a scenario which

has been told to us by people, we have no material because what the dealers did during the month of March who were buying from Morbi.

They told them, yes, I give you money of the past, I give you money at the present. Give me whatever you have on the old prices. So they have cleared their stocks in totality. So it's a very, very positive scenario for the so-called organized players who have multi-locational plants going forward for the whole of '26-'27.

Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset.

Rahul Agarwal: Congratulations for a very good number. Firstly, on the bathware side, this INR 50 crore s buyout of the key investor, is it for the entire 15% stake or is it lower?

Sanjeev Agarwal: It's for the entire 15% stake. See, they invested \$10 million 8 years back. So we bought the entire stake for INR 50 crores by mutual discussion and negotiation.

Rahul Agarwal: Got it, Sanjeev -ji. The second question on the cost side. You obviously mentioned that 18%, 19% EBITDA margin is achievable next year. But when I look at this year, there have been lot of cost-saving efforts which you have made. This staff cost of INR 530 crores for fiscal '26, the number looks like stabilized at INR 130 crores per quarter. How should we look at this cost going forward for the other expenditure and staff cost?

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Sanjeev Agarwal: Sorry, what was your question? Staff cost?

Rahul Agarwal: Sir, I'll just repeat myself. My question was that this year, it was a restructuring year for Kajaria. You've done a lot of effort on the cost side. For fiscal '26, the staff cost is now stabilized at INR 530 crores, which is INR 130 crores a quarter and other operating expenditure has also come down substantially to INR 480 crores, right? If this is the base for fourth quarter run rate, how should we look at fiscal '27 on expenditure side?

Sanjeev Agarwal: In the similar grounds. We are not looking at...

Ashok Kajaria: See, similar. You see, you have not calculated one thing. For the year '25 -'26, overall volume, we grew at 3%. We are talking about a much positive growth going forward as we have seen in the quarter 4 at 11%. We are saying that it will be much better growth as we do it because we are not giving any numbers, as I said, but we'll do much, much better as we go forward, number one.

Number two, some cost increase will be there of course because when you start a new year, some cost increase will be there. It will be very marginal, and it will be much more nullified by the volume growth, which will happen and the price increase, which has taken place from 1st of April because actual price -- second price increase only came from 1st of April.

Sanjeev Agarwal: See, in absolute number, there could be some increase mainly in case of labour and all. But in terms of, as Chairman sir has said, as a percentage of sales, it will be lower. Administrative cost as a percentage of sales will go down.

Rahul Agarwal: Very clear, sir. And last question, sir, When I look at the production, my sense is for Kajaria in-house production is about 60 million, 65 million square meters. And please correct me if I'm wrong.

Rishi Kajaria: It is 84 million square meters -- 87.

Rahul Agarwal: Yes. So I was actually breaking it down into 3 parts; own capacities, joint venture and outsourcing. I was looking at own capacity and joint venture is about 89 MSM -- 87 million.

The question I'm asking is the fourth quarter when I look at production, it looks like the JV production obviously has declined purely because of some gas suppl

y issues in Morbi.

Ashok Kajaria: It happened in the month of March. Don't forget that happened only in the month of March. January, February, Morbi has been also normal.

Rahul Agarwal: Yes, sir. So just from 16th of April, when you're saying that gas is available for all of our plants, should I assume it is also for our outsourcing partners and joint venture plants put together?

Rishi Kajaria: Absolutely, yes, correct. outsourcing still. Joint venture partners, yes. Outsourcing partners is a question mark.

Chetan Kajaria: Because we are not completely outsourcing 100% from each of the outsourcing partners. They are buying some percentage of our sales. So if they can't run the plant fully on their own, then

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they will not produce just for us a small percentage of the sales. So that's the question mark. As we go forward, we will get to know more about it as the events unfold.

Rahul Agarwal: Got it, sir. Because that is almost 30 million square meters we have sold from outsourcing partners last year. So that will all get compensated from your in-house production from JVs and own plants. Is that correct?

Sanjeev Agarwal: It is not that the whole outsourcing will stop. The outsourcing will reduce that too in the initial months. If the Morbi has already started and from 1st of May, more plant will open, they will have to sell. So they will have to sell to Kajaria first. So it is a 1 or 2 months disturbance in the supply. It is not a permanent disturbance because when we are ready, when we are giving assurance, as Chairman sir, has said, if the plants are running who have the brand and who have confirmed order. There can be a situation that we are outsourcing from Morbi's plants. So we will outsource, let's say, from going forward.

Ashok Kajaria: See, last year we sold 118 million, produced at about 87, 86 million. And we outsourced about 32 million square meters of tiles. As Sanjeev was just saying, suppose A doesn't run. We will divert B. The question is very simple; material availability is not a problem for Kajaria. If Kajaria has to outsource, this year we have to outsource almost 40 million plus, right? So we'll outsource from A, if not A, B, C. As plants move on, this problem is limited to probably for the month of April and May. As things normalize, people will come forward to our this thing and say, you take from us, we are running the plant, why don't you buy from us? So outsourcing will not be a problem in terms of square meters initially.

Rishi Kajaria: Initially it's a problem. Going forward, it will not be a problem.

Sanjeev Agarwal: Because we'll be realigning our suppliers as usual.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is if you could please help clarify, sir, Morbi will need an increase of 35%. I think you said INR 20 and then INR 27. But sir, you also said initially that 16% to 17% price increase in West and ours will be in similar lines. So I just wanted to understand the timelines for both the numbers?

Ashok Kajaria: You see what you have not understood. Morbi per se was selling a product, let's say, for INR 20 a square feet, that's a 4 feet by 2 feet price, right? Today, as far as they are concerned, their costs have gone up by 35% because of increased price of gas. So their prices have gone up from INR 20 to INR 27 or INR 28 depending on the customer.

As far as Kajaria is concerned, I was already selling at a higher price. So my price increase is only 15%, 16%, which covers the cost of that. So that is what the scenario is. If somebody supplies you from Morbi, he was earlier supplying you at INR 20. Today they supply you at a minimum price of INR 27, INR 28, maybe INR 29 also square feet. So their cost escalation is 35% to 45%.

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Sanjeev Agarwal: There are 2 things. One is the Morbi price is cheaper and our prices, the branded player prices are higher. So the same cost will be less -- same amount of increase will be higher percentage for Morbi and less percentage for Kajaria, number one. And going forward, the difference will minimize. Number two, our gas prices have gone up much higher than the non-Morbi.

Ashok Kajaria: From Morbi, whatever we outsource. He's talking about that. Our prices were already higher when we are selling. So the difference will minimize. As Rishi said earlier, we are increasing 16%. They are increasing by 35%, 40%. So that difference will minimize -- our price cost will not go up so much compared because I'm already more expensive.

Ritesh Shah: Correct. Sir, just another clarification. Sir, Morbi INR 47 currently somewhere at INR 84. And in our case, you indicated Q4 was INR 46.57 and April you said was INR 79. So how should we look at this INR 79 and INR 84 like INR 79, you also indicated it was gas?

Ashok Kajaria: Plants are not INR 79, I will explain you the furlough then you workout yourself. In North, we are getting gas from GAIL India Limited, and we are getting 3 types of gas. That's RLNG, then the Henry Hub and the JCC. Government of India has already described a formula that you will get for the entire gas pipeline because of this war.

Now what they have done as per government guideline, whatever you have lifted in the last 6 months, you will get -- they started out with 80% at normal prices, 20% at spot prices. Got reduced to 65%, then to 55%. Again, raised to 65% and again to 80%. As of today, we are getting a North plant gas 80% at normal prices, 20% at spot price.

As far as South Asia is concerned, we are getting in the same formula. For Sri Kalahasti, last month we paid half price because we had no contract of spot price. From 1st of May, we get in a

normal price . So that's the scenario.

Is it clear now or you would like to --

Ritesh Shah: Yes. Probably I'll call Sanjeev -ji after the call. Sir, my second question was how much is the inventory that we have in million square meters? Is it closer to 1,820?

Ashok Kajaria: Inventory would be like 11 million square meters total.

Ritesh Shah: 11 million square meters. Okay. And sir, how much would be the inventory at the JV partner level or outsourcing partners? I'm just trying to understand that we have significant advantage not only because of size and location, but also the inventory that we have at our hand, which could also be low -cost inventory?

Ashok Kajaria: But there is no low -cost inventory because the prices have already gone up from March, April, so there cannot be a low -cost inventory. Inventory is a normal because what is being produced is being sold. So what Rishi said earlier, we have inventory. Whatever inventory is there, it is okay because our plants are running at full capacity. There is a problem in what we were outsourcing. In outsourcing, last year we outsourced to the extent of 22 million square meters.

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This year, we'll be outsourcing to the extent of 40 million square meters. As things normalize, we'll get material from outsourcing. And as I said, if A doesn't start, B will start, C will start, they will come to us and say you buy from us, simple. It is not that we or somebody else has an inventory of 1 month or 2 months. In Morbi for your information, they have cleaned up the whole land. There is no material. They have sold everything.

Ritesh Shah: Correct. And sir, lastly, any specific reason for the buyback decision at this point in time? How should we read into it?

Sanjeev Agarwal: That's more to me -- the buyback decision is more to give the market the confidence that we are very confident of good numbers going forward. We feel that we're going to do well and it's a better allocation

of cash. If the buyback was not tax efficient. So from this time, it has become more efficient. So this is a better way of returning money to the shareholders. So one, we were having enough cash on the balance sheet, which is much more sufficient than our CapEx and other things. Two, it is tax efficient to the shareholders. Three, it will improve our ROE also.

Moderator: Next question is from the line of Utkarsh Nopany from Anand Rathi .

Utkarsh Nopany: Sir, my first question is regarding the tiles production. So if we see it has gone down by 7.5% in March quarter, but you have mentioned that all of our plants are currently operating at full capacity. So just wanted to confirm from you that whether our tiles production volume is not likely to get impacted in Q1 as we have seen in Q4?

Rishi Kajaria: So the tile production was down by 7% in March quarter. But because March -- shut in Morbi plants. Now as I said, from 16th April, all our plants are running at full capacity even the Morbi plants.

Utkarsh Nopany: Okay. So like on a Y -o-Y basis, we can see some bit of a decline in our production in the current June quarter. Is it correct, sir? Because we have started the plant from 16th of April?

Rishi Kajaria: Correct. Correct.

Utkarsh Nopany: Okay. And sir, second thing, sir, like you have mentioned that many plants in Morbi are still shut. So whether our understanding is correct that outsourced sales volume for us might get impacted in the current June quarter, but it will go back to the normal level as things normalizes in Morbi?

Rishi Kajaria: You're absolutely correct. Absolutely correct.

Utkarsh Nopany: Okay. And sir, third thing, sir, like just wanted your sense like our tiles sales volume has grown at only, say, 6% CAGR over the, say, last 7- year period. So what would be your guidance on the volume growth, say, over the next 3 to 5 years for Kajaria?

Sanjeev Agarwal: I think our Chairman has already said about this and we will not see over and above.

Utkarsh Nopany: Sir, I did not get you, sir, like when you have said. Can you please repeat once again?

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Ashok Kajaria: I already shared our guidance in earlier years, It didn't work out for various reasons because we have no control over the outside atmosphere. We have a control over what we are doing, but we don't have the control over the outside atmosphere. So keeping in line, we have decided not to give any volume guidance, number one. Number two, we will perform as we move along in a positive manner. That's all at this stage.

Utkarsh Nopany: Okay. And sir, lastly, like on the fuel side, sir, you have mentioned that our gas procurement

cost in North is around, say, INR62 versus, say, around INR 80 for West and South. So just wanted to know what is the reason that our gas procurement cost is so low in North compared to the South and the West region?

Ashok Kajaria: I think you didn't hear one of the earlier speakers asked this question, I answered. Again, I repeat for the benefit of everybody. Government of India has set a certain formula. They have made GAIL as a nodal agency on 9th of March that you will coordinate for the entire gas pipeline because of this war.

Now what they have done as per government guideline, whatever you have lifted in the last 6 months, you will get -- they started out with 80% at normal prices, 20% at spot prices. Got reduced to 65%, then to 55%. Again, raised to 65% and again to 80%. As of this morning, we are getting a North plant gas 80% at normal prices, 20% at spot price.

As far as South Asia is concerned, we are getting in the same formula because the CGD company there is going by this. In Kalasi, we are getting gas from syngas, and we had no such agreement for the month of April. So we had to pay spot prices. We have just entered into an agreement 2 days back and we will get at normal prices

in Syngas from 1st of May. So that's

the scenario. Morbi scenario, you are already aware, so I don't have to talk about it. So it's a very fluctuating thing.

If I tell you, no, I am getting at these prices because every day the norms are changing by Government of India and accordingly by GAIL. So whatever it is, we shared the formula. If required, Sanjeev can later work out and tell you the gas prices.

Utkarsh Nopany: Okay. And sir, if you can just throw some light how is the supply of propane at the moment in Morbi in comparison to, say, January and February?

Ashok Kajaria: See. There's not enough -- ideally propane is not allowed for the industry. Government of India has issued a circular on 5th of March that propane will not be supplied to industry. It will only be used for domestic LPG production. No industry is getting propane for your information.

Moderator: Next question is from the line of Saurabh Jain from HSBC.

Saurabh Jain: Congratulations for a great set of numbers. I just wanted to continue from the previous question on propane. So while we understand that in the recent times, the propane is not allowed. But when the expectations are that Morbi is going to get back the production line?

What is your sense? Is it going to be like a permanent shift to natural gas and propane not being allowed to Morbi even for the long term? Is that a supply shift that you are assuming or when things normalize, then they might get back and shift back to propane?

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Chetan Kajaria: See, how can we say that right now about propane? Also, the propane price is INR 160, and it depends on the war situation. So right now, household cooking and fertilizers are more the priority sector for the government to give propane to. So it's a very fluid sector which we cannot comment upon because the price was very high of propane.

Saurabh Jain: No, I wanted to get a sense because you are there closer to the industry. What is the inner circles indicating? Like government is serious about making a permanent shift to natural gas or things can go back to propane in the long-term point of view is what I'm asking.

Ashok Kajaria: See, neither for you nor for us to decide. It all depends on the war situation, what is happening. Government's first priority is to give LPG to domestic, number one, which you are also aware, we are also aware. Second priority is to give to fertilizer because that's an area they can't afford to this thing. I'll just give you a small information. The fertilizer prices -- there is a shortage of fertilizers in India, and the fertilizer is being sold at 100% premium.

And the import of fertilizer, which is coming is at double the price of Indian production. So that is why the priority of the government is to make sure. Third priority, as you know earlier, was power. Industry was coming later. They are not giving any gas to the power industry. They say no, I can't give you gas. Industry has been put on a priority number 3. And when I'm saying industry means all industry.

Saurabh Jain: Sure. My second question is on the biofuel thing that you mentioned. Is it possible to share what could be the comparable biofuel cost for you on a per SCM basis?

Ashok Kajaria: Biofuel cost varies, but I can share you. The northern plant, the biofuel cost is about INR 20 per SCM comparatively. And in South, they're using coal; in Morbi, they're using coal because in what you call this, why you say in our area -- you cannot use coal. So that is why we had an option to use biogas, biogas is allowed.

Saurabh Jain: But it looks like a very good arbitrage now getting biofuel compared to...

Ashok Kajaria: See, let me tell you a little bit about the ceramic tile plant. Tile plant consists of 2 major facilities; one is called a spray dryer; one is called a kiln. Kiln can only be run on gas, natural gas or propane or

LPG, which is gas. As far as spray dryer is concerned, it can be run on biofuel, it can be run on coal, it can be run on gas. So we can only use biofuel in spray dryer. And that is why when we gave you this information that 30% of the fuel today is biofuel, which is used in the spray dryer in northern part of India.

Saurabh Jain: Okay. So you alluded to the fact that it cannot be taken more than 30% as overall fuel mix.

Ashok Kajaria: You cannot use -- correct. You can use it as fuel.

Saurabh Jain: Yes, sure. I appreciate it and just was trying to confirm it. Secondly, a lot of other players would also be trying to secure this biofuel because it will come at a lower cost and also the crop has also recently happened for mustard. Are you seeing any challenges in terms of procuring this material for producing the biofuel?

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Ashok Kajaria: The only 2 plants in North are Somany and Orient, they are already using it. And as far as mustard is concerned, there is no challenge. The maximum production of mustard is in the state of Rajasthan and plenty of mustard is available.

Saurabh Jain: Got it. Second question, can you also give us some sense on how the growth trends are looking like in the month of April?

Ashok Kajaria: As we shared earlier, we cannot give you month-to-month, First, our CFO already said that April, June quarter is normally weak. So please try to understand 2 things. One, the Morbi plants are not producing at full capacity. Rishi just said that from 16th of April, all Kajaria plants are running at full capacity.

Whatever we use in production for 15 days in Morbi plants has to be taken into account. Morbi outsourced plants are not running in full capacity. They will run as and when they are comfortable. Chetan also said that right now, say, from certain plant, we are buying only 20% of the capacity. He cannot run 80% unless he has a source to sell. So that scenario will always be there.

We cannot tell you what is happening in quarter 1 and on a daily basis. It will -- what we have said, we are looking at a very positive growth and not only we at Kajaria, I also said in my opening remarks, organized players like Kajaria, Somany and Johnson who have plants all over the country will get benefited by this process because there is too much damage in Morbi. Please understand that and get all the information, you will have lot of information when you go out there that there is a lot of damage. What will happen, what won't happen, nobody knows at this stage.

Moderator: Next question is from the line of Arun Baid from ICICI Securities.

Arun Baid: Congratulations on a good set of numbers. Sir, just how much was the ad spend this year in FY '26, sir?

Sanjeev Agarwal: It was around I think INR 90 crores to INR 100 crores in the whole last year. We did it less as compared to the previous year because we did very hard negotiation. And some -- this year, we are going to do much, much higher ad spend. Our new TVC has come. So we are just in the process of making plan on many, many channels or regional channels and others. So this year, the ad spend may be 40% to 50% may be higher than what we spent in the...

Ashok Kajaria: We made a much more aggressive ad spend this year.

Arun Baid: Okay. And second thing is, sir, the salary hikes, which last year was not given to employees, as you had mentioned. This year, have we taken any decision there?

Ashok Kajaria: Some action will be taken, but we have yet to take a call. But some action will definitely be taken in a positive manner because we are all part of the industry. We understand, they also understand that you as Kajaria are making money. So we have to take a balanced call as we go along.

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Arun Baid: Okay. And sir, third thing is in last year Q1 call, Q1 FY '26, you had mentioned that once we

reach a run rate of INR 250 crores a quarter on the EBITDA front, that INR 1,000 crores visibility, the salaries will be reinstated for the promoters. Sir, anything there you can help us with?

Rishi Kajaria: So we have decided not to take the salary this year as well.

Arun Baid: Okay. So sir, it's postponed till next year basically what will be the numbers for this year, right?

Sanjeev Agarwal: He did not say it's postponed for the next year. He said we will not take this year.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Ashok Kajaria: Thanks a lot. I think very good questions came out. And on behalf of all of us. But also, I would like to add 1 or 2 statements. I think great effort has been done by Chetan and Rishi as a team after unification. I think they have done lot of work in the last financial year along

supported by Kartik in adhesive. I must say that it's been a tremendous effort by these 3 people in taking the company to these heights and I'm very positive that going forward, the results will be even better. A lot of good questions came, and we are trying to do our best to reply them in the right.

Rishi Kajaria: And also just to apprise you guys, we have kept a lot of good senior people in the company. A new CHRO has joined. A Chief Marketing Officer joined for the entire branding of the company. A new Chief Digital Officer has joined to take over the technology part of the company.

Even for Kerovit, Kerovit as a brand has been struggling for a while, but there also we've got a couple of very senior people. A Chief Business Officer to look after the sales and an adviser who is handling the factory, both veterans of the industry. We've also got a senior purchase

guy. So we've kept a lot of good people. And I think that is the reason which we are so confident that going forward because ultimately, the team has to work. We are very confident that going forward, we'll achieve what we want to achieve.

Sanjeev Agarwal: A good strong leadership team is in place now going forward. Thank you.

Ashok Kajaria: Thank you.

Moderator: Thank you, sir. On behalf of Spark Institutional Equities Private Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.